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CREATING AND STARTING THE VENTURE (Continued....) Lesson 23**LEARNING OBJECTIVES**

1. To present examples and a step-by-step explanation of the business plan.
2. To explain how to write a business plan
3. To explain the procedure and list of document included in business plan
4. To discuss the contents of each document and how to prepare them

WRITING THE BUSINESS PLAN**Description of the Venture**

The description of the venture should be detailed in this section. This should begin with the mission statement or company mission, which describes the nature of the business and what the entrepreneur hopes to accomplish. The new venture should be described in detail, including the product, location, personnel, background of entrepreneur, and history of the venture. The emphasis placed on location is a function of the type of business. Maps that locate customers, competitors, and alternative locations can be helpful. If the building or site decision involves legal issues, the entrepreneur should hire a lawyer.

Production Plan or Operations Plan

If a new venture is a manufacturing operation, a production plan is necessary. This plan should describe the complete manufacturing process, including whether or not the process is to be subcontracted. If the manufacturing is carried out by the entrepreneur, the plan should describe the physical plant layout and machinery and equipment needed. If the venture is not manufacturing, this section would be titled *operational plan*. The entrepreneur would need to describe the chronological steps in completing a business transaction.

Marketing Plan

The marketing plan describes how the products will be distributed, priced, and promoted. Potential investors regard the marketing plan as critical to the venture's success.

Organizational Plan

The organizational plan section should describe the venture's form of ownership. If the venture is a corporation, this should include the number of shares authorized, share options, and names and addresses of the directors and officers. It is helpful to provide an organization chart indicating the line of authority. This chart shows the investor who controls the organization and how members interact.

Assessment of Risk

It is important that the entrepreneur make an assessment of risk in the following manner: The entrepreneur should indicate the potential risks to the new venture. Next should be a discussion of what might happen if these risks become reality. Finally the entrepreneur should discuss the strategy to prevent, minimize, or respond to these risks. The entrepreneur should also provide alternative strategies should these risk factors occur.

Financial Plan

The financial plan determines the investment needed for the new venture and indicates whether the business plan is economically feasible. The entrepreneur should summarize the forecasted

sales and expenses for the first three years. Cash flow figure for three years are needed, with the first year's projections provided monthly. The projected balance sheet shows the financial condition of the business at a specific time.

Appendix

The appendix contains any backup material not included in the text of the document.

Other possible documents

Letters from customers, distributors, or subcontractors
Secondary or primary research data
Leases and contracts
Price lists from suppliers and competitors

CREATING AND STARTING THE VENTURE (Continued....) Lesson 24

LEARNING OBJECTIVES

1. To present helpful questions for the entrepreneur at each stage of the planning process
2. To understand how to monitor the business plan
3. To understand the differences between business planning, strategy plans, and market planning
4. To describe the role of marketing research in determining market strategy for the marketing plan

USING AND IMPLEMENTING THE BUSINESS PLAN

The business plan is designed to guide the entrepreneur through the first year of operations. It should contain control points to ascertain progress. Planning should be a part of any business operation. Without good planning the employees will not understand the company's goals and how they are expected to perform their jobs. Bankers say that most businesses fail because of the entrepreneur's inability to plan effectively. The entrepreneur can enhance efficient implementation of the plan by developing a schedule to measure programs and to institute contingency plans.

Measuring Plan Progress

Plan projections will typically be made on a 12-month schedule, but the entrepreneur should check key areas more frequently. Inventory control by controlling inventory, the firm can ensure maximum service to the customer. Production control Compare the cost figures against day-to-day operating costs.

Quality control Quality control depends on the type of production system used.

Sales control Information on units, dollars, and specific products sold should be collected.

Disbursements. The new venture should control the amount of money paid out

Updating the Plan

Environmental factors and internal factors can change the direction of the plan. It is important to be sensitive to changes in the company, industry, and market.

WHY SOME BUSINESS PLANS FAIL

A poorly prepared business plan can be blamed on:

- Goals set by the entrepreneurs that are unreasonable.
- Goals those are not measurable.

To be successful

- Goals should be specific.
- They should also be measurable and should be monitored over time.

The entrepreneur who has not made a total commitment to the business will not be able to meet the venture's demands of the venture. Investors will not be positive about a venture that does not have full-time commitment. Investors will typically expect the entrepreneur to make significant financial commitment to the business. Lack of experience will result in failure unless the entrepreneur can gain knowledge or team up with someone. The entrepreneur should also document customer needs before preparing the plan

MARKETING PLAN Purpose and Timing of the Marketing Plan

The marketing plan establishes how the entrepreneur will effectively compete and operate in the marketplace. Marketing planning should be an annual activity focusing on decisions related to the marketing mix variables. The marketing plan section should focus on strategies for the first three years of the venture. For the first year, goals and strategies should be projected monthly. For years two and three, market results should be projected based on longer-term goals. Preparing an annual marketing plan becomes the basis for planning other aspects of the business.

Understanding the marketing plan

The marketing plan should answer three basic questions:

Where have we been? -The history of the marketplace, marketing strengths and weaknesses, and market opportunities.

Where do we want to go (short term)? - Marketing objectives and goals in the next twelve months.

How do we get there? -Specific marketing strategy that will be implemented. The marketing plan should be a guide for implementing marketing decision-making and not a superficial document. The mere organization of the thinking process involved in preparing a marketing plan can be helpful in understanding and recognizing critical issues.

THE MARKETING PLAN Lesson 25**LEARNING OBJECTIVES**

1. To understand the differences between business planning, strategy plans, and market planning.
2. To describe the role of marketing research in determining market strategy for the marketing plan.
3. To illustrate an effective and feasible procedure for the entrepreneur to follow in engaging in a market research study.
4. To define the steps in preparing the marketing plan.
5. To explain the marketing system and its key components.
6. To illustrate different creative strategies that may be used to differentiate or position the new venture's products or services.

PURPOSE AND TIMING OF THE MARKETING PLAN

The marketing plan establishes how the entrepreneur will effectively compete and operate in the marketplace. Marketing planning should be an annual activity focusing on decisions related to the marketing mix variables. The marketing plan section should focus on strategies for the first three years of the venture. For the first year, goals and strategies should be projected monthly. For years two and three, market results should be projected based on longer-term goals. Preparing an annual marketing plan becomes the basis for planning other aspects of the business.

MARKET RESEARCH FOR THE NEW VENTURE

Information for developing the marketing plan may require some marketing research. Marketing research involves the gathering of data in order to determine such information as who will buy the product, what price should be charged, and what is the most effective promotion strategy. Marketing research may be conducted by the entrepreneur or by an external supplier or consultant. Market research begins with definition of objectives. Many entrepreneurs don't know what they want to accomplish from a research study.

Defining the Purpose or Objectives

One effective way to begin the marketing plan is to make a list of the information that will be needed to prepare the marketing plan.

Possible objectives:

1. Determine what people think of the product or service and if they would buy it.
2. Determine how much customers would be willing to pay for the product.
3. Determine where the customer would prefer to purchase the product.
4. Determine where the customer would expect to hear about such a product or service.

Gathering Data from Secondary Sources An obvious source is data that already exists, or secondary data, found in trade magazines, libraries, government agencies, and the Internet. The Internet can provide information on competitors and the industry, plus can be used for primary research. Commercial data may also be available, but the cost may be prohibitive. Free secondary

information is available through:

The U.S. Bureau of Census and the Department of Commerce. State departments of commerce, chambers of commerce, and local banks. Private sources of data, such as *Predicasts*, the *Business Index*, and the SBA's *Directory of Business Development Publications*, can be found in a good business library.

A local business library can also provide access to reference sources and articles about competitors and the industry.

The entrepreneur should exhaust all possible secondary data sources, observation, and networking before beginning costly primary data research.

Gathering Information from Primary Sources

Information that is new is primary data. Observation is the simplest approach. Networking is an informal method to gather primary data from experts in the field, can be a valuable low-cost research method.

A recent study found that the most successful ventures were focused on information about competitors, the customer, and the industry. Less successful ventures were more focused on gathering information on general economic and demographic trends. Interviewing or surveying is the most common approach, but is more expensive. The questionnaire used by the entrepreneur should include questions designed to fulfill one or more of the objectives.

Questions should be designed so they are clear and concise, without bias, and easy to answer. If the entrepreneur lacks experience, he or she should seek help in developing the questionnaire through Small Business Development Centers or a local education institution.

Focus groups

A focus group is a sample of 10 or 12 potential customers who participate in a discussion.

Groups discuss issues in an informal, open format.

These groups should be led by an experienced monitor.

Experimentation involves control over specific variables in the research process.

Analyzing and Interpreting the Results

The entrepreneur can enter the results on a computer or hand-tabulate the results. Summarizing the answers to questions will give preliminary insights. Data can then be cross-tabulated to provide more focused results.

UNDERSTANDING THE MARKETING PLAN

The marketing plan should answer three basic questions:

Where have we been? -The history of the marketplace, marketing strengths and weaknesses, and market opportunities.

Where do we want to go (short term)? - Marketing objectives and goals in the next twelve months. **How do we get there?** -Specific marketing strategy that will be implemented. The marketing plan should be a guide for implementing marketing decision-making and not a superficial document. The mere organization of the thinking process involved in preparing a marketing plan can be helpful in understanding and recognizing critical issues.

CHARACTERISTICS OF A MARKETING PLAN

An effective marketing plan should:

1. Provide a strategy to accomplish the company mission.
2. Be based on facts and valid assumptions.
3. Provide for the use of existing resources.
4. Describe an organization to implement the plan.
5. Provide for continuity.
6. Be simple and short.
7. Be flexible.
8. Specify performance criteria that can be monitored and controlled.

The marketing system identifies the major interacting components, both internal and external, that enable the firm to provide products to the marketplace. Environment factors, although largely uncontrollable, should be studied.

Internal environmental factors are more controllable by the entrepreneur:

Financial resources: The financial plan should outline the financial needs for the venture.

Management team: An effective management team responsibilities assigned is needed for implementing the marketing plan.

Suppliers: Suppliers used are generally based on a number of factors, such as price, delivery time, and quality.

Company mission: Every new venture should define the nature of its business and what it hopes to accomplish.

THE MARKETING MIX**Lesson 26**

The actual short-term marketing decisions in the marketing plan will consist of four important marketing variables, called the **marketing mix**:

1. Product or service.
2. Pricing.
3. Distribution.
4. Promotion. Each variable should be described in detail in the strategy section of the marketing plan.

STEPS IN PREPARING THE MARKETING PLAN**Step 1: Defining the Business Situation**

The **situation analysis** is a review of where the company has been and considers many of the environmental factors. The entrepreneur should provide a review of past performance of the product and the company. Industry analysis should include information on market size, growth rate, suppliers, new entries, and economic conditions.

Step 2: Defining Target Market/Opportunities and Threats

The entrepreneur should have a good idea of who the customer or **target market** will be. The defined target market will usually represent one or more segments of the entire market. **Market segmentation** is the process of dividing the market into smaller homogeneous groups.. The process of segmenting is:

- a. Decide what general market or industry you wish to pursue.
- b. Divide the market into smaller groups based on characteristics of the customer.
- c. Select segment or segments to target.
- d. Develop marketing plan integrating the parts of the marketing mix.

Step 3: Considering Strengths and Weaknesses

It is important for the entrepreneur to consider its strengths and weaknesses.

Step 4: Establishing Goals and Objectives

Before strategy decisions can be outlined, the entrepreneur must establish realistic **marketing goals and objectives**. These answer the question "Where do we want to go?" These goals should specify such things as market share, profit, sales, market penetration, pricing policy, and advertising support. Not all goals and objectives must be quantified. It is a good idea to limit the number of goals to between six and eight.

Step 5: Defining Marketing Strategy and Action Programs

Strategy and action decisions respond to the question "How do we get there?" It incorporates:

1. Product or Service

This includes a description of the product and may include more than the physical

characteristics. It involves packaging, brand name, price, warranty, image, service, features, and style.

2. Customer Service

- Meeting customer needs and creating loyalty involves a number of low-cost steps:
- In writing develop a statement of customer service principles. Train those employees who have direct contact with customers.
- Establish a process for evaluating customer service.
- Reward employees who are most effective in providing quality customer service.
- Make regular contact with customers.
- Invest in quality telephone equipment.
- Meet customer expectations.
- Customer service is especially important for e-businesses.

3. Pricing.

One of the difficult decisions is determining the appropriate price for the product. Factors such as costs, discounts, freight, and markups must be considered. Marketing research can help determine a reasonable price that consumers are willing to pay.

4.Distribution.

This factor provides utility or makes the product convenient to purchase when it is needed. This variable must be consistent with other marketing mix variables. Type of channel, number of intermediaries and location of members should be described. Regardless of the type of business, it is usually necessary for the new venture to have a website. The Internet will become an increasingly important medium for information and distribution. Direct mail or telemarketing may be considered. Direct mail marketing is one of the simplest and lowest in entry costs. But the direct-marketing or Internet strategies are not a guarantee for success. The entrepreneur should evaluate all possible options for distribution.

5.Promotion.

The entrepreneur needs to inform customers as to the product's availability using advertising media such as print, radio, or television. Usually television is too expensive unless cable television is a viable option. Larger markets can be reached using direct mail, trade magazines, or newspapers. A website may also create awareness and promote the product and services of the venture. It is possible to make use of publicity as a means of introduction. It is important that the marketing strategy and action programs be specific and detailed enough to guide the entrepreneur through the first year.

Step 6: Coordination of the Planning Process

The management team must coordinate the planning process. The entrepreneur may be the only person involved but may lack experience in preparing the plan. Assistance is available from many sources, such as the SBA.

.Step 7: Designing Responsibility for Implementation

The plan must be implemented effectively to meet all of the desired goals and objectives.

Someone must take the responsibility for implementing each decision made in the marketing plan.

Step 8: Budgeting the Marketing Strategy

Planning decisions must also consider the costs involved in the implementation of these decisions. This budgeting will be useful in preparing the financial plan.

Step 9: Implementation of the Marketing Plan

The marketing plan is meant to be a commitment to a specific strategy. A commitment to make adjustments as needed by market conditions is also valuable.

Step 10: Monitoring Progress of Marketing Actions

Monitoring of the plan involves tracking specific results of the marketing effort. What is monitored is dependent on the specific goals and objectives outlined.

THE ORGANIZATIONAL PLAN Lesson 27**LEARNING OBJECTIVES**

1. To understand the importance of the management team in launching a new venture.
2. To understand the advantages and disadvantages of the alternative legal forms of incorporation.
3. To explain the S Corporation and limited liability company as alternative forms of incorporation.
4. To learn how to prepare a job analysis, job description, and job specification.
5. To illustrate how the board of directors or board of advisors can be used to support the management of a new venture.

DEVELOPING THE MANAGEMENT TEAM

Potential investors are interested in the management team and its ability and commitment to the new venture. Investors usually demand that the management team not operate the business part-time while employed full time elsewhere. It is also unacceptable for the entrepreneurs to draw a large salary. The entrepreneur should consider the role of the board of directors and/or a board of advisors in supporting the management of the new venture.

LEGAL FORMS OF BUSINESS

There are three basic legal forms and one new form of businesses. The three basic forms are:

- a. Proprietorship.
- b. Partnership.
- c. Corporation

A new form is the **limited liability company**, which is now possible in most states.

The entrepreneur should evaluate the pros and cons of each of the legal forms prior to submitting a business plan. He should determine the priority of several factors discussed below. It is also necessary to consider intangibles such as image to suppliers, existing clients, and prospective customers.

Ownership

- In the **proprietorship**, the owner has full responsibility for operations.
- In a **partnership**, there may be owners with general or with limited ownership.
- In the **corporation**, ownership is reflected by ownership of shares of stock.

Liability of Owners

- The proprietor and general partners are liable for all aspects of the business.
- Since the corporation is a legal entity that is taxable and absorbs liability, the owners are

- liable only for the amount of their investment.
- To satisfy any outstanding debts of the business, creditors may seize personal assets of the owners in proprietorships or regular partnerships.
 - In a partnership the general partners share the amount of personal liability equally, regardless of their capital contribution.
 - In a limited partnership, the limited partners are liable only for their capital contributions.

Costs of Starting a Business

1. The more complex the organization, the more expensive it is to start.
2. The least expensive is the proprietorship, where the only costs may be for filing for a business name.
3. In a partnership a partnership agreement is needed, in addition this requires legal advice and should explicitly convey all parties' responsibilities, rights and duties.
4. A limited partnership may be more complex to form because it must comply strictly with statutory requirements.
5. The corporation can be created only by statute.
6. The owners are required to register the name and articles of incorporation and meet state statutory requirements.
7. Filing fees and an organization tax may be incurred.
8. Legal advice is necessary to meet the statutory requirements.

Continuity of Business

- In a sole proprietorship, the death of the owner results in the termination of the business. In a limited partnership, the death of a limited partner has no effect on the existence of the partnership. A limited partner may be replaced, depending on the partnership agreement. If a general partner in a limited partnership dies or withdraws, the limited partnership is terminated unless the partnership agreement specifies otherwise.
- In a partnership, the death or withdrawal of one of the partners results in termination of the partnership, but this can be overcome by the partnership agreement.
- Usually the partnership will buy out the withdrawn partner's share at a predetermined price.
- Another option is to have a member of the withdrawn partner's family take over as partner.
- The corporation has the most continuity, as the owner's death or withdrawal has no impact on continuity of the business, unless it is a closely held corporation.

THE ORGANIZATIONAL PLAN (Continued) Lesson 28**Transferability of Interest**

- Each of the forms of business offers different advantages as to the transferability of interest.
- In a proprietorship, the entrepreneur has the right to sell any assets.
- In the limited partnership, the limited partners can sell their interests at any time without consent of the general partners. A general partner cannot sell any interest unless specified in the partnership agreement.
- In a corporation shareholders may transfer their shares at any time.
- In the S Corporation, the transfer of interest can occur only as long as the buyer is an individual.

Capital Requirements

The need for capital during the early months can become one of the most critical factors in keeping a new venture alive.

- For a proprietorship, any new capital can only come from loans or by additional personal contributions. Often an entrepreneur will take a second mortgage as a source of capital. Any borrowing from an outside investor may require giving up some equity. Failure to make payments can result in foreclosure and liquidation of the business.
- In the partnership, loans may be obtained from banks or additional funds may be contributed by each partner, but both methods require change in the partnership agreement.
- In the corporation, new capital can be raised by:
 - a. Stock may be sold as either voting or nonvoting.
 - b. Bonds may be sold.
 - c. Money may also be borrowed in the name of the corporation.

Management Control

- The entrepreneur will want to retain as much control as possible over the business. In the proprietorship, the entrepreneur has the most control and flexibility in making business decisions.
- In a partnership the majority usually rules unless the partnership agreement states otherwise.
- In a limited partnership the limited partners have no control over business decision. Control of day-to-day business is in the hands of management.
- Major long-term decisions may require a vote of the major stockholders.
- As the corporation increases in size, the separation of management and control is probable.

- Stockholders can indirectly affect the operation by electing someone to the board of director

Distribution of Profits and Losses

- Proprietors receive all profits from the business.
- In the partnership, the distribution of profits and losses depends on the partnership agreement.
- Corporations distribute profits through dividends to stockholders.

Attractiveness for Raising Capital

- In both the proprietorship and partnership, the ability to raise capital depends on the success of the business and personal capability of the entrepreneur.
- Because of its limitations on personal liability, the corporation is the most attractive form for raising capital.

THE ORGANIZATIONAL PLAN (Continued) Lesson 29**TAX ATTRIBUTES OF FORMS OF BUSINESS****A. Tax Issues for Proprietorship**

For the proprietorship the IRS treats the business as the individual owner. All income is personal income and the business is not taxed as a separate entity. The proprietorship has some tax advantages compared to the corporation.

- a. There is no double tax on profits.
- b. There is no capital stock tax or penalty for retained earnings.

B. Tax Issues for Partnership.

The partnership's tax advantages and disadvantages are similar to the proprietorship. Limited partnerships can provide unique tax advantages. Both the partnership and proprietorship have a legal identity distinct from the partners, but this identity is only for accounting purposes. The income is distributed based on the partnership agreement, and the owners then report their share as personal income.

C. Tax Issues for Corporation

The corporation has the advantage of being able to take many deductions not otherwise available. The disadvantage is that dividends are taxed twice. This double taxation can be avoided if the income is distributed as salary. The corporation tax may also be lower than the individual rate.

S CORPORATIONS

The **S Corporation** combines the tax advantages of the partnership and the corporation.

1. It is designed so that the venture income is declared as personal income on a pro rata basis.
2. Shareholders benefit from all of the income and the deductions of the business.

Prior to passage of the 1996 Small Business Protection Act, rules governing the S corporation were considered too rigid.

The new law provides more flexibility with regard to:

- a. Number of shareholders.
- b. Who can be allowed to own shares?
- c. The role of trusts as stockholders.
- d. The ability of S corporations to own more than 90 percent of stock of another corporation.
- e. Distribution of profits.
- f. Issuance of different classes of stock.
- g. Rules affecting the tax basis of incurred losses.

Limited liability corporations are still more flexible than the S corporation, but conversion entails a significant cost. More than half of all S corporations have only one shareholder, which would not be possible as an LLC.

ADVANTAGES OF AN S CORPORATION

1. Capital gains or losses are treated as personal income.
2. Shareholders retain limited liability protection.
3. It is not subject to a minimum tax, as C corporations are.
4. Stock may be transferred to low-income-bracket family members.
5. Stock may be voting or nonvoting.
6. This form may use the cash method of accounting.
7. Corporate long-term capital gains and losses are deductible by the shareholders.

DISADVANTAGES OF AN S CORPORATION

1. Even with the new regulations, there are still some restrictions.
2. If the corporation earns less than \$100,000, then the C Corporation would have a lower tax liability.
3. The S Corporation may not deduct most fringe benefits for shareholders.
4. The S Corporation must adopt a calendar year for tax purposes.
5. Only one class of stock, common stock is permitted.
6. The net loss of the S Corporation is limited.

THE LIMITED LIABILITY COMPANY

1. A popular new entity is the **limited liability company** (LLC), which offers similar advantages as the S Corporation but with more liberal tax rules under subchapter K. This form is a partnership-corporation hybrid with the following characteristics:
2. Where the corporation has shareholders, the LLC has members.
3. No shares are issued, and each member owns an interest in the business.
4. Liability does not extend beyond the member's capital contribution.
5. Members may transfer their interest only with the unanimous written consent of the remaining members.
6. The standard acceptable term of an LLC is 30 years.
7. The laws governing formation of the LLCs differ from state to state. The LLC is similar to an S corporation, but is more flexible. A major concern with LLCs is in international business, where the context of unlimited liability is still unclear. The primary differences between the limited partnership and the LLC are that the limited partnership must have at least one general partner with unlimited liability for partnership debts. The acceptability of the LLC should grow as state statutes are clarified and international rules established. With the assistance of a tax attorney, owners should compare alternative forms of ownership.

DESIGNING THE ORGANIZATION

The design of the initial organization will be simple. The entrepreneur may perform all of the functions alone. He or she sometimes is unwilling to give up responsibility to others. The entrepreneur may have difficulty making the transition from a start-up to a growing well-managed business that maintains its success over a long period of time. As the workload increases the organizational structure will need to expand to include additional employees with defined roles. Interviewing and hiring procedures will need to be implemented. For many new ventures, part-time employees may be hired, raising commitment and loyalty issues. The organization must identify the major activities required to operate effectively. The design of the organization will indicate to employees what is expected of them in five areas: Organizational structure, which defines members' jobs and the relationship these jobs have to one another. Rewards are in the form of bonuses, promotion, and praise. A selection criterion is the set of guidelines for selecting individuals for each position. The organization's design can be

simple or complex.

There are two stages of development in an organization

Stage 1: The new venture is operated by one person, the entrepreneur, with no need for sub managers.

Stage 2: As the business expands, the organization may be described as Stage 2.

1. Sub managers are hired to coordinate, organize, and control aspects of the business
2. Measurement, evaluation, rewards, selection, and training become necessary.

Stage 3 may exist when the firm is large enough that a third level of managers is added

As the organization evolves, the manager's decision roles become more critical. The primary concern is to adapt to changes in the environment and seek new ideas. The manager will also need to respond to unexpected pressures, referred to as "putting out fires." Another role is that of allocation of resources, delegating budgets and responsibility. The final role is that of negotiator, as the entrepreneur can be the only person with the appropriate authority.

BUILDING THE SUCCESSFUL ORGANIZATION

Before writing the organization plan, it is helpful to prepare a job analysis. The **job analysis** serves as a guide in determining hiring procedures and **job descriptions** and specifications. As the size of the venture changes, the process becomes more complex.

The place to start is with the tasks that need to be performed to make the venture viable. After this list is made, then determine how many positions and what types of persons will be needed. Other decisions to be made early in planning process:

- a. Where to advertise for employees.
- b. How they will be trained.
- c. How they will be compensated.

Searching for senior talent requires a different strategy. Usually networking provides the best source of candidates. Some recruiting firms are also specializing in placing senior people in start-ups. The most important issues in the business plan are the job descriptions and specifications.

THE FINANCIAL PLAN Lesson 30**LEARNING OBJECTIVES**

1. To understand why positive profits can still result in a negative cash flow.
2. To understand the role of budgets in preparing pro forma statements.
3. To learn how to prepare monthly pro forma cash flow, income, balance sheet, and sources and uses of funds statements for the first year of operation.
4. To explain the application and calculation of the break-even point for the new venture.
5. To illustrate the alternative software packages that can be used for preparing financial statements.

THE FINANCIAL PLAN**A. The financial plan provides a complete picture of:**

1. How much and when the funds are coming into the organization.
2. Where the funds are going.
3. How much cash is available?
4. The projected financial position of the firm.

B. The financial plan provides the short-term basis for budgeting and helps prevent a common problem-lack of cash.**C. The financial plan must explain how the entrepreneur will meet all financial obligations and maintain its liquidity.****D. In general, the financial plan will need three years of projected financial data for outside investors.****OPERATING AND CAPITAL BUDGETS****A. Before developing the pro forma income statement, the entrepreneur should prepare operating and capital budgets.**

1. If the entrepreneur is a sole proprietor, he or she will be responsible for the budgeting decisions.
2. In a partnership, or where employees exist, the initial budgeting process may begin with one of these individuals.
3. Final determination of budgets will ultimately rest with the owners or entrepreneurs.

B. In the preparation of the pro forma income statement, the entrepreneur must first develop a sales budget, an estimate of the expected volume of sales by month.

1. From sales forecasts, the entrepreneur will determine the cost of these sales.
2. Estimated ending inventory will also be included.

C. Production or Manufacturing Budget.

1. This budget provides a basis for projecting cash flows for the cost of goods produced.
2. The important information in this budget is the actual production required each month and the needed inventory to allow for changes in demand.
3. This budget reflects seasonal demand or marketing programs, which can increase demand and inventory.
4. The operating budget is an important document, as the pro forma income

statement will only reflect the actual costs of goods.

D. Operating Budget.

1. Next the entrepreneur can focus on operating costs.
2. Fixed expenses (incurred regardless of sales volume) include rent, utilities, salaries, interest, depreciation, and insurance.
3. The entrepreneur will need to calculate variable expenses, which may change from month to month depending on sales volume, such as advertising and selling expenses.

E. Capital budgets are intended to provide a basis for evaluating expenditures that will impact the business for more than one year.

1. A capital budget may project expenditures for new equipment, vehicles, or new facilities.
2. These decisions can include the computation of the cost of capital and the anticipated return on investment using present value methods.
3. The entrepreneur should enlist the assistance of an accountant.

THE FINANCIAL PLAN (Continue d)**Lesson 31****OPERATING AND CAPITAL BUDGETS****A. before developing the pro forma income statement, the entrepreneur should prepare operating and capital budgets.**

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PRO FORMA INCOME STATEMENTS**A. Sales is the major source of revenue; since other activities relate to sales, it is usually the first item defined.****B. In preparing the pro forma income statement, sales by month must be calculated first.**

1. Market research, industry sales, and trial experience might provide the basis for these figures.
2. Forecasting techniques, such as a survey of buyers' intentions or expert opinions, can be used to project sales.

3. The costs for achieving increases in sales can be higher in early months.
- C. Sales revenues for an Internet start-up are often more difficult to project.**
1. A giftware Internet start-up could project the number of average hits expected per day or month based on industry data.
 2. From the number of "hits" it is possible to project the number of consumers who will buy products and the average dollar amount per transaction.
- D. The pro forma income statements also provide projections of all operating expenses for each month of the first year.**
1. Selling expenses as a percentage of sales may also be higher initially.
 2. Salaries and wages should reflect the number of personnel employed, as well as their roles in the organization.
 3. Any unusually expenses, such as those for a key trade show, should be flagged and explained at the bottom.
- E. In addition to the first year's statement, projections should be made for years 2 and 3.**
1. Investors generally prefer to see three years of income projections.
 2. Some expenses will remain stable over time, like depreciation, utilities, rent, insurance, and interest.
 3. When calculating the projected operating expense, it is important to be conservative for initial planning purposes.
- F. For the Internet start-up, capital budgeting and operating expenses will involve equipment purchasing or leasing, inventory, and advertising expenses.**
- G. Many of the recent Internet start-ups have not earned a profit.**

PRO FORM A CASH FLOW

- A. Cash flow is not the same as profit.**
1. Profit is the result of subtracting expenses from sales.
 2. Cash flow results from the difference between actual cash receipts and cash payments.
 3. Cash flows only when actual payments are made or received.
- B. For an Internet start-up, the same transaction would involve the use of a credit card in which a percentage of the sale would be paid as a fee to the credit card company.**
- C. On many occasions, profitable firms fail because of lack of cash; therefore, using profit as a means of success may be deceiving.**
- D. There are two standard methods used to project cash flow.**
1. In the indirect method some adjustments are made to the net income based on the fact that actual cash may not have actual been receive or disbursed.
 2. The direct method, a simple determination of cash in less cash out, gives a fast indication of the cash position of the new venture at a point in time.
- E. It is important for the entrepreneur to make monthly projections of cash, pro forma cash flow.**
1. If disbursements are greater than receipts in any time period, funds will have to be borrowed or cash reserve tapped.
 2. Large positive cash flows may need to be invested in short term sources.
 3. Usually the first few months of start-up will require external cash in order to cover cash outlays.

F. The most difficult problem with projecting cash flows is determining the exact monthly receipts and disbursements.

1. Some assumptions will need to be made and should be conservative so enough funds can be maintained to cover the negative cash months.
2. These cash flows will also assist in determining how much money will need to be borrowed.

G. The pro forma cash flow is based on best estimates and may need to be revised to ensure accuracy.

H. It is useful to provide several scenarios, each based on different levels of success.

PRO FORM A BALANCE SHEET

A. The entrepreneur should also prepare a projected balance sheet depicting the condition of the business at the end of the first year.

1. The **pro forma balance sheet** summarizes the assets, liabilities, and net worth of the entrepreneurs.
2. Every business transaction affects the balance sheet.
3. The balance sheet is a picture of the business at one moment in time and does not cover a period of time.

B. Assets.

- **Assets** represent everything of value that is owned by the business.
- The assets are categorized as current or fixed.
- Value is not necessary replacement cost-it is the actual cost expended for the asset.
- Current assets include cash and anything that will be converted into cash within a year.
- Fixed assets are those that will be used over a long period of time.
- Management of receivables, or money owed by customers, is important to the business' cash flow of the business.

C. Liabilities.

1. **Liabilities** accounts represent everything owed to creditors.
2. Current liabilities are due within a year.
3. Others are long-term debts.
4. It is often necessary to delay payments of bills in order to more effectively manage cash flow.

D. Owners Equity.

1. This amount represents the excess of all assets over all liabilities.
2. **Owners equity** represents the net worth of the business.
3. Any profit from the business will also be included in the net worth as retained earnings.

BREAK-EVEN ANALYSIS

A. It is helpful for the entrepreneur to know when a profit may be achieved.

1. **Break-even** analysis is a technique for determining how many units must be sold in order to break even.
2. The firm has fixed cost obligations that must be covered by sales volume in order for a company to break even.
3. The break-even point is that volume of sales at which the business will neither make a

profit nor incur a loss.

4. The break even sales point is the volume of sales needed to cover total variable and fixed expenses.

B. The break-even formula is: $B/E (Q) = \frac{TFC}{SP-VC/unit}$ (marginal contribution)

1. As long as the selling price is greater than the variable costs per unit, some contribution can be made to cover fixed costs.
2. The major weakness in calculating the break-even is determining whether a cost is fixed or variable.
3. Costs such as depreciation, salaries and wages, rent, and insurance are usually fixed.
4. Materials, selling expenses, and direct labor are most likely variable costs.

C. When the firm produces more than one product, break-even may be calculated for each product.

D. The entrepreneur can try different states of nature, such as different selling prices to see the impact on break-even and profits.

PRO FORMA SOURCES AND USES OF FUNDS**Lesson 32**

1. To identify the types of financing available.
2. To understand the role of commercial banks in financing new ventures, the types of loans available, and bank lending decisions.
3. To discuss Small Business Administrative (SBA) loans.
4. To understand the aspects of research and development limited partnerships.
5. To discuss government grants, particularly small business innovation research grants.
6. To understand the role of private placement as a source of funds.

AN OVERVIEW

Different sources of capital are generally used at different times in the life of the venture.

Debt or Equity Financing

1. **Debt financing** involves an interest-bearing instrument, usually a loan, the payment of which is only indirectly related to sales and profits.
 - a. Debt financing (also called asset-based financing) requires some asset be used as collateral.
 - b. The entrepreneur has to pay back the amount of funds borrowed plus a fee, expressed in terms of interest.
 - c. Short-term money is used to provide working capital.
 - d. Long term debt (lasting more than a year) is frequently used to purchase some asset, with part of the value of the asset being used as collateral.
 - e. Debt has the advantage of letting the entrepreneur retain a large ownership position and have greater return on equity.
 - f. If the debt is too great payments become difficult to make and growth is inhibited.
2. **Equity financing** offers the investor some form of ownership position in the venture.
 - a. The investor shares in the profits of the venture.
 - b. Key factors in choosing the type of financing are availability of funds, assets of the venture, and prevailing interest rates.
 - c. Usually a combination of debt and equity financing is used.
3. In a market economy all ventures will have some equity, as all are owned by someone.
 - a. The equity may be entirely provided by the owner or may require multiple owners.
 - b. This equity funding provides the basis for debt financing, which makes up the capital structure of the venture.

Internal or External Funds

1. The most often used type of funds is internally generated funds.
 - a. These funds come from sources within the company, such as profits, sale of assets, reduction in working capital, and accounts receivable.
 - b. The start-up years usually involve plowing all the profits back into the venture.
 - c. Sometimes little-used assets can be sold or leased.
 - d. Assets, whenever possible, should be on a rental basis, not an ownership basis.
 - e. One short-term internal source of funds is reducing short-term assets, or through extended payments from suppliers.
 - f. Another method is by collecting accounts receivable more quickly.
2. External sources.
 - a. Alternative sources should be evaluated by:
 - (i) Length of time the funds are available.
 - (ii) Costs involved.

- (iii) Amount of control lost.
- b. The more frequently used sources of funds are discussed below.

PERSONAL FUNDS

- A. Few new ventures are started without the personal funds of the entrepreneur.**
 - 1. In terms of cost and control these are the least expensive.
 - 2. They are essential in attracting outside funding.
- B. Outside investors want the entrepreneur to demonstrate financial commitment.**
 - 1. This level of commitment is reflected in the percentage of total assets available the entrepreneur has committed.
 - 2. An outside investor wants an entrepreneur to have committed all available assets.
 - 3. It is not the amount but the fact that all monies available are committed that makes outside investors feel comfortable.

FAMILY AND FRIENDS

- A. After the entrepreneur, family and friends are the next most common source of capital.**
- B. Family and friends provide a small amount of equity funding for new ventures.**
 - 1. It is relatively easy to obtain money from family and friends.
 - 2. However, the amount of money provided may be small.
 - 3. If it is in the form of equity funding, the family member or friend has an ownership position in the venture.
 - 4. If they have direct input into operations of the venture, it may have a negative effect on employees or profits.
- C. To avoid potential future problems, the entrepreneur must present the positive and negative aspects and the nature of the risks of the investment.**
 - 1. To minimize any future problems, keep the business arrangements strictly business
 - 2. Any loan should specify the rate of interest and the proposed repayment schedule
 - 3. The entrepreneur should settle everything up front and in writing.
 - 4. A formal agreement specifying details of the funding helps avoid future problems.
- D. The entrepreneur should carefully consider the impact of the investment on the family member or friend before it is accepted.**

PRO FORMA SOURCES AND USES OF FUNDS Lesson 33**COMMERCIAL BANKS**

Commercial banks are the most frequently used source of short-term funds.

1. This is debt financing and requires some collateral, some asset with value.
2. This collateral can be business assets, personal assets, or the assets of the cosigner of the note.

Types of Bank Loans**1. Accounts receivable loans.**

- a. Accounts receivable provide a good basis for a loan, especially if the customer base is creditworthy.
- b. A bank may finance up to 80% of the value of the accounts receivable.
- c. A factoring arrangement can be developed whereby the factor (bank) actually buys the accounts and collects the money.
- d. If any of the receivables are not collectible, the factor sustains the loss, not the business.
- e. The cost of factoring is higher than the cost of securing a loan against the accounts receivable.

2. Inventory loans.

- a. Inventory is often a basis for a loan, particularly when inventory is liquid and can be sold easily.
- b. Finished goods inventory can be financed up to 50% of value.
- c. Trust receipts are a type of inventory loan used to finance floor plans of retailers such as auto dealers.
- d. The bank advances a large percentage of the invoice price of the goods and is paid a pro rate basis as the inventory is sold.

3. Equipment loans.

- a. Equipment can be used to secure longer term financing up to 3 to 10 years.
- b. When new equipment is bought, 50 to 80% of value can be financed.
- c. In sale-leaseback financing the entrepreneur "sells" the equipment to a lender and then leases it back.

4. **Real estate loans** are easily obtained to finance land, plant, or building, usually up to 75% of value.

Cash Flow Financing Cash flow financing -- or **conventional bank loans** --include lines of credit, installment loans, straight commercial loans, long-term loans, and character loans.

- a. Lines of credit are the most frequently used.
- b. The company pays a "commitment fee" at the start then pays interest on outstanding borrowed funds.

1. Installment loans.

- a. Installment loans can be obtained by a going venture with a track record of sales and profits.
- b. These funds are used to cover working capital needs, usually for 30 to 40 days.

2. Straight commercial loans.

- a. In this hybrid of the installment loan, funds are advanced to the company for 30 to 90 days.

b. These self-liquidating loans are used for seasonal financing.

3. Long term loans.

a. These loans are usually only available to more mature companies.

b. Funds are available for up to 10 years with the debt repaid according to a fixed interest and principle schedule.

4. Character loans.

a. When the business does not have assets to support a loan, the entrepreneur may need a character loan.

b. These loans must have assets of an individual pledged as collateral, or have the loan cosigned by another

BANK LENDING DECISIONS Lesson 34**BANK LENDING DECISIONS**

- 1. Banks are very cautious in lending money, particularly to new ventures.**
 - a. Commercial loan decisions are made only after the loan officer does a careful review of the borrower.
 - b. Decisions are made based on quantifiable and subjective judgments.
- 2. Bank lending decisions can be summarized by the five C's-Character, Capacity, Capital, Collateral, and Conditions.**
 - a. Past financial statements are reviewed in terms of key ratios and the entrepreneur's capital invested.
 - b. Future projections on market size, sales, and profitability are evaluated.
 - c. Intuitive factors-Character and Capacity-are also taken into account and become more important when there is little or no track record.
- 3. The loan application format is generally a "mini" business plan.**
 - a. This provides the loan officer with information on the creditworthiness of the individual and the ability of the venture to repay the loan.
 - b. Presenting a positive business image and following procedure are important in obtaining the funds.
- 4. The entrepreneur should borrow the maximum amount possible that can be repaid, as long as the prevailing interest rates and terms are satisfactory.**
 - a. Care must be taken to ensure that the venture will generate enough cash flow to repay the interest and principal on the loan.
 - b. The entrepreneur should evaluate the track record and lending policies of several banks in the area.

SMALL BUSINESS ADMINISTRATION LOANS

- A. When an entrepreneur is unable to secure a regular commercial bank loan, an alternative is a Small Business Administration (SBA) Guaranty Loan.**
 1. The SBA guarantees that 80% of the loan will be repaid to the bank by the SBA if the company can't pay.
 2. This allows the bank to make loans that have higher risks.
 3. This procedure is the same as for securing a bank loan, except that government forms and documentation are required.
- B. Both long and short-term loans can be guaranteed by the SBA.**
 1. A maximum loan period of 15 years on existing buildings and 20 years on new construction can be obtained.
 2. For inventory, equipment, or working capital, a maximum of 10 years is available, although five years is the usual.
 3. Once the application has been filled out, it usually is processed within 15 days.
 4. There are additional reporting requirements beyond those for a conventional bank loan.
 5. Since there is no difference in interest rates charged between conventional bank loans and SBA-guaranteed loans, a commercial bank loan is usually better.
 6. A good banking relationship is very valuable as the venture grows.

C. For most SBA loans, there is no limit to the amount of loan money requested, but there is practical limit of \$1 million.

- 1 The vast majority of small businesses are eligible for financial assistance from the SBA.
1. As defined by the Small Business Act, a small business is independently owned and operated and not dominant in its field of operation.
2. The size limits of a small business vary from industry to industry.
3. The proceeds of the loans can be used for almost any business purpose.
4. The interest rates are negotiated between the entrepreneur and the bank, but there are subject to SBA maximums.

SOURCES OF CAPITAL Lesson 35

LEARNING OBJECTIVES

1. To identify the types of financing available.
2. To understand the aspects of research and development limited partnerships.
3. To discuss government grants, particularly small business innovation research grants

RESEARCH AND DEVELOPMENT LIMITED PARTNERSHIPS

This method of financing provides funds from inventors looking for tax shelters. A typical R&D partnership arrangement is established with a sponsoring company developing the technology with funds being provided by a limited partnership of individual investors. Research and development limited partnerships are particularly good when the project involves a high degree of risk or significant expense.

Major Elements

The three components are the contract, the sponsoring company, and the limited partnership. The *contract* specifies the agreement between the sponsoring company and the limited partnership. The sponsoring company does not guarantee results, but performs work on a best-effort basis. The typical contract specifies that the liability for any loss be borne by the limited partners. There are some tax advantages for both the partnership and the company. This tax deduction is based on two authorizations:

1. Section 174 of the Internal Revenue Code.
2. The *Snow vs. Commissioner* case of 1974. Limited partners may deduct their investments in the R&D contract under Section 174 in the year their investments are made, significantly increasing the rate of return of the investment. The second component is the **limited partners**. The limited partners have limited liability but are not a taxable entity. Any tax benefits of the losses are passed directly to the limited partners. When the technology is successfully developed, the partners share in the profits. The *sponsoring company* acts as the **general partner** developing the technology. The sponsoring company usually has the base technology but needs to secure partners for commercial success. The company usually retains the rights to use this technology to develop other products.

Procedure

In the *funding stage*, a contract is established and the money invested for the proposed R&D effort. In the *development stage*, the company performs the actual research, using the funds of the limited partners. If the technology is successfully developed, the *exit stage* begins, with both parties reaping the benefits. In the typical agreement, the sponsoring company and limited partners form a new jointly owned corporation. An alternative is a royalty partnership in which a royalty based on the sale of the products is paid by the company to the limited partnership. The company and limited partners may form a joint venture to manufacture and market the product.

Benefits and Costs

R&D limited partnerships provide the needed funds with a minimum of equity dilution while reducing the risks. The sponsoring company's financial statements are strengthened.

Costs

There is considerable time and money involved.
Most R&D limited partnerships are unsuccessful.
The restrictions placed on the technology may be substantial.
The exit from the partnership may be too complex.

Examples

Successful R&D limited partnerships include Syntex Corporation, Genetech, and

Trilogy Limited. R&D limited partnerships offer one alternative to funding technological development.

GOVERNMENT GRANTS

The **Small Business Innovation Research (SBIR) grant** program helps entrepreneurs obtain federal grant money to develop an innovative idea. The act requires all federal agencies to share a portion of the R&D funds with small businesses. This provides a uniform method of soliciting, evaluating, and selecting research proposals. Eleven agencies are involved in the program. Small businesses submit proposals directly to each agency. The agencies evaluate each proposal on a competitive basis and make awards. The SBIR grant program has three phases. **Phase I** awards are up to \$50,000 for six months of feasibility-related experimental or theoretical research. **Phase II** is the principal R&D effort. Phase II awards are up to \$500,000 for 24 months of further research and development. The money is to be used to develop prototype products. In **Phase III** funds from other sources, such as the private sector or regular government contracts, are needed to commercialize the developed technologies.

Procedure

The agencies publish solicitations describing the areas of research they will fund. The second step is submission of the proposal by a company or individual. Each agency screens the proposals it receives, and those passing are evaluated by experts. Awards are granted to those projects that have the best potential for commercialization. Any patent rights, research data, and software generated are owned by the company, not the government. The SBIR grant program is one alternative for a technically based entrepreneurial company that is independently owned and operated and employs 500 or fewer individuals.

SOURCES OF CAPITAL Lesson 36**PRIVATE PLACEMENT**

A final source of funds is private placement with investors who may be family and friends or wealthy individuals.

Type of Investors

1. An investor usually takes an equity position and can influence the nature of the business to an extent.
2. The investors' degree of involvement is important for the entrepreneur to consider.
3. Some investors want to be actively involved in the business, and others are more passive.

Private Offerings

1. Public offerings involve much time and expense.
2. Registering the securities with the Securities and Exchange Commission (SEC) requires a number of reporting procedures once the firm has gone public.
3. This public process was established to protect unsophisticated investors.
4. A **private offering** is faster and less costly than other funding.
5. These sophisticated investors still need access to material information about the company.

Regulation D

1. Regulation D contains:
 - a. A number of broad provisions designed to simplify private offerings.
 - b. General definitions of what constitutes a private offering.
 - c. Specific operating rules-Rule 504, Rule 505, and Rule 506.
2. The entrepreneur carries the burden of proving that the exemptions granted have been met.
 - a. Each offering memorandum needs to be numbered and contain instructions that the document should not be disclosed.
 - b. The date that the investor reviews the company's information should be recorded.
 - c. The book documenting all specifics of the offering should be placed in the firm's permanent file.
3. Under Rule 504 a company can sell up to \$500,000 of securities to any number of investors in any 12-month period.
4. Rule 505 permits the sale of \$5 million of unregistered securities in the private offering in any 12-month period.
 - a. These can be sold to any 35 investors, and an unlimited number of accredited investors.
 - b. "Accredited investors" include:
 - (i) Institutional investors
 - (ii) Investors who purchase over \$150,000 of the issuer's securities.
 - (iii) Investors whose net worth is \$1 million.
 - (iv) Investors with incomes in excess of \$200,000 in the last two years.
 - (v) Directors, officers, and general partners of the issuing company.
 - c. Rule 505 permits no general advertising.
 - d. Two-year financial statements must be available.
 - e. All companies selling private-placement securities must furnish appropriate company information to both accredited and unaccredited investors and allow any questions to be asked prior to the sale.

5. Rule 506 allows an issuing company to sell an unlimited amount of securities to 35 investors and an unlimited number of accredited investors.

In securing outside funding, the entrepreneur must disclose all information as accurately as possible.

1. If the business turns sour, both investors and regulators scrutinize the company's disclosures.
2. When a violation of security law is discovered, management can be held liable.
3. Lawsuits under securities law by damaged investors have almost no statute of limitations.
4. The entrepreneur needs to be careful to make sure all disclosures are accurate.
5. The SEC can also take administrative, civil, or criminal action, without any individual lawsuit involved.

BOOTSTRAP FINANCING

Bootstrap financing is particularly important at start-up and early years of the venture when capital is more expensive

Outside capital has many costs:

1. It takes time to raise outside capital when the company can least afford the time.
2. Outside capital often decreases a firm's drive to make money.
3. The availability of capital increases the impulse to spend.
4. Outside capital can decrease the company's flexibility and hamper the creativity of the entrepreneur.
5. Outside capital may cause more disruption and problems in the venture than without it.

In spite of these potential problems, an entrepreneur at times needs equity funding.

1. Outside capital should only be sought after all possible internal sources of funds have been explored.
2. When outside funds are obtained, the entrepreneur should not forget the basics of the business.

CAPITAL SOURCES IN PAKISTAN Lesson 37**PROVINCIAL LEVEL INSTITUTIONS****1. Punjab Small Industries Corporation (PSIC)**

In the province of Punjab PSIC was established in 1972 as an autonomous body for the promotion and development of the small-scale industries in the province. The PSIC covers the critical areas of investment promotion and provision of credits for setting up new industries and modernization of the existing ones. It also promotes the common facility center, technology transfer, guidance, handicrafts development and design facilities.

(a) Financing and Loans

PSIC is providing two types of loans to its clients, working capital and capital investment loans. The maximum limit of loan is RS. 7.5 Lac. There are district officers appointed for monitoring the loan recovery and in the case of unrecoverable loans, they are transferred to the revenue authorities. PSIC has managed to recover 81.6% of all loans given out. Disbursing Rs. 1768.537 million to 6339 units through its 8 regional offices (till 31-02-2001). The debt equity ratio for loan up to Rs. 7.5 Lac is 70:30.

(b) Industrial Estates

PSIC has developed 14 industrial estates in various areas of the Punjab. The costs of land within these industrial states have been subsidized to allow the development of the small-scale sector.

(c) Services and Programs

PSIC has also launched "Rural Industrialization Program" to control unemployment and strengthen the marginal household income through stimulation of industrial growth in the urban and rural areas of the Punjab. PSIC has established various types of service centers e.g. metal industries development center, Sialkot, Engineering service centers. Gujranwala, institute of pottery development, Shahdara etc

2: Sindh Small Industries Corporation (SSIC)

SSIC was established in 1972 having motives to indulge into promotional activities of small-scale industries in Sindh. The objectives of SSIC include financial assistance, education of craftsman, census and survey of cottage and small industries, procurement and distribution of raw materials to artisans and craftsman. SSIC was also involved in the Prime Minister's self-employment scheme for the dispersal of the micro credits.

(a) Industrial Estates and Colonies

The SSIC has established 17 industrial estates in Sindh. Total number of plots developed there are 1938 and there are 302 units working utilizing 571 plots. There are six different craftsman colonies established having 92 shops.

(b) Financing Schemes

The SSIC also launched a credit scheme in 88/89. The rate of markup was 7% for industrial estates and 11% for factories outside the industrial estates. The scheme was discontinued in 1993 due to shortage of funds although SSIC has created already 526 jobs and disbursed 20.6 million rupees. In October 1992, a self-employment scheme was started for locally manufactured machinery

(LMM). The loan ceiling is 1 million with the markup rate of 14%. The total amount disbursed to 171 units is rupees 98 million. The recovery rate is 47%.

3. Small Industries Development Board (SIDB) NWFP

The SIDB was established in 1972. It is playing a promotional role to support and assist the development of small and cottage industry in the province. The SIDB is an autonomous body, focusing on manpower training, model projects and industrial infrastructure. It has 14 regional offices in the different cities of NWFP.

a. Training Centers

SIDB has established carpet centers in five cities of NWFP and has trained 1327 number of trainees. The SIDB has established “Patti” training centers, textile training and “gabba” training centers which has trained 151 trainees.

b. Development Programs and Model Projects

SIDB has also launched various women development programs, which has trained 2062 women trainees in a number of fields of work. The SIDB is also involved in establishing other various kinds of model projects for wood working, leather goods, wool spinning, ceramic device etc. The total number of trainees trained is about 8000.

c. Industrial Estates

SIDB has established 9 industrial estates. There are a total of 1620 plots and the total jobs created are 4405.

d. Financial Assistance

SIDB is also managing different credit schemes for small industries. To date, a total number of 198 million rupees have been disbursed to 452 enterprises. SIDB is also disbursing credit under the self-employment scheme.

4. Directorate of Industries (Balochistan)

The directorate of industries was formed in 1976 and it looks after all the promotional schemes for SMEs. Further more, the directorate is also involved in providing various kinds of advisory and consultancy services.

a. Training Centers

The directorate operates sixty-three training centers in various trades, one service center, 5 sales and display shops and one small-industries estate. Of the 63 training centers, about third are carpet centers, seven are embroidery centers and the others cover areas like tailoring, wood work, marble work, mazri and durree production.

FINANCIAL INSTITUTIONS In order to meet this financing requirement, a number of institutions have been formed. These are:

Small Business Finance Corporation (SBFC).
Youth Investment Promotion Scheme (YIPS).
Regional Development Finance Corporation (RDFC).
Industrial Development Bank of Pakistan (IDBP).

A few commercial banks such as Allied Bank Limited and First Women Bank Limited have also started schemes to provide loans to low-income clients who are generally not able to access the formal source of financing.

Small Business Finance Corporation (SBFC)

It was established in 1972 as a federal entity. The main aim was at the time of establishment, to assist small entrepreneurs for self-employment and setting up cottage industry. The mark up was kept lower; the majority lending was towards self-employment leaving only 2% for small industries.

Restructuring SBFC

The management took over in year 2000 and restructured the entire corporation. The restructuring was based on the facts that SBFC has deviated from its main aim resulting in a weak balance sheet. 70% of its credit portfolio was infected by non-performing loans. Usage of information technology was non-existing and the management was ineffective. There were 1400 employees at 96 branches. The internal control and management was highly ineffective with poor quality of human resources, poor work ethics, poor infrastructure and non-existence of training and development culture.

Restructured SBFC

The total number of branches has been reduced to 63 around 270 people opted for golden handshake. Separate human resource department has been setup, a separate information technology department was established to spread IT knowledge among SBFC employees, and a treasurer division has been setup in Karachi, which is responsible for management of cash and surplus funds.

Financing Programs

SBFC is financing various types of projects such as Gem Stones, cotton ginning, textile apparel, and marble processing etc. currently SBFC can disburse up to rupees 1.5 million for a project having total cost of five million and lend up-to 50% of the total project cost of small businesses but for that total project cost should not exceed 50 million. It can also share up to 30% of total projected cost for a medium sized industry where the total project cost does not exceed rupees 100 million.

Regional Development Finance Corporation

The Regional Development Finance Corporation was established in 1985 having paid up capital of Rs. 172,500 million and with the specific objective of promoting the industrialization of the less developed areas of the country. RDFC is a multi-product financial institution. It participates in money market, capital market and micro credit delivery. The head office of RDFC is located

at Islamabad and a network of 14 branches carries out its operations across the country. Besides financing of medium to large sized industrial concerns RDFC has been involved in disbursing micro and small sized loans. However, over the last few years the organization has restrained from forwarding long-term project loans and currently is in the process of recovering loans from the borrowers.

Financing Programs

Various schemes have been initiated with credit lines from local as well as foreign sources. It has also started a micro credit scheme called the Credit for Rural Women (ICRW) under which small loans ranging from Rs. 25000 to Rs. 200,000 are disbursed to women entrepreneurs on subsidized interest rates of 10%. The total disbursements under the scheme stand at Rs. 2.5 million. RDFC was allocated a credit line of Rs. 167 million for the self-employment schemes out of which a total of Rs. 80 million was disbursed.

Industrial Development Bank of Pakistan

IDBP is Pakistan's one of the oldest development financing institution created with the primary objective of extending term finance for investment in the manufacturing sectors in the economy. Over the years however, the bank has emerged as an institution fostering the growth and development of SME sector stimulating industrial progress in the rural or less developed regions of the country. As a part of its services the bank offers business development assistance through providing information on potential small-scale investment projects. In this regard numerous pre-feasibility studies have been developed for identification of viable sub sectors.

The Role of NGOs

The NGOs are working on socio-economic sector in the development of SMEs. They are privately owned organization registered under the social welfare act. They normally work through grants, aids or donation based finances. They are having a very constructive role in the SME development. The special property of this sector is gender development. They at some places tried to replicate Grameen banks model.

**PREPARING FOR THE NEW VENTURE LAUNCH: EARLY MANAGEMENT
DECISIONS (Continued....) Lesson 38**

RECORD KEEPING

It is necessary to have good records for effective control and for tax purposes. The entrepreneur should be comfortable and able to understand what is going on in the business. With software packages, much of the record keeping can be maintained on a personal computer. The goals of a good record keeping system are to identify key incoming and outgoing revenues that can be effectively controlled.

Sales (Incoming Revenue)

It is useful to have knowledge about sales by customer both in terms of units and dollars. The entrepreneur of a retail store might try to identify the profile of the type of customer that patronizes the store. Retailers also like to have information on specific customers. Credit card purchases can be tracked for information on the type and amount of merchandise purchased. An Internet venture can maintain purchase history data on the types of products purchased. Customers' e-mail addresses can be requested so the customer can be notified of sales. Some Internet firms have established a free membership as a means of following up. In a service venture, records would need to be maintained on when a customer paid their monthly fee. As cash flow problems are the most significant cause of new venture failure, good payment records are necessary. Record keeping of payments can either be handled by a computer software package or a simple card file system. If payments are late beyond a reasonable time, it may be necessary to hire a collection agency, but only as a last resort.

Expenses/Costs (Outgoing Revenue)

Records of expenses are easily maintained through the checking account. It is good business practice for the entrepreneur to use checks as payment for all expenses in order to maintain records for tax purposes. Canceled checks provide proof of payment. In the early stage, it may be desirable to make all payments on time to establish credibility with suppliers. The entrepreneur should maintain information about employees either in a software program or in a card file. It may be necessary to maintain records on all assets owned by the business.

Other Records

The entrepreneur should maintain information about employees either in a software program or in a card file. Records on all assets owned may be needed. With a good record keeping system it is easy to maintain controls over cash disbursements, inventory, and assets.

**PREPARING FOR THE NEW VENTURE LAUNCH: EARLY MANAGEMENT
DECISIONS (Continued....) Lesson 39**

RECRUITING AND HIRING NEW EMPLOYEES

The entrepreneur will generally need to establish procedures and criteria for hiring new employees.

Advertising in local newspapers and referrals from friends and associates is most effective for entry-level positions. For senior management the most effective strategy is networking with friends and business associates. Personnel agencies may also be considered if there are no other effective options.

Once resumes have been collected some basis of determining each candidate's strengths should be made.

Some criteria must be used in the resume evaluation. Factors such as education, prior experience, entrepreneurial activities, and interests can be used to assess candidates. From the initial screening of resumes, a few candidates can be invited in for an interview. Most firms use an interview form with critical factors listed for evaluating the interview candidates. The goal should be to hire not only the best candidate but also someone who will perform well in the entrepreneurial environment and provide a long-term solution to the available position.

The interview

The interviewer should ask all of his or her questions at the beginning of the interview. It allows the interviewer to evaluate the candidate's behavior. It avoids talking too much and not listening. Upon completion of the interview, the firm should be sure to check all of the candidate's references.

Acquiring senior talents can be critical to the venture's ability to successfully meet its growth goals.

Recruiting for upper management in an entrepreneurial firm

Many executives choose to become part of the entrepreneurial process rather than continue working in structured big business. The entrepreneur should use all his or her contacts and recognize that every potential candidate is different.

MOTIVATING AND LEADING THE TEAM

- The entrepreneur will usually be a role model for any other employees.
- It is important that the founder assume the role of leader to the management team and employees.
- Communication with managers and employees is one of the most important leadership qualities.

**PREPARING FOR THE NEW VENTURE LAUNCH: EARLY MANAGEMENT
DECISIONS (Continued....) Lesson 40**

MOTIVATING AND LEADING THE TEAM

The entrepreneur will usually be a role model for any other employees.

Good work ethic will go a long way toward achieving financial and emotional success. During the early stages employees need incentives to remain committed and loyal to the long run success of the new venture.

It is important that the founder assume the role of leader to the management team and employees.

Leadership is also influencing and inspiring others in the organization to strive to meet the mission of the venture. Below are some behaviors that can exhibit the leadership qualities necessary for the new venture. Set an example with an ethical set of values for other managers and employees. Show respect and concern for the personal well being of employees. Don't try to do everything yourself. Recognize the diversity of employees and how they should be treated. Encourage and praise others in the organization when deserved. Provide incentives and awards for quality work effort and new ideas. Recognize the importance of employees having fun at their jobs. Be aware of the need for future strategic planning.

Communication with managers and employees is one of the most important leadership qualities.

FINANCIAL CONTROL

The entrepreneur will need some knowledge of how to provide appropriate controls to ensure that projections and goals are met. Financial skills are needed for the entrepreneur to manage during early years. The cash flow statement, income statement, and balance sheet are key areas needing careful management and control. Some financial skills are necessary for the entrepreneur to manage the venture during the early years.

Managing Cash Flow

An up-to-date assessment of cash position, such as a monthly cash flow statement, is needed. The cash flow statement may show the actual amounts next to the budgeted amounts. It is useful for adjusting the pro forma and indicating potential cash flow problems. A cash flow crisis can occur suddenly and unexpectedly. Cash flow analysis can also involve sensitivity analysis: for each monthly expected cash flow the entrepreneur can use a +/-5% that would provide a pessimistic and optimistic cash estimate. For the very new venture it may be necessary to prepare a daily cash sheet. Comparison of budgeted or expected cash flows with actual cash flows can provide an assessment of potential cash needs and indicate possible problems in the management of assets and control of costs.

Managing Assets

In addition to cash management, other items such as accounts receivable and inventory also need to be controlled. Management of credit may include acceptance of credit cards or use of internal credit. Using outside credit cards shifts the credit risk to the outside company but increases costs. Using internal credit makes the firm responsible for collecting delinquent payments, and payment delays can create negative cash flows. The entrepreneur will need to be sensitive to

major changes in accounts receivable and should always compare actual with budgeted amounts. Inventory is an expensive asset, and requires careful balance. If inventory is low and the firm cannot meet demand, sales will be lost. Carrying excess inventory can be costly. An inventory control system allows the company to monitor key figures, such as inventory turnover and percentage of customer complaints. The entrepreneur will need to determine the value of inventory and determine how it affects the cost of goods sold. Most firms use a **FIFO**(first-in, first-out) system since it reflects truer inventory and cost values. There are good arguments for the use of **LIFO** (last-in, first-out) in times of inflation. The decision to convert from a FIFO to a LIFO system is complex and requires careful evaluation. It is necessary to decide if inventory is to be grouped into categories or to cost each item individually. All inventories must be costed by searching through historical records.

An average inventory cost must be calculated. Conversion to LIFO can typically be beneficial if the following conditions exist: Rising labor, materials, and other production costs are anticipated. The business and inventory are growing. The business has some computer-assisted inventory control method capability. The business is profitable. The entrepreneur must keep careful records of inventory using perpetual inventory systems followed by a periodic physical count. Fixed assets have certain costs related to them, such as depreciation. If the entrepreneur cannot afford to buy equipment or fixed assets, leasing could be an alternative. Leasing may be a good alternative to buying depending on the terms of the lease and type of asset. Leases for automobiles may be more expensive than a purchase. However, lease payments represent an expense and can be used as a tax deduction. Leases are also valuable for equipment that becomes obsolete quickly. The entrepreneur should consider all costs associated with a lease-or-buy decision as well as the impact on cash flows.

PREPARING FOR THE NEW VENTURE LAUNCH: EARLY MANAGEMENT DECISIONS (Continued....) Lesson 41

LONG-TERM VS SHORT-TERM DEBT

The entrepreneur may need to borrow funds to finance assets and meet cash needs. Fixed assets are usually financed by long-term debt borrowed from a bank. Alternatives include borrowing from family members, having partners contribute more funds or selling corporate stock. Many of these options require the entrepreneur to give up some equity.

MANAGING COSTS AND PROFITS

An interim income statement helps to compare the actual with the budgeted amount for that period. The most effective use of the interim income statement is to establish cost standards and compare the actual with the budgeted amount for that time period. Costs are budgeted based on percentages of net sales. These percentages can be compared with actual percentages to see where tighter cost controls may be necessary. This lets the entrepreneur manage and control costs before it is too late. In later years, it is also helpful to look back on the first year of operation and make comparisons month-to-month. When expenses or costs are much higher than budgeted, the entrepreneur may need to determine the exact cause. Comparison of actual and budgeted expenses can be misleading for ventures with multiple products or services. For financial reporting purposes, the income statement summarizes expenses across all products and services. This does not indicate the marketing cost for each product nor should the most profitable product. Allocating expenses over product lines be done as effectively as possible to avoid arbitrary allocation of costs.

TAXES

The entrepreneur will be required to withhold federal and state taxes for employees and make deposits to the appropriate agency. Federal taxes, state taxes, social security, and Medicare are withheld from employees' salaries and are deposited later. The entrepreneur should be careful not to use these funds. The new venture may also be required to pay state and federal unemployment taxes. Federal and state governments will require the entrepreneur to file end-of-the-year returns of the business.

RATIO ANALYSIS Calculations of **financial ratios** can also be valuable as an analytical and control mechanism. These ratios serve as a measure of the financial strengths and weaknesses of the venture, but should be used with caution. There are industry rules of thumb that the entrepreneur can use to interpret the financial data.

Liquidity Ratios *Current ratio* is commonly used to measure the short-term solvency of the venture or its ability to meet its short-term debts. The current liabilities must be covered from cash or its equivalent. The formula is:

$$\text{Current ratio} = \frac{\text{current assets}}{\text{current liabilities}}$$

While a ratio of 2:1 is generally considered favorable the entrepreneur should also compare this ratio with industry standards.

Acid test ratio is a more rigorous test of the short-term liquidity of the venture.

It eliminates inventory, which is the least liquid current asset.
The formula is:

$$\text{Acid test} = \frac{\text{current assets} - \text{inventory}}{\text{ratio current liabilities}}$$

Usually a 1:1 ratio would be considered favorable.

Activity Ratios

Average collection period indicates the average number of days it takes to convert accounts receivable into cash.

This ratio helps gauge the liquidity of accounts receivable or the ability of the venture to collect from its customers.

The formula:

$$\text{Average collection} = \frac{\text{accounts receivable}}{\text{period average daily sales}}$$

This result needs to be compared to industry standards.

Inventory turnover measures the efficiency of the venture in managing and selling its inventory. A high turnover is a favorable sign indicating the venture is able to sell its inventory quickly.

$$\text{Inventory turnover} = \frac{\text{cost of goods sold}}{\text{inventory}}$$

Debt ratio helps the entrepreneur assess the firm's ability to meet all its obligations. It is also a measure of risk because debt also consists of a fixed commitment.

The calculation:

$$\text{Debt ratio} = \frac{\text{total liabilities}}{\text{total assets}}$$

Debt to equity ratio assesses the firm's capital structure. It provides a measure of risk by considering the funds invested by creditors and investors. The higher the percentage of debt, the greater the degree of risk to any of the creditors the calculation:

$$\text{Debt to equity ratio} = \frac{\text{total liabilities}}{\text{stockholder's equity}}$$

Profitability Ratios *Net profit margin* represents the venture's ability to translate sales into profits. You can also use gross profit as another measure of profitability. It is important to know what is reasonable in the particular industry as well as to measure these ratios over time. The calculation:

$$\text{Net profit margin} = \frac{\text{net profit}}{\text{net sales}}$$

Return on investment measures the ability of the venture to manage its total investment in assets. By substituting stockholders' equity for assets, you can also calculate a return on equity.

The calculation:

$$\text{Return on} = \frac{\text{net profit}}{\text{investment total assets}}$$

The result of this calculation will also need to be compared to industry data. As the firm grows it will be important to use these ratios in conjunction with all other financial statements to provide an understanding of how the firm is performing.

RAPID GROWTH AND MANAGEMENT CONTROLS

Rapid growth may result in management problems. Before rapid growth occurs, the new venture is usually operating with a small staff and limited budget. Rapid growth may also dilute the leadership abilities of the entrepreneur. The entrepreneur's unwillingness to delegate responsibility can lead to delays in decision-making. The entrepreneur can avoid these problems through preparation and sensitivity. It may be necessary to limit the venture's growth if the future financial well being of the venture means a more controlled growth rate. The limits to the growth of any venture will depend on the availability of a market, capital, and management talent. Too rapid growth can stretch these limits and lead to serious financial problems.

CREATING AWARENESS OF THE NEW VENTURE

In the early stages, the entrepreneur should focus on developing awareness of the products offered through:

1. Publicity
2. Internet Advertising
3. Trade Shows
4. Selecting an Advertising Agency

PREPARING FOR THE NEW VENTURE LAUNCH: EARLY MANAGEMENT DECISIONS (Continued....) Lesson 42

CREATING AWARENESS OF THE NEW VENTURE

In the early stages, the entrepreneur should focus on developing awareness of the products offered.

Publicity is free advertising provided by a media outlet. Many local media encourage entrepreneurs to participate in their programs. The entrepreneur can increase the opportunity for getting exposure by preparing a news release and sending it to as many media sources as possible. For radio or TV, the entrepreneur should identify programs that may encourage local entrepreneurs to participate. Free publicity can only introduce the company. Advertising can be focused on specific customers.

Internet Advertising

The Internet is an excellent medium to create awareness and to effectively support early launch strategies. Creating a website is the most important first stage. The website should indicate: Background of the company. Its products, officers, address, telephone and fax numbers. Contact names for potential sales. Direct sales from the website may also be available. Significant advertising is needed to create interest and awareness of the existence of the website. It is important to change the content of the website as necessary. The entrepreneur may also consider using a banner ad, small rectangular ads similar to billboard ads that appear on browser websites.

Trade Shows

Every industry has a trade or professional association that sponsors annual trade shows. Although creating a booth can be very expensive, trade shows are where hundreds of thousands of people observe or identify trends in their industry. There is strong evidence to indicate that the cost per sale from a trade show is significantly less than the cost per sale from a personal sales call.

Selecting an Advertising Agency

Advertising agencies can provide many promotional services. The advertising agency is an independent business organization composed of creative and business people who develop, prepare, and place advertising in media for its customers. The agency can provide assistance in marketing research. It is important to determine whether the agency can fulfill all of the needs of the new venture. A checklist of items that the entrepreneur may consider in evaluating an agency is useful. The agency should support the marketing program and assist the entrepreneur in getting the product effectively launched.

HIRING EXPERTS

If the entrepreneur has no expertise in financial analysis, marketing research, or promotion, he or she should hire outside experts. There are accountants, financial experts, and advertising agencies that cater to new ventures.

NEW VENTURE EXPANSION STRATEGIES AND ISSUES Lesson 43**LEARNING OBJECTIVES**

1. To explain the methods for expanding the venture.
2. To discuss the types of joint ventures and their uses.
3. To discuss the concepts of acquisitions and mergers.
4. To discuss the appropriateness and uses of leveraged buyouts.
5. To discuss the different types of franchises.
6. To identify the steps in evaluating a franchise opportunity.

JOINT VENTURES

with the increase in business risks, hyper-competition, and failures, joint ventures have increased. A **joint venture** is a separate entity involving two or more participants as partners. They involve a wide range of partners, including universities, businesses, and the public sector.

Historical Perspective

Joint ventures are not new. In the U.S. joint ventures were first used for large-scale projects in mining and railroads in the 1800s. The largest joint venture in the 1900s was the formation of ARAMCO by four oil companies to develop crude oil reserves in the Middle East. Domestic joint ventures are often vertical arrangements made between competitors allowing economies of scale. The increase in the number of joint ventures has been significantly throughout the 1990s.

Types of Joint Ventures

The most common type is that between two or more private-sector companies. Some joint ventures are formed to do cooperative research. Another type of joint research for research development is the not-for-profit research organization. Industry-university agreements for the purpose of doing research are also increasing. Two problems have kept this type venture from increasing even faster. A profit corporation wants to obtain tangible results-such as a patent-from its research investment, and universities want to share in the returns. The corporation usually wants to retain all proprietary data while university researchers want to make the knowledge available. Joint ventures between universities and corporations take many forms, depending on the parties involved and the subject of the research. International joint ventures are increasing rapidly due to their relative advantages. Both companies can share in the earnings and growth. The joint venture can have a low cash requirement. Also, the joint venture provides ready access to new international markets. Such a venture causes less drain on a company's managerial and financial resources than wholly owned subsidiary. There are drawbacks in establishing international joint ventures. The business objectives of the partners can be quite different. Cultural differences can create managerial difficulties. Government policies sometimes can have a negative impact on the venture. The benefits usually outweigh the drawbacks.

Factors in Joint Venture Success

One critical factor for success is the accurate assessment of the parties involved and how best to manage the new entity. A second factor involves the symmetry between the partners. Another factor is that the expectations about the results of the joint venture must be reasonable. The final factor is the timing. **A joint venture should be considered as one of many options for supplementing the resources of the firm.**

ACQUISITIONS An **acquisition** is the purchase of a company or a part of it in such a way that the acquired company is completely absorbed and no longer exists. Acquisitions can provide an excellent way to grow a business and enter new markets. A key issue is agreeing on a price. Often the structure of the deal can be more important to the parties than the actual price. A prime concern is to ensure that the acquisition fits into the overall direction of the strategic plan.

Advantages of an Acquisition

1. Established business.
2. The acquired firm has an established image and track record.
3. The entrepreneur would only need to continue the existing strategy to be successful.
4. Location is already established.
5. Established marketing structure
6. An important factor that affects the value of a firm is its existing marketing channel and sales structure. With this structure already in place, the entrepreneur can concentrate on expanding to new target markets.
7. The total cost of acquiring a business could be lower than trying to buy a franchise.
8. Existing employees
9. The employees of an existing business can be important assets. They know the business and can help the business continue. Employees already have established relationships with customers, suppliers, and channel members.
10. More opportunity to be creative-More time can be spent assessing opportunities to expand or strengthen the business.

NEW VENTURE EXPANSION STRATEGIES AND ISSUES (Continued....) Lesson 44**LEARNING OBJECTIVES**

1. To explain the methods for expanding the venture.
2. To discuss the types of joint ventures and their uses.
3. To discuss the concepts of acquisitions and mergers.
4. To discuss the appropriateness and uses of leveraged buyouts.
5. To discuss the different types of franchises.
6. To identify the steps in evaluating a franchise opportunity.

DISADVANTAGES OF AN ACQUISITION

- **Marginal success record**
Most ventures for sale have an erratic, or even unprofitable, record. It is important to review the records and meet important constituents to assess the future potential.
- **Overconfidence in ability**
Even though the entrepreneur brings new ideas, the venture may never be successful for reasons not possible to resolve
- **Key employee loss**
Often when a business changes hands key employees also leave. In a service business, it is difficult to separate the actual service from the person who performs it. Incentives can sometimes be used to assure that key employees will remain with the business.
- ▮ **Overvalued** If the entrepreneur has to pay too much for a business, the return on investment will not be acceptable. The entrepreneur will need to establish a reasonable payback to justify the investment.

DETERMINING THE PRICE FOR AN ACQUISITION

Some of the key factors used in determining price for an acquisition are assets, owner's equity, earnings, stock value, customer base, personnel and image. The price paid should provide the opportunity to get a reasonable payback and good return on the investment.

Valuation Approaches

▮ Ratios measuring profitability, activity, and liquidity can also be helpful in evaluation. Using the **asset valuation method**, the entrepreneur values the underlying worth of the business based on its assets.

- a. The figure obtained using book value should be only a starting point, as it reflects the accounting practices of the company.
- b. In adjusted book value the stated book value is adjusted to reflect the actual market value.
- c. Another method is to determine the amount that could be realized if the assets were sold or liquidated.
- d. The final method is the replacement value-the current cost of replacing the tangible assets.

▮ Another way of evaluating a firm is to calculate the prospective **cash flow** from the business.

- a. Positive cash flow is cash received from the operation of the business.
- b. A negative cash flow, signifying the company is losing money, can have tax advantages.

c. Final cash flow value, the terminal value, is a source of cash when the entrepreneur sells the business.

Earnings valuation capitalizes earnings of a company by multiplying earnings by the appropriate factor (the price earnings multiple.)

a. The question of earnings involves determining the appropriate earnings period as well as the type of earnings.

b. The earnings period can be either historical earnings or future earnings.

c. Earnings before interest and taxes (EBIT) are the most frequently used.

d. It is appropriate to select a price earnings multiple of a publicly traded stock similar to the company being evaluated. The valuation of a business is important in determining the feasibility of the acquisition.

SYNERGY

Synergy is "the whole is greater than the sum of the parts." With reference to the venture synergy refers to the phenomenon in which two or more discrete influences or organizations acting together create an effect greater than that predicted by knowing only the separate effects of the individual organizations.

An acquisition should positively impact the bottom line.

Lack of synergy is a frequent cause of the acquisition failing to meet goals. Evaluation should consider the upside potential, downside risks, and vulnerability to changes in markets and technology. Some of the warning signs include poor corporate communications, poorly prepared financial statements, and few new products.

The evaluation process begins with financial analysis.

Past operating results indicate the potential for future performance. Areas of weakness, such as too much leverage, should be carefully evaluated.

In considering a firm's product lines study the past, present, and future.

The life cycle and present market share of each of the present products should be evaluated. Also consider the compatibility of the firm's product lines. A method for evaluating the product line is the S or life-cycle curve plotting sales and margins for each product over time.

The future of the firm's products and market position is affected by its research and development.

In addition to the absolute dollar amount of R&D spending, it is important to determine whether expenditures are directed by the firm's long-range plans. The output and success of new products developed should be compared with the expenditures.

The entrepreneur should evaluate the firm's entire marketing program and capabilities.

Care should be taken in evaluating the established distribution system, sales force, and manufacturer's representatives. The entrepreneur can also gain insight by look at the company's marketing research efforts.

The nature of the manufacturing process is important in deciding whether to acquire a particular firm.

The entrepreneur should rate the management and key personnel of the candidate firm.

Specific Valuation Method

Step 1: Compound the current revenue level forward to yield a revenue level at time of liquidity.

Step 2: Multiply the future revenue level times the expected after-tax profit margin to produce an expected earnings level.

Step 3: Multiply the estimated earnings level at time of liquidity times

the expected price/earnings ratio to give a future market valuation. *Step 4:* Calculate the present value factor. *Step 5:* Divide the future company value by the present value factor to give a present value. *Step 6:* Divide the required capital by the present company value to obtain a minimum ownership for the investment required.

Structuring the Deal

The deal structure involves the parties, the assets, the payment form, and the timing of the payment.

There are two means of acquisitions. The entrepreneur may directly purchase the firm's entire stock using funds from an outside lender. Another option is a bootstrap purchase, acquiring a small amount of the firm for cash then purchasing the remainder by a long-term note.

Locating Acquisition Candidates

There are professional business **brokers**, operating similarly to a real estate broker that represents the seller.

Accountants, attorneys, bankers, business associates, and consultants may be aware of good candidates. It is also possible to find opportunities in the classified sections of the newspaper or trade magazine.

Analyzing Candidates

The entrepreneur should gather as much information as possible, read it carefully, consult with advisors, consider the situation, and then make a constructive decision. A profile containing acquisition criteria and prospect data can guide initial screening. Once the prospect passes the initial checklist, more rigorous analysis can evaluate the acquisition.

MERGERS

A **merger** is a transaction involving two or more companies in which only one company survives. Acquisitions are so similar to mergers, that the terms are often used interchangeably. A key concern in any merger or acquisition is the legality of the purchase. The Department of Justice frequently issues guidelines for horizontal, vertical, and conglomerate mergers. Merger motivations range from survival to protection to diversification to growth. A merger requires sound planning by the entrepreneur. Merger objectives must be spelled out with the resulting gains for the owners of both companies delineated. The entrepreneur must evaluate the other company's management and resources to ensure that the weaknesses of one do not compound those of the other. The entrepreneur should establish a climate of mutual trust. The same methods for valuing the entrepreneur's company can be used to determine the value of a merger candidate. The process involves looking at the synergistic product/market position, the new market position, and undervalued financial strength. A common procedure is to estimate the present value of discounted cash flows and the expected after-tax earnings attributable to the merger.

ENTREPRENEURSHIP & PAKISTAN Lesson 45**LEARNING OBJECTIVES**

1. To look at the history of entrepreneurship in Pakistan
2. To understand the nature of policies in industrialization.
3. To understand the profile of a typical entrepreneur in Pakistan.
4. To learn the purpose of new policies induction.
5. To identify different fields of entrepreneurship...
6. To understand the value of Pakistani entrepreneur in the region.
7. To illustrate some of the fundamental issues related to woman entrepreneurs...
8. To understand development made in woman entrepreneurship.
9. To look at the over all scenario of entrepreneurship in Pakistan.
10. Future of entrepreneurship in Pakistan.

ENTREPRENEURS IN PAKISTAN

Salient Features of Entrepreneurs in Pakistan are:

Age Pattern

“The mean age of entrepreneur was found to be 42 years and of their enterprises 12 years. It is comparable to the Korean age pattern (46)”.

Corporate status

Sole owner: He works with his own hands combines the entrepreneur function of initiating the business making investments, taking decisions and performing managerial functions”. *Heritage:* “Caste played an important role in certain industries and on the other hand heritage is dominant. But overall it is much diversified.”

Educational Level

“Differing from industry to industry 60% have school education and 30% have college or better education only 10% have professional or graduation level”.

Skills Level

Majority is skilled in family business Most of training is as a family member. Technically they are very skilled in hereditary business. New generation has professional education

Sizes and Investment

“Majority started in a small way with less than 10 workers and 1/2 to 2/3 of the firms started with less than 50,000 investments”

Growth

“The growth was fast in case of small firms than in large firms”.

Profitability

“Rate of profit is higher in case of small industries in comparison with the large industries.”

The Industrial History of Pakistan

Pakistan’s industrial history has been dominated by a single-minded emphasis on industry and that is of large-scale enterprises.

The fall out of that development strategy was formally adopted in the 60's as conscious policy step in the start of second policy plan period (1960-1965) has been large scale industrial holdings, accounting for much of the country's assets and capital. The feeling among the masses is that a few families control 70 to 80 percent of the country's assets, led to political rebellion. That rebellion also culminated in the dismemberment of the eastern part of the country. The primary causes for that tragedy, were basically economic in nature. The upheaval also generated a parallel economic thought, exclusive to the peculiarities of Pakistan's economy. That economic thought advocated across the board nationalization of economic assets as a vehicle for ensuring social justice in the society. The fall out of that strategy was two pronged:

1. Inefficient labor
2. Shaken Business Confidence

The reaction to that policy mix in the early 1980's was revert back to the Ayubian model of economic development. The model was characterized by:

1. Promotion of large-scale units
2. Expansion of large-scale enterprises
3. Banking sector turned to cater to large loans

The IMF conditions and poor recovery rate of huge borrowings played a major role in creating a negative point for the progress curve. These constraints further pushed the economy towards recession, industry towards sickness and individual units towards default. All these factors precipitated the rethinking of a strategy to revive the growth of economy.

It was due to non involvement of banks that medium scale and small-scale enterprises has got the attention of the stakeholders i.e. the economic managers and the private sector. The development of SMEs suits the current situation on account of the following factors.

1. Low overhead cost, low level of financing
2. Lesser pressure on the banking system
3. Employment generation
4. Entrepreneurial developments
5. Vendor based development
6. Development of large-scale industry on firm basis
7. A more just distribution of resources and profits

The pre-requisites for the development of SME sector rest heavily on an infrastructure tuned to support such developments that include:

- A banking system customized for SME development.
- One window operation

Currently, our banking system continues to be the large sector banker. Despite talk of SME development under the auspices of SMEDA and development of SME Bank and Khushali Bank, the financial sector's general response has been influenced by the security issue, i.e. against which asset the bank would be advancing loans to the small and medium scale business entity. In the absence of a customized banking setup, the development in the SME sector so far has been evolutionary and not the result of any conscious activities.

The growth of Pakistani entrepreneurship in good in region and can be compared with INDIA,

Sri Lanka and Malaysia I respect of following

	Rising stars%	Lost opportunity%
Pakistan	60.4	10
Sri Lanka	57.1	38.7
India	52.3	29.3
Malaysia	59.6	27.7

GENDER DEVELOPMENT STATUS WOMAN AS AN ENTREPRENEUR IN PAKISTAN

Each of the two genders of any society constitutes roughly half of the population, and Pakistan is no exception. People of both genders embody not only labor force, but also knowledge and creativity, which may be mobilized, to achieve economic ends. Discarding either of the genders, therefore, implies foregoing the potential benefits, which arise from mobilizing the respective human resources for development.

Pakistani women have been engaged in the production process for ages. Their participation in the economic activities in the modern society has also progressed beyond agriculture into the local market economy. Women are increasingly migrating to urban areas for employment in a range of cottage industries, such as carpet weaving, textiles and handicrafts. In search for wage employment, women are moving into small business and self-employment ventures thereby creating many formal and informal opportunities for work.

Women entrepreneurship in the formalized sense, however, remains a new concept. Our current strategies also tend to focus on increasing women's participation in the labor force. The business environment for women in Pakistan reflects a complex interplay of many factors made up of social, cultural, traditional and religious elements. These have taken shape over many centuries; are anchored in patriarchal system and are clearly manifested in the lower of women. The form of constitutional structures, policy documents, regulatory arrangements and institutional mechanisms is contemporary rather than traditional, so it is cosmetically impartial.

Yet the gender bias is rigid and deep-rooted as it draws legitimacy from the perpetuation of a traditional mind-set, established rituals and a firm belief system. It has conclusively been shown that women business owners encounter more obstacles, and face more risks, financially, socially, economically, culturally and legally than male business owners face.

The Government of Pakistan is well aware of the potential of the women in our society and the contribution they can make towards economic development. Women are continuously being encouraged to enter the business stream of the country and are being provided incentives. However, there still is a strong dearth of focused initiatives that need to be taken by existing business facilitation institutions.

The new scenario is giving rise to woman as entrepreneur as they have opened their own chamber of commerce. The woman bank is in Place and we can see lot of women coming up in-services sector, apparel, education and many such occupation.

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Question No : 1 of 60 Marks: 1 (Budgeted Time 1 Min)

A/an _____ is an online connection between the company and its customers.

Answer (Please select your correct option)

☐ E-Commerce

☐ World Wide Web

☐ Internet advertising

☐ Website

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Question No : 2 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following grants protection to owner from anyone else making, using and selling the identified innovation?

Answer (Please select your correct option)

☐ Utility patent

☐ Design patent

☐ Plant patent

☐ International patent

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Question No : 3 of 60 Marks: 1 (Budgeted Time 1 Min)

Which one of the following insurance is compulsory for companies according to law?

Answer (Please select your correct option)

☐ Life insurance

☐ Property insurance

☐ Disability and vehicle coverage

☐ Health care coverage

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Question No : 4 of 60 Marks: 1 (Budgeted Time 1 Min)

A legally binding agreement between two parties is called:

Answer (Please select your correct option)

☐ A contract

☐ Licensing

☐ Insurance

☐ A copyright

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Question No : 5 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is a powerful marketing tool for expansion of business in new market?

Answer (Please select your correct option)

☐ Licensing

☐ Product safety

☐ Insurance

☐ Copy rights

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Question No : 6 of 60 Marks: 1 (Budgeted Time 1 Min)

Which one of the following can be registered under design patent?

Answer (Please select your correct option)

- ☐ New product
- ☐ Original product
- ☐ Ornamental
- ☐ All of the given options

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Question No : 7 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is NOT a characteristic of marketing plan?

Answer (Please select your correct option)

- ☐ It should provide a strategy to accomplish the company's mission
- ☐ It should provide for the use of existing resources
- ☐ It should be simple and short
- ☐ It should be rigid

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Question No : 8 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is the simplest approach of gathering primary data?

Answer (Please select your correct option)

☐ Interviews

☐ Observations

☐ Surveys

☐ Focus Group

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Question No : 9 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is becoming the most important media for information and distribution?

Answer (Please select your correct option)

☐ Distribution channel

☐ Internet

☐ Radio

☐ Salesperson

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Question No : 10 of 60 Marks: 1 (Budgeted Time 1 Min)

The Statement "How do we get there?" relates to which of the following?

Answer (Please select your correct option)

- ☐ Considering Strength and Weaknesses
- ☐ Establishing goals and objectives
- ☐ Defining Marketing Strategies
- ☐ Defining the business situation

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Question No : 11 of 60 Marks: 1 (Budgeted Time 1 Min)

Advertising and promotion for the business-to-business market involve all of the following EXCEPT:

Answer (Please select your correct option)

- ☐ Indirect sales
- ☐ Trade magazine advertising
- ☐ Direct sales
- ☐ Trade shows

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Question No : 12 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is the most attractive form of business for raising capital?

Answer (Please select your correct option)

☐ Partnership

☐ Proprietorship

☐ Corporation

☐ Cooperative

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Question No : 13 of 60 Marks: 1 (Budgeted Time 1 Min)

The S corporation combines the tax advantages of which one of the following?

Answer (Please select your correct option)

☐ Proprietorship and limited liability company

☐ Partnership and corporation

☐ Corporation and limited liability company

☐ Partnership and proprietorship

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Question No : 14 of 60 Marks: 1 (Budgeted Time 1 Min)

In which of the following only one class of stock is permitted?

Answer (Please select your correct option)

☐ C Corporation

☐ S Corporation

☐ Limited Partnership

☐ The board of advisors

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Question No : 15 of 60 Marks: 1 (Budgeted Time 1 Min)

In which of the following shareholders enjoy more fringe benefits?

Answer (Please select your correct option)

☐ C Corporation

☐ S Corporation

☐ Limited Partnership

☐ Sole Proprietor

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Question No : 16 of 60 Marks: 1 (Budgeted Time 1 Min)

Which one of the following budget is used to provide a basis for evaluating expenditures that will affect the business for more than a year?

Answer (Please select your correct option)

☐ Financial

☐ Capital

☐ Operating

☐ Production

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Question No : 17 of 60 Marks: 1 (Budgeted Time 1 Min)

In partnership, the ability to raise capital depends on the _____ of the business.

Answer (Please select your correct option)

☐ Expansion

☐ Success

☐ Size

☐ Nature

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Question No : 18 of 60 Marks: 1 (Budgeted Time 1 Min)

All of the following are core principles of entrepreneurial finance, EXCEPT:

Answer (Please select your correct option)

- ☐ More cash is preferred to less cash
- ☐ Cash sooner is preferred to cash later
- ☐ Cash is cash no matter the source
- ☐ Less risky cash is preferred to more risky cash

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Question No : 19 of 60 Marks: 1 (Budgeted Time 1 Min)

In business usually the account receivables have which of the following nature?

Answer (Please select your correct option)

☐ Single

☐ Dual

☐ Triple

☐ Inert

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Question No : 20 of 60 Marks: 1 (Budgeted Time 1 Min)

Under Rule 504 of Regulation D, a company can sell up to _____ of securities in any 12-month period.

Answer (Please select your correct option)

☐ \$50,000

☐ \$100,000

☐ \$500,000

☐ \$1,000,000

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Question No : 21 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is the best alternative when the entrepreneur can not afford to buy fixed assets?

Answer (Please select your correct option)

☐ Borrowing

☐ Equity financing

☐ Reducing expenses

☐ Leasing

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Question No : 22 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is a liquidity ratio?

Answer (Please select your correct option)

☐ Acid test ratio

☐ Average collection period

☐ Inventory turnover

☐ Debt to equity ratio

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Question No : 23 of 60 Marks: 1 (Budgeted Time 1 Min)

In which of the following, the venture can have tax advantages?

Answer (Please select your correct option)

☐ A negative cash flow

☐ A positive cash flow

☐ At breakeven point

☐ None of the given options

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VU Examination System (CLIENT) VUTES 6.5 : Fall...

Question No : 24 of 60 Marks: 1 (Budgeted Time 1 Min)

In Pakistan, the average age of entrepreneurs is:

Answer (Please select your correct option)

☐ 25 years

☐ 32 years

☐ 35 years

☐ 42 years

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 25 of 60 Marks: 1 (Budgeted Time 1 Min)

When the implementation of SBA financial plan took place?

Answer (Please select your correct option)

☐ 1971

☐ 1972

☐ 1973

☐ 1974

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 26 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following statement best describes the early stage financing?

Answer (Please select your correct option)

- ☐ Is easier to obtain than expansion financing
- ☐ Involves acquisition financing
- ☐ Where venture capitalists are not likely to be involved
- ☐ Involves between \$500, 000 to \$750, 000

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 27 of 60 Marks: 1 (Budgeted Time 1 Min)

Information systems can facilitate supply chain management by:

Answer (Please select your correct option)

- ☐ Tracking the status of orders
- ☐ Rapidly communicating orders
- ☐ Providing product specifications
- ☐ All of the given options

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 28 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following statement is TRUE with reference to entrepreneurship thought?

Answer (Please select your correct option)

- ☐ Knowledge is a valuable entrepreneurial resource that is typically learned in a classroom
- ☐ Experience is idiosyncratic, unique to the life of the individual.
- ☐ Knowledge based on experience is likely to be learned in a classroom
- ☐ Financial potential is the basis for a new entry

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 29 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following provide(s) the opportunity to increase sales of the existing product

Answer (Please select your correct option)

☐ Backward integration

☐ Horizontal integration

☐ Forward integration

☐ Forward and backward integration

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 30 of 60 Marks: 1 (Budgeted Time 1 Min)

The resistance of employees in an organization against flexibility, growth, and diversification can be overcome by developing which of the following?

Answer (Please select your correct option)

☐ Entrepreneurship

☐ Intrapreneurship

☐ Managerial domain

☐ Administrative domain

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 31 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is alternatively called corporate venturing?

Answer (Please select your correct option)

- ☐ Entrepreneurship
- ☐ Intrapreneurship
- ☐ Act of stating a new venture
- ☐ Offering new products by an existing company

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 32 of 60 Marks: 1 (Budgeted Time 1 Min)

All of the following are true regarding male entrepreneurs EXCEPT:

Answer (Please select your correct option)

- ☐ Dissatisfaction with present job is a departure point for a male entrepreneur
- ☐ Male entrepreneurs mostly have a occupational background of middle-management or administrative-experience in the field
- ☐ Male entrepreneurs tend to be opinionated and persuasive in their approach
- ☐ Typically most male entrepreneurs are first-borns

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 33 of 60 Marks: 1 (Budgeted Time 1 Min)

A set of reasons for engaging in a particular behavior, especially human behavior is known as which of the following?

Answer (Please select your correct option)

☐ Values

☐ Vision

☐ Entrepreneurship

☐ Motivation

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 34 of 60 Marks: 1 (Budgeted Time 1 Min)

Which one of the following may need the business plan?

Answer (Please select your correct option)

☐ Employees

☐ Investors

☐ Advisors

☐ All of the given options

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 35 of 60 Marks: 1 (Budgeted Time 1 Min)

In which of the following business arrangements, two companies form a third company?

Answer (Please select your correct option)

- ☐ Merger
- ☐ Joint venture
- ☐ Management contracts
- ☐ Synergy

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 36 of 60 Marks: 1 (Budgeted Time 1 Min)

For the success of business plan the goals and objectives should be:

Answer (Please select your correct option)

- ☐ Imaginary
- ☐ Specific
- ☐ Limitless
- ☐ Generalized

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 37 of 60 Marks: 1 (Budgeted Time 1 Min)

Which one of the following options is NOT part of the marketing mix?

Answer (Please select your correct option)

☐ Production

☐ Promotion

☐ Place

☐ Price

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 38 of 60 Marks: 1 (Budgeted Time 1 Min)

_____ is usually represents one or more segments of the entire market.

Answer (Please select your correct option)

☐ Local market

☐ Target market

☐ Market orientation

☐ Market segmentation

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 39 of 60 Marks: 1 (Budgeted Time 1 Min)

The least expensive form of business startup is _____

Answer (Please select your correct option)

☐ Proprietorship

☐ Joint venture

☐ Corporation

☐ Partnership

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VU Examination System (CLIENT) VUTES 6.5 : Fall...

Question No : 40 of 60 Marks: 1 (Budgeted Time 1 Min)

First small industrial state was built in which of the following city of Pakistan?

Answer (Please select your correct option)

☐ Lahore

☐ Gujranwala

☐ Sialkot

☐ Faisalabad

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 41 of 60 Marks: 1 (Budgeted Time 1 Min)

Which one of the following private investors is NOT a final source of funds for the entrepreneurs?

Answer (Please select your correct option)

☐ Friends

☐ Barbers

☐ Financial planers

☐ Technical experts

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 42 of 60 Marks: 1 (Budgeted Time 1 Min)

Usually public offerings involve a great deal of _____

Answer (Please select your correct option)

☐ Cost & benefit

☐ Time & expense

☐ Revenue & expense

☐ All of the given options

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 43 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following initial step is normally taken by the management for hiring employees?

Answer (Please select your correct option)

☐ Interviews

☐ Short listing

☐ Advertisement

☐ Group discussion

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 44 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following factor is **NOT** an important issue in managing cash flows by the entrepreneurs?

Answer (Please select your correct option)

- ☐ Inventory stocks
- ☐ Depreciation
- ☐ Receivables
- ☐ Payables

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 45 of 60 Marks: 1 (Budgeted Time 1 Min)

Followings are the outside expert of the entrepreneurship, EXCEPT?

Answer (Please select your correct option)

☐ Freight forwarders

☐ Advertising agency

☐ Financial analyst

☐ Managing director

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 46 of 60 Marks: 1 (Budgeted Time 1 Min)

The business deal between 'Walls' and 'Polka' is one of the examples of which of the following?

Answer (Please select your correct option)

☐ Merger

☐ Synergy

☐ Acquisition

☐ Joint venture

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 47 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following financial institution is NOT facilitating for development of the SMEs in Pakistan?

Answer (Please select your correct option)

☐ Khushali Bank

☐ SME Bank

☐ Kashaf Bank

☐ NIB Bank

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 48 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following best defines "minority interest"?

Answer (Please select your correct option)

- ☐ It refers to having less than 50 percent ownership position
- ☐ It refers to forming a third company by combining two companies
- ☐ It refers to having more than 50 percent ownership position
- ☐ It refers to selling goods made in one country to another country

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VU Examination System (CLIENT) VUTES 6.5 : Fall...

Question No : 49 of 60 Marks: 1 (Budgeted Time 1 Min)

Which one of the following is a method for obtaining new ideas and solutions by focusing on problems?

Answer (Please select your correct option)

☐ Problem inventory analysis

☐ Gordon method

☐ Checklist method

☐ Scientific method

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 50 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following statements refers to a "business plan"?

Answer (Please select your correct option)

- ☐ It is a written document prepared by the entrepreneur that describes all the relevant external and internal elements involved in starting a new venture
- ☐ It is typically described as a deliberate plan of action to guide decisions and achieve rational outcome(s)
- ☐ It refers to a legal document giving official permission to do something
- ☐ It is a principle put forward to set standards or determine a course of action

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 51 of 60 Marks: 1 (Budgeted Time 1 Min)

For how many years should a financial plan need to provide the projected financial data?

Answer (Please select your correct option)

☐ Ten

☐ One

☐ Three

☐ Five

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VU Examination System (CLIENT) VUTES 6.5 :::: Fall...

Question No : 52 of 60 Marks: 1 (Budgeted Time 1 Min)

In which of the following stated book value is used to reflect the actual market value.

Answer (Please select your correct option)

☐ Book value

☐ Liquidation value

☐ Replacement value

☐ Adjusted book value

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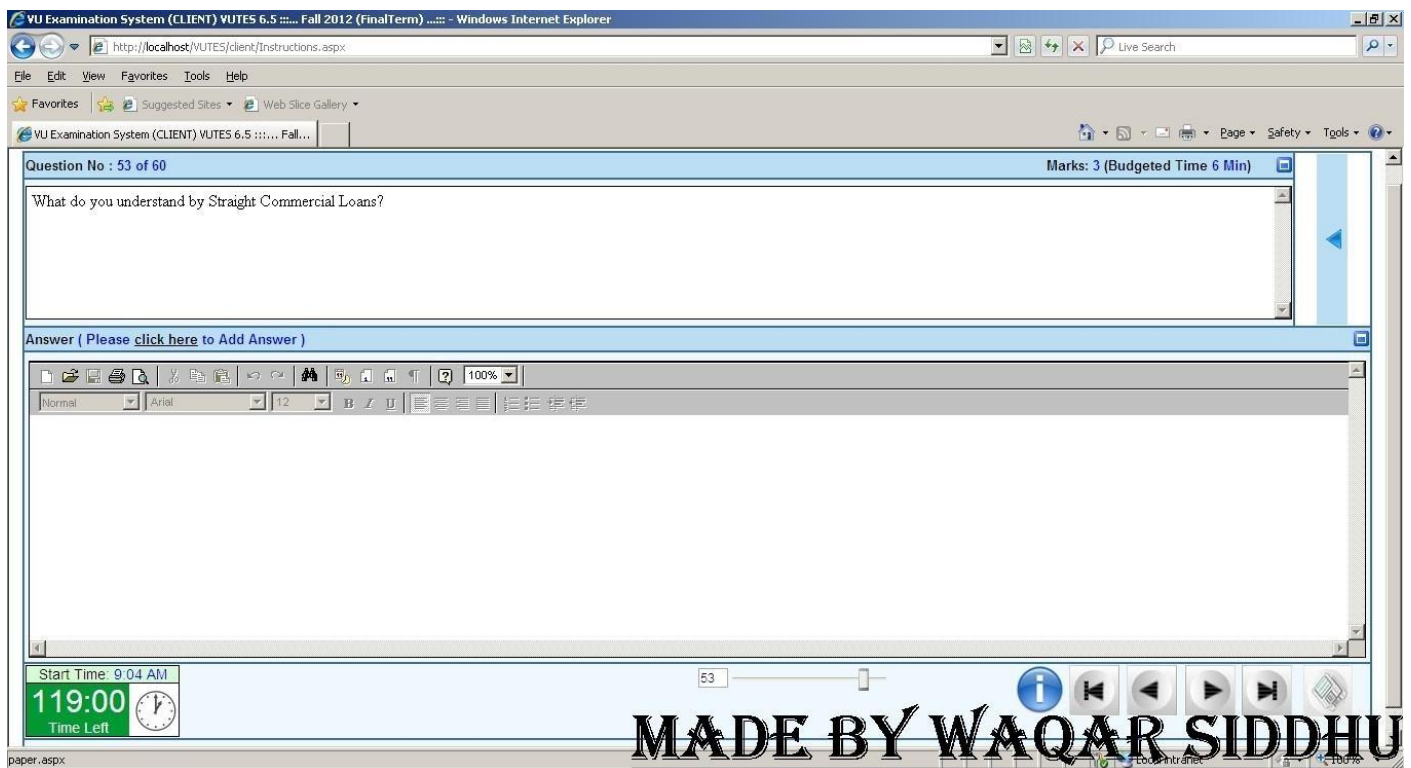
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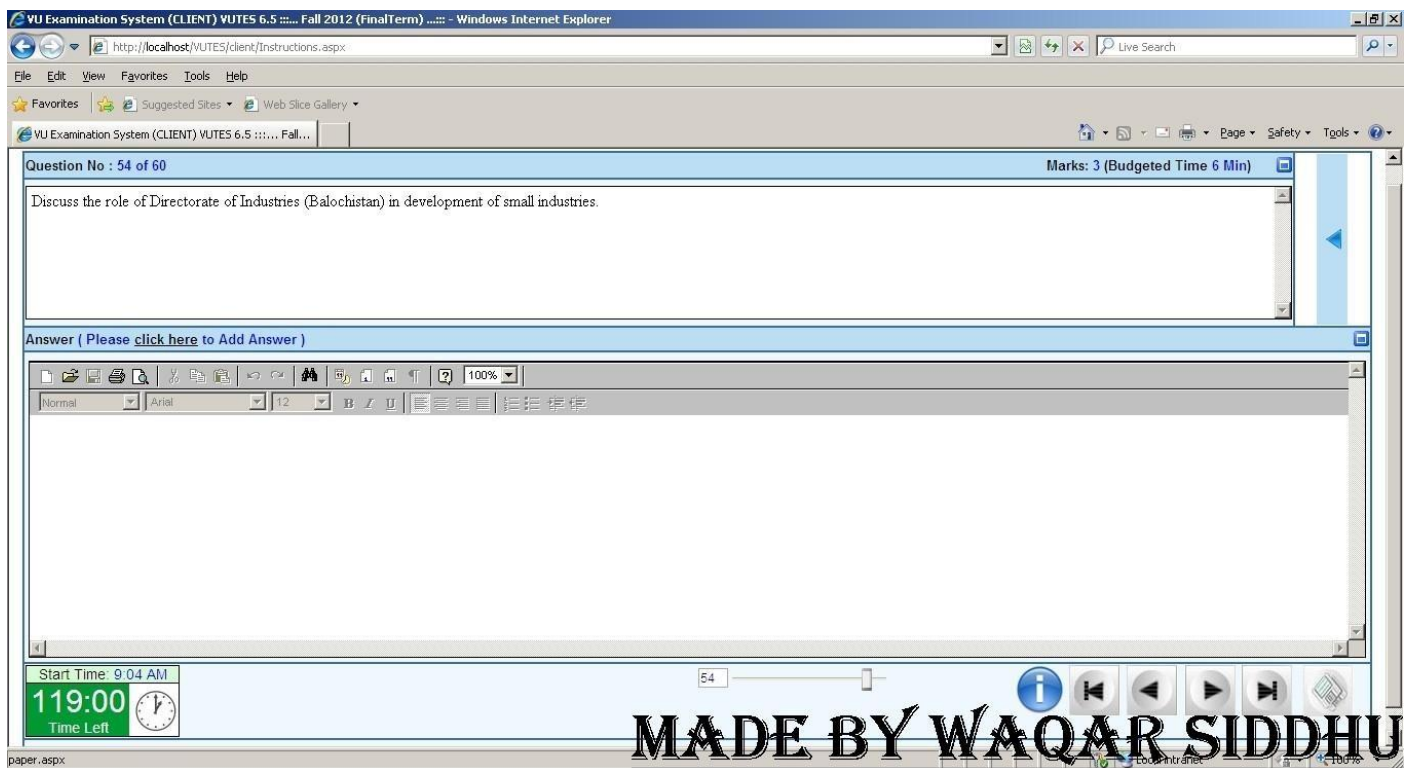
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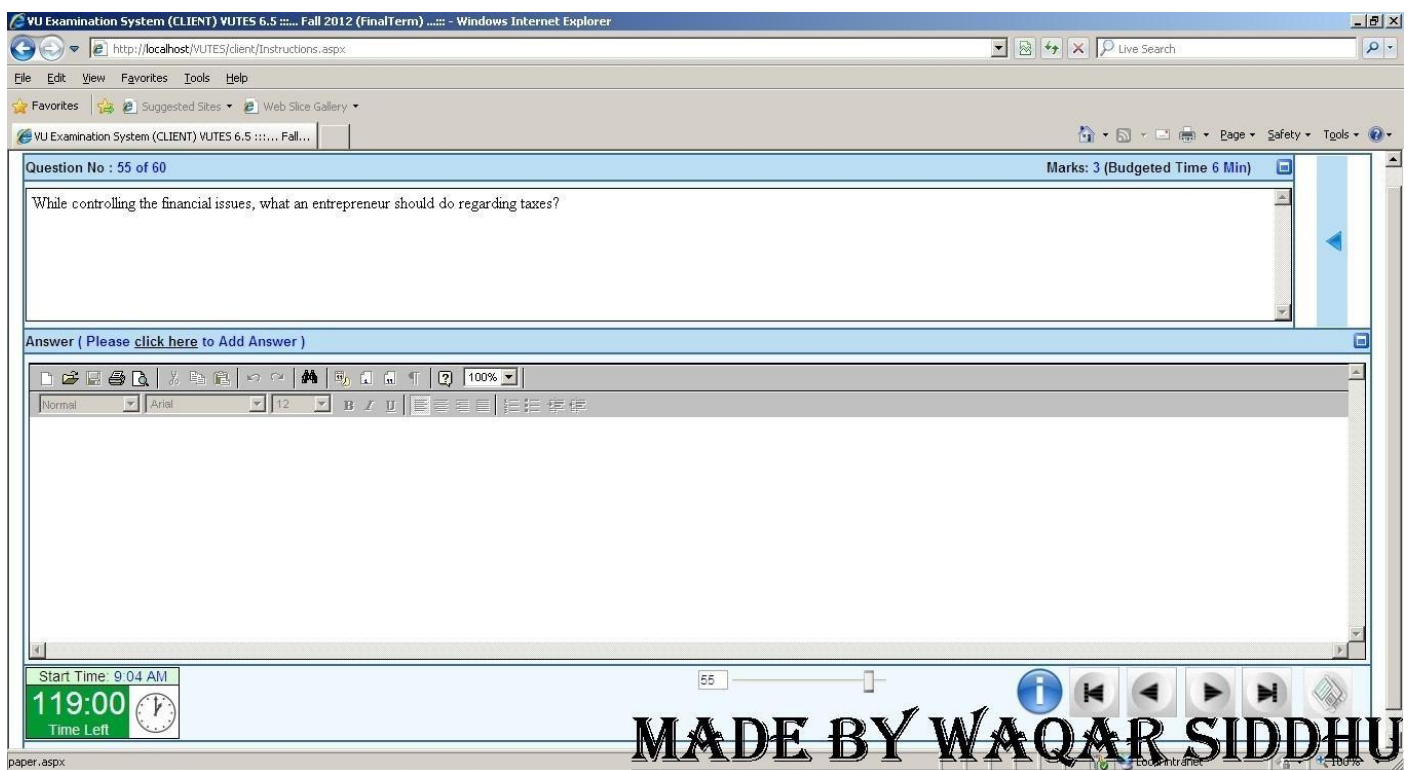
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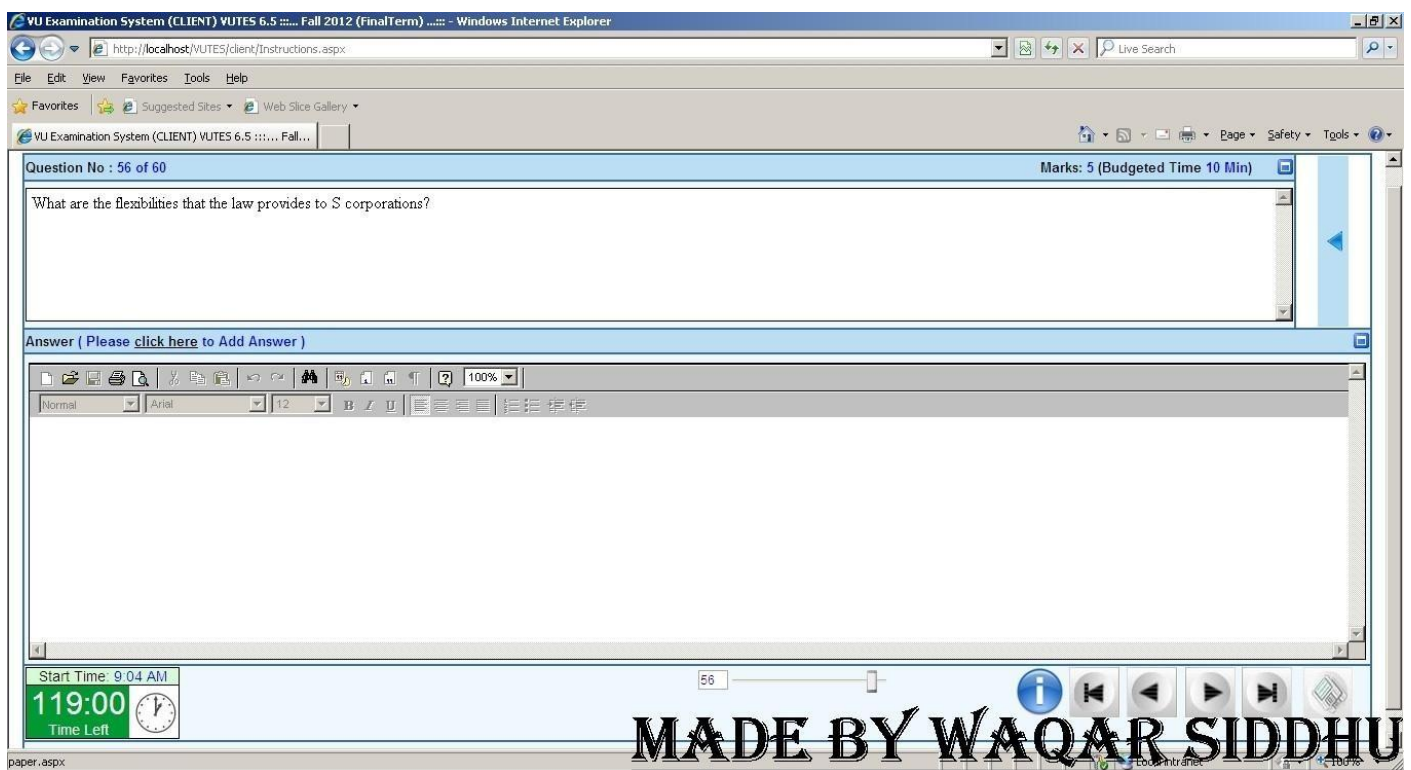
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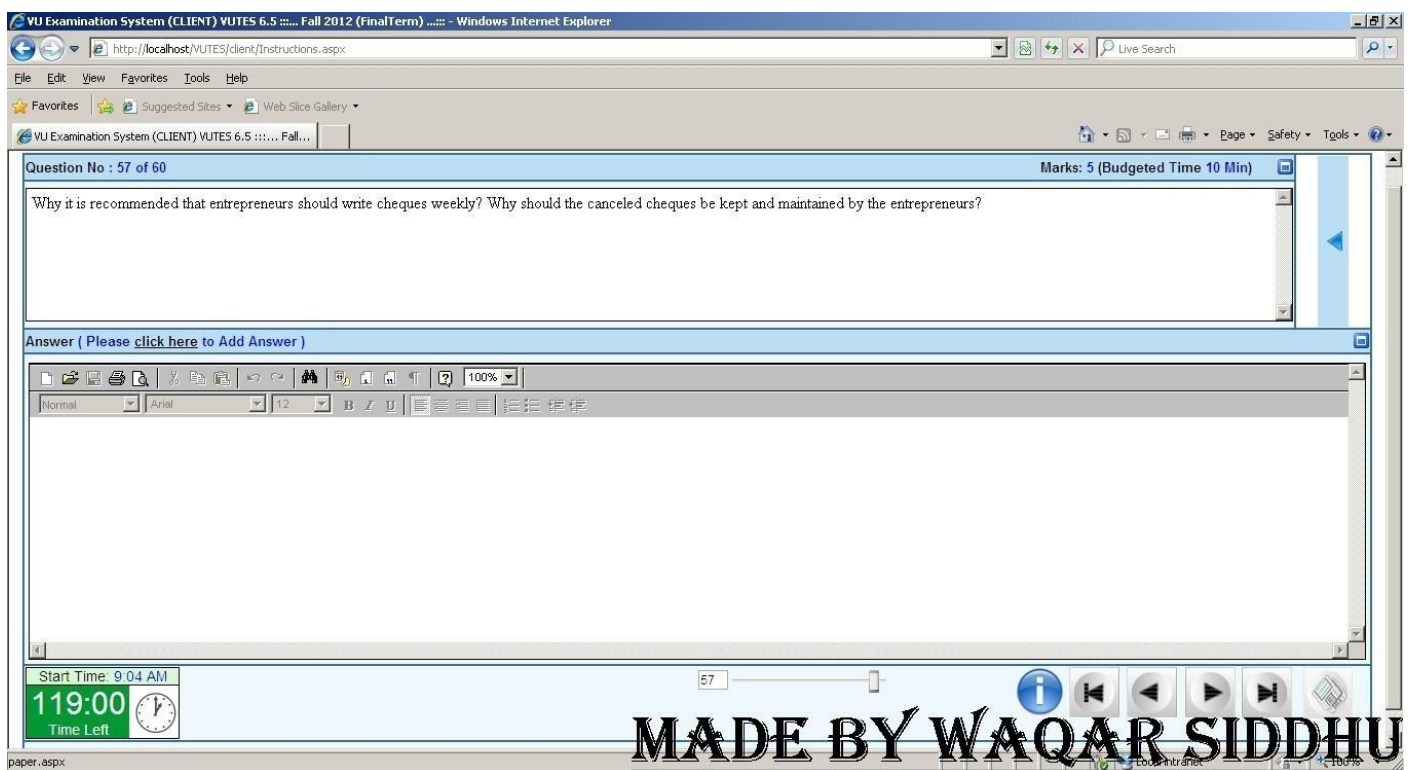
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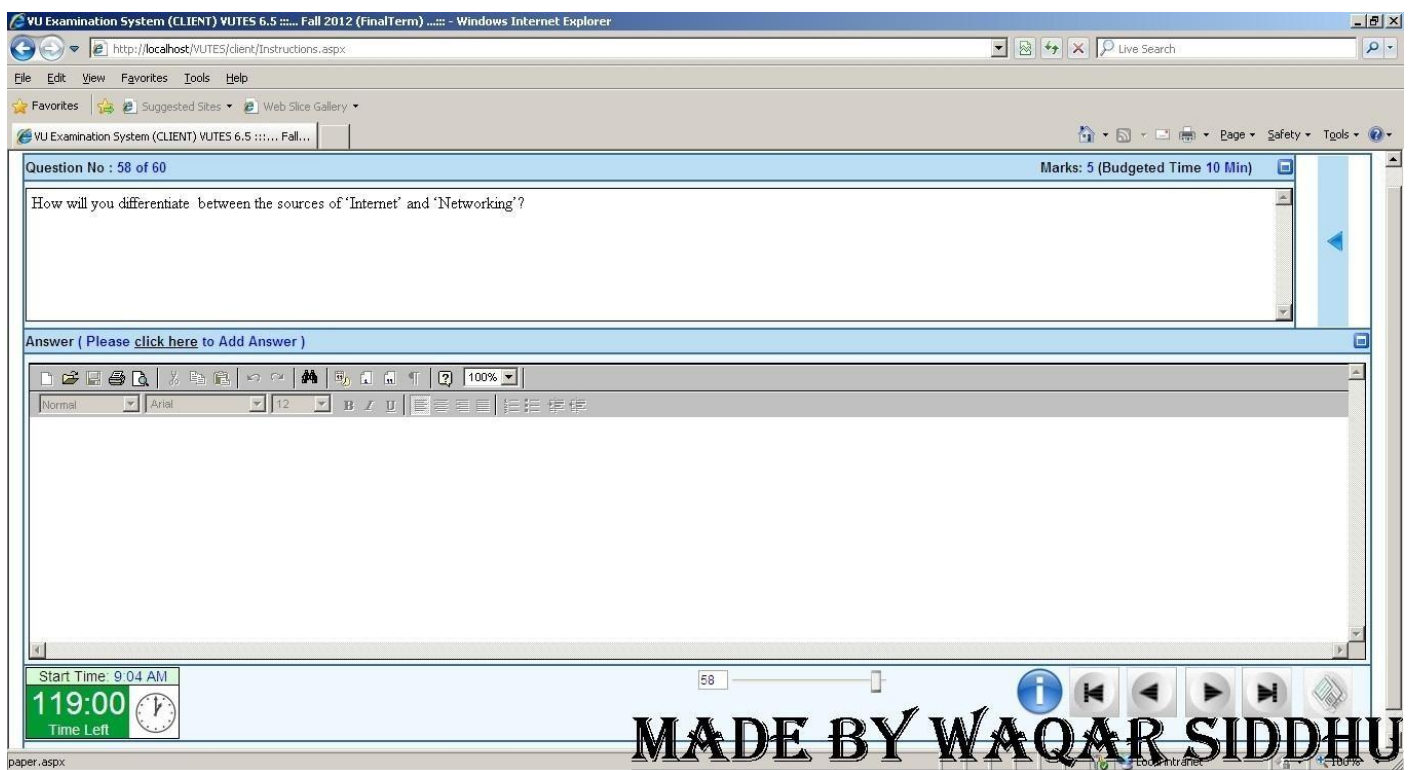
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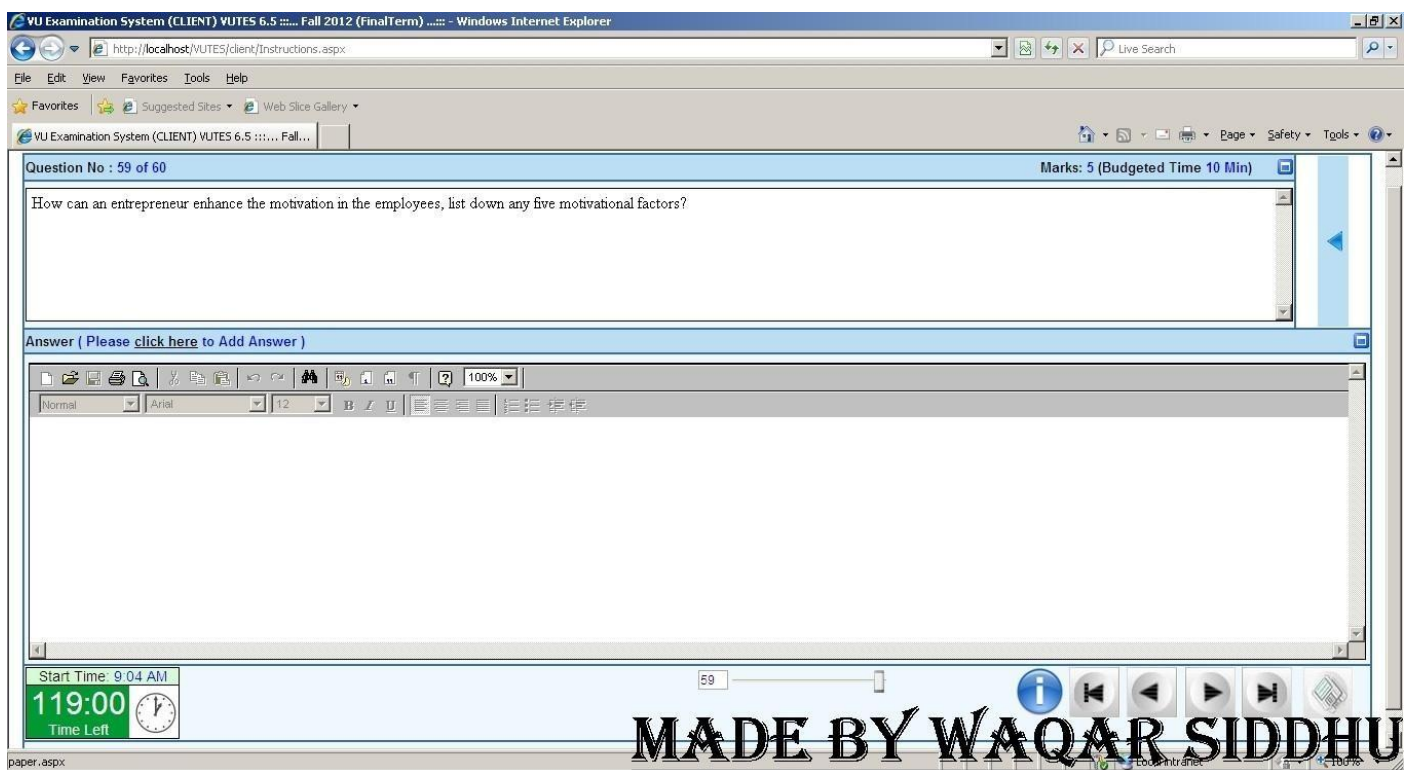
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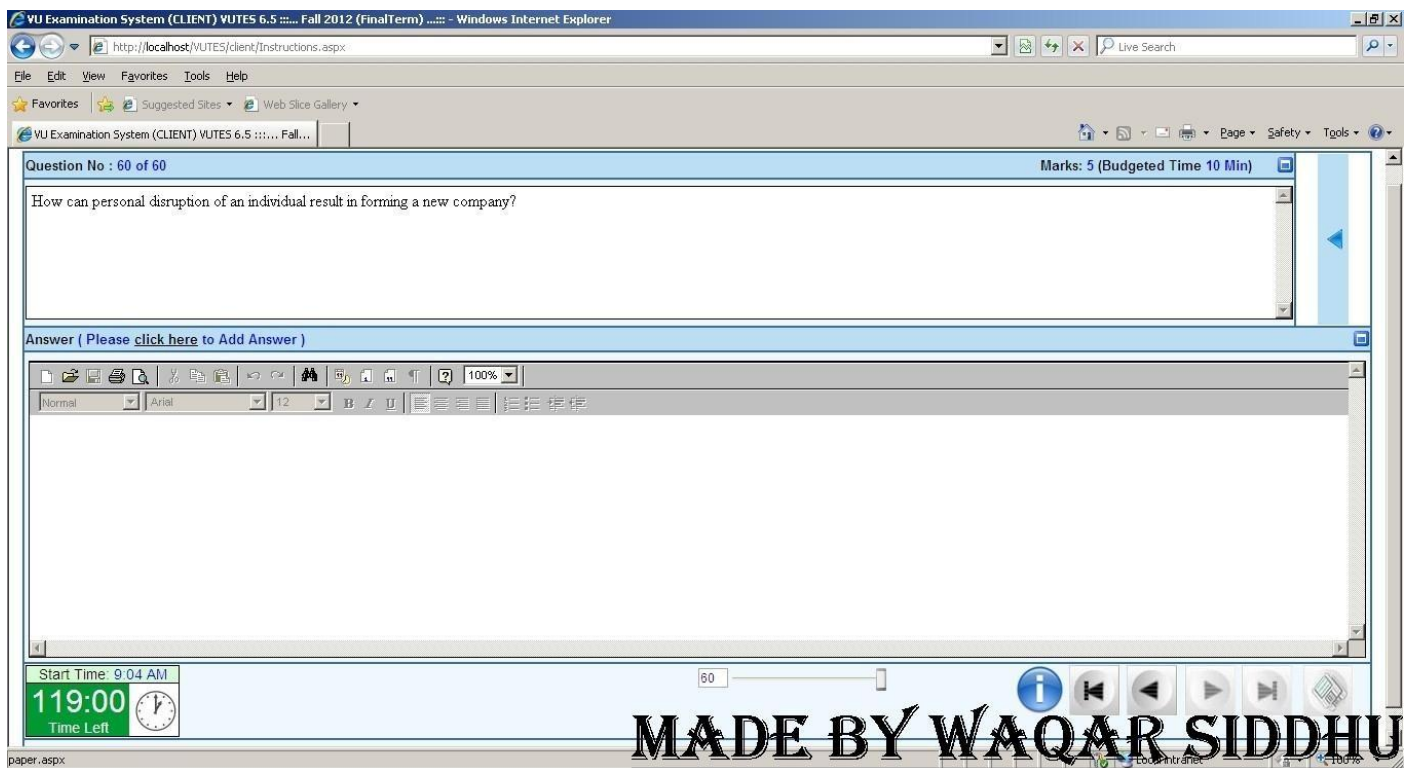
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FINALTERM EXAMINATION

Spring 2010

MGT602- Entrepreneurship

By Muhammad Adnan

Time: 90 min

Marks: 69

Question No: 1 (Marks: 1) - Please choose one

Which of the following is the most important factor for the entrepreneur, while starting a new venture, to make an assessment of business?

- ▶ Profit
- ▶ **Risk**
- ▶ Market
- ▶ Competitors

Question No: 2 (Marks: 1) - Please choose one

Which one of the following is the next stage to the Concept Stage of Product Planning and Development Process?

- ▶ Idea Stage
- ▶ Product Planning Stage
- ▶ **Product Development Stage**
- ▶ Test Marketing Stage

Product planning and development process

Generally divided into five major stages: idea stage, concept stage, product development stage, test marketing stage, and commercialization stage

Question No: 3 (Marks: 1) - Please choose one

Which of the following type of commitment is necessary from the for the satisfaction of Investors?

- ▶ Seasonal
- ▶ **Full time**
- ▶ Conditional
- ▶ Satisfactory

Rationale: Investors will not be positive about a venture that does not have full-time commitment

Question No: 4 (Marks: 1) - Please choose one

Individuals who help the entrepreneur in business activities

- Role models
- Professional-support network**
- Parents
- None of the mentioned options

Question No: 5 (Marks: 1) - Please choose one

Which of the following is included in the description of the business?

- ▶ Location
- ▶ Products offered
- ▶ History
- ▶ All of the given options**

Question No: 6 (Marks: 1) - Please choose one

Advertising and promotion for the business-to-business market involve all of the following **EXCEPT**:

- ▶ **Indirect sales**
- ▶ Trade magazine advertising
- ▶ Direct sales
- ▶ Trade shows

Question No: 7 (Marks: 1) - Please choose one

Which of the following factors along with organization's internal factors may change the direction of plan?

- ▶ Personal
- ▶ Environmental**
- ▶ Business
- ▶ Market

Updating the Plan Environmental factors and internal factors can change the direction of the plan. It is important to be sensitive to changes in the company, industry, and market.

Question No: 8 (Marks: 1) / - Please choose one

The goals of venture should have all of the following characteristics to be successful, **EXCEPT:**

- ▶ Measurable
- ▶ Specific
- ▶ Properly monitored

▶ **Independent of time**

Question No: 9 (Marks: 1) - Please choose one

Which of the following plan has names, addresses, and resumes of the directors and officers of the corporation?

- ▶ Operations
- ▶ Marketing
- ▶ Production

▶ **Organizational**

Organizational Plan

This should include the number of shares authorized, share options, and names and addresses of the directors and officers. It is helpful to provide an organization chart indicating the line of authority. This chart shows the investor who controls the organization and how members interact.

Question No: 10 (Marks: 1) - Please choose one

A/an _____ is an online connection between the company and its customers.

- ▶ Internet advertising

▶ **Website**

- ▶ E-Commerce
- ▶ World Wide Web

Website

A website is an online connection between the company and its customers and can be developed

Question No: 11 (Marks: 1) - Please choose one

Advertising and promotion for the business-to-business market involve all of the following **EXCEPT**:

▶ **Indirect sales**

- ▶ Trade magazine advertising
- ▶ Direct sales
- ▶ Trade shows

Question No: 12 (Marks: 1) - Please choose one

Which one of the following provides a guideline in determining hiring procedures?

- ▶ Job description
- ▶ Job specification
- ▶ **Job analysis**
- ▶ Job evaluation

The **job analysis** serves as a guide in determining hiring procedures and **job descriptions** and specifications. As the size of the venture changes, the process becomes more complex.

Question No: 13 (Marks: 1) - Please choose one

Which of the following represents the characteristics of the board of advisors?

▶ **Is subject to regulations stipulated in the Sarbanes-Oxley Act**

- ▶ Has no legal status
- ▶ Is not advisable in a family-owned business
- ▶ Is likely to meet more frequently

Question No: 14 (Marks: 1) - Please choose one

In which of the following Common stock is permitted?

- ▶ C Corporation

▶ **S Corporation**

- ▶ Limited Partnership
- ▶ Sole Proprietor

Question No: 15 (Marks: 1) - Please choose one

Which one of the following an entrepreneur must develop while preparing a pro forma of sales budget?

- ▶ Cash flow statement
- ▶ Balance sheet
- ▶ **Income statement**
- ▶ Statement of retained earnings

Question No: 16 (Marks: 1) - Please choose one

Which of the following is the base of Job Advertisement?

- ▶ Job Description
- ▶ Job Specification
- ▶ Job identification
- ▶ **All of the above options**

Question No: 17 (Marks: 1) - Please choose one

In the preparation of the pro forma income statement, the entrepreneur must have to develop first:

- ▶ A production budget
- ▶ **A sales budget**
- ▶ An operating budget
- ▶ **A capital budget**

PAGE 75: In the preparation of the pro forma income statement, the entrepreneur must first develop a sales budget, an estimate of the expected volume of sales by month. <http://vustudents.ning.com/>

Question No: 18 (Marks: 1) - Please choose one

In which of the following sources the large positive cash flow may need to be invested?

- ▶ Long term
- ▶ **Short term**
- ▶ Average term
- ▶ None of the above options

PAGE 78: Large positive cash flows may need to be invested in short term sources.

Question No: 19 (Marks: 1) - Please choose one

Which of the following is a formalized method for obtaining funds from private investors?

- ▶ **Private placement**
- ▶ Private offering
- ▶ Regulation D
- ▶ Bootstrap financing

PRIVATE PLACEMENT

A final source of funds is private placement with investors who may be family and friends or wealthy individuals

Question No: 20 (Marks: 1) - Please choose one

What is the primary concern of entrepreneurs, who trade equity for their growing venture?

- ▶ Control
- ▶ Valuation
- ▶ Investor capabilities
- ▶ **Capitalization**

Question No: 21 (Marks: 1) - Please choose one

When did the Sindh Small Industries Corporation launch its credit scheme?

- ▶ 1972-73
- ▶ 1978-79
- ▶ **1988-89**
- ▶ 1992-93

The SSIC also launched a credit scheme in 88,/89. The rate of markup was 7% for industrial estates and 11% for factories outside the industrial estates.

Question No: 22 (Marks: 1) - Please choose one

In the U.S. joint ventures were first formed for large-scale projects in which of the following options?

- ▶ 1700s
- ▶ **1800s**
- ▶ 1900s
- ▶ 1600s

In the U.S. joint ventures were first used for large-scale projects in mining and railroads in the 1800s. The largest joint venture in the 1900s

Question No: 23 (Marks: 1) - Please choose one

Using which of the following, the entrepreneur values the underlying worth of the business based on its assets?

- ▶ Liquidity ratio
- ▶ Asset turnover
- ▶ **Asset valuation**
- ▶ Owners' equity

The **asset** valuation method, the entrepreneur values the underlying worth of the business based on its assets.

Question No: 24 (Marks: 1) - Please choose one

Which of the following is a second step in the entrepreneurial process?

- ▶ **Developing successful business ideas**
- ▶ Deciding to become an entrepreneur
- ▶ Growing the entrepreneurial firm
- ▶ Moving from an idea to an entrepreneurial firm

Ref. Page No.13 : A good **business plan** must be developed in order to exploit the opportunity defined. A good business plan is important in developing the opportunity and in determining the resources required, obtaining those resources and successfully managing the venture.

Question No: 25 (Marks: 1) - Please choose one

The penetration growth strategy is all of the following, **EXCEPT**:

- ▶ Focuses on developing comparable products for the existing market
- ▶ **Relies on creating a new target market share**
- ▶ Expands the firm's product offering with comparable products
- ▶ Encourages more frequent repeat purchases

Question No: 26 (Marks: 1) - Please choose one

An entrepreneur is also successful in international business as well if he understands:

- ▶ **Difference of domestic and international business**
- ▶ Domestic business
- ▶ International business
- ▶ None of the given options

Question No: 27 (Marks: 1) - Please choose one

Female entrepreneurs differ from male entrepreneurs in terms of all of the following **EXCEPT**:

- ▶ **Motivation**
- ▶ Business skills
- ▶ Departure point
- ▶ Goal orientation

Question No: 28 (Marks: 1) - Please choose one

Which of the following distributes profits to owners through dividends?

- ▶ Limited Partnership
- ▶ General Partnership
- ▶ **Corporation**

- ▶ Sole Proprietor

Question No: 29 (Marks: 1) - Please choose one

Data that support the opportunity for the venture should be briefly stated in the executive summary. If this venture is an internet business, all of the following facts should be stated by an entrepreneur EXCEPT:

- ▶ Growth in the number of internet users
- ▶ Growth in the average amount of time spent on the internet
- ▶ Growth in sales dollars generated on the internet

▶ **Growth rate of population**

Question No: 30 (Marks: 1) - Please choose one

The more complex the organization, the more _____ it is to start.

- ▶ Hard
- ▶ Possible
- ▶ **Expensive**
- ▶ Easy

Page 69: The more complex the organization, the more expensive it is to start.

Question No: 31 (Marks: 1) - Please choose one

The least expensive form of business startup is _____.

- ▶ **Proprietorship**
- ▶ Joint venture
- ▶ Corporation
- ▶ Partnership

The least expensive is the proprietorship, where the only costs may be for filing for a business name.

Question No: 32 (Marks: 1) - Please choose one

In which of the following the death of entrepreneur results in the termination of venture?

- ▶ **Proprietorship**
- ▶ Limited company
- ▶ Limited partnership
- ▶ Corporation

Question No: 33 (Marks: 1) - Please choose one

It may be desirable to make all payments on time to establish credibility with _____.

- ▶ Consumers
- ▶ Retailers
- ▶ **Suppliers**
- ▶ Entrepreneurs

Page 94: In the early stage, it may be desirable to make all payments on time to establish credibility with suppliers.

Question No: 34 (Marks: 1) - Please choose one

Which of the following initial step is normally taken by the management for hiring employees?

- ▶ Interviews
- ▶ Short listing
- ▶ **Advertisement**
- ▶ Group discussion

Advertising

advertising in local newspapers and referrals from friends and associates is most effective for entry-level positions.

Question No: 35 (Marks: 1) - Please choose one

Which of the following person is normally a role model for any other employee in the organization?

- ▶ Office boy
- ▶ Sales officer
- ▶ **Entrepreneur**
- ▶ Finance manager

Question No: 36 (Marks: 1) - Please choose one

Which of the following factor is **NOT** an important issue in managing cash flows by the entrepreneurs?

- ▶ Inventory stocks
- ▶ **Depreciation**
- ▶ Receivables
- ▶ Payables

Question No: 37 (Marks: 1) - Please choose one

Which of the following form of business can raise funds through selling shares in the market for the new venture?

- ▶ Partnership
- ▶ **Corporation**
- ▶ Proprietorship
- ▶ All of the given options

Question No: 38 (Marks: 1) - Please choose one

Which one of the following ratios is a more rigorous test of the short-term liquidity of the venture?

- ▶ Debt ratio
- ▶ **Activity ratio**
- ▶ **Acid test ratio**
- ▶ Profitability ratio

Acid test ratio is a more rigorous test of the short-term liquidity of the venture.

Question No: 39 (Marks: 1) - Please choose one

The success of any advertising agency is normally based on their _____.

- ▶ Programs
- ▶ Unique Ideas
- ▶ Business studies

▶ **All of the given options**

Question No: 40 (Marks: 1) - Please choose one

All of the following are key factors in the evaluation process to measure profitability and activity for the acquisition, **EXCEPT**:

▶ **Poorly managed inventory**

- ▶ Insufficient financial controls
- ▶ Trading volume in stock markets
- ▶ Poor corporate communications

Question No: 41 (Marks: 1) - Please choose one

All of the following are goals of entrepreneurial culture EXCEPT:

- ▶ To take responsibility and ownership
- ▶ To be rewarded for actions taken

▶ **To stay within your turf and protect your backside**

- ▶ To develop visions, goals, and action plans

Question No: 42 (Marks: 1) - Please choose one

When an entrepreneur makes his first move into the international business, which of the following decision making style he follows?

► **Centralized**

- Democratic
- Decentralized
- Participative

Question No: 43 (Marks: 1) - Please choose one

Which one of the following is the most important characteristic of a successful business website?

► **Speed**

- Innovation
- Graphics
- Products

Question No: 44 (Marks: 1) - Please choose one

Business plan should be prepared by an entrepreneur. All of the following should be consulted while preparing this plan EXCEPT:

- Lawyers
- Accountants
- Marketing consultants

► **General public**

Question No: 45 (Marks: 1) - Please choose one

Which of the following is NOT studied in environmental analysis?

- Economic conditions
- Technology advancements

► Organizational culture

► **Legal concerns**

Question No: 46 (Marks: 1) - Please choose one

Which budget is intended to provide base for evaluating expenditures that will impact the business for more than one year?

► Sales budget

► **Capital budget**

► Production budget

► Operating budget

Capital budgets are intended to provide a basis for evaluating expenditures that will impact the business for more than one year.

Question No: 47 (Marks: 1) - Please choose one

Which of the following is the former name of SME Bank?

► FMBC

► SBFC

► **SMEDA**

► SPCC

Question No: 48 (Marks: 1) - Please choose one

On the part of entrepreneur which of the following has/ have a great concern to the Investors?

► Commitment

► Experience

► Knowledge

► **All of the given options**

Question No: 49 (Marks: 3)

Describe any three issues that should be addressed in executive summary.

1. Brief description of the business concept
2. Any data that support the opportunity for the venture.
3. Statement of you this opportunity will be pursued.

Question No: 50 (Marks: 3)

What does inventory turnover mean? How is it measured?

Inventory turnover measures the efficiency of the venture in managing and selling its inventory. A high turnover is a positive sign, signifying the venture is able to sell its inventory quickly.

Inventory turnover: Cost of goods sold / Inventory

Question No: 51 (Marks: 5)

While developing the web site what characteristics should be kept in mind?

Answer:

A website is an online connection between the company and its customers and can be developed in-house or outsourced. There are several important features of every website. Each website should have search capabilities. Other functions include:

1. Shopping cart
2. Secure server connection
3. Credit card payment
4. Customer feedback features.
5. Speed, Speed and Speed.

Question No: 52 (Marks: 5)

Discuss the functions of Small Industries Development Board (SIDB) NWFP.

SIDB is playing a promotional role to support and help out the development of small and cottage industry in the province. It is an independent body, focusing on manpower training, model projects and industrial infrastructure.

Question No: 53 (Marks: 5)

How can an entrepreneur enhance the motivation in the employees, list down any five motivational factors?

Following are five of some factors:

1. Sincere empathy

Be genuine and understanding toward the people who were let go and for the added responsibilities for those who remain. Ask individuals how they feel about the events that occurred. The key here is to allow them to vent their thoughts and emotions. This is the appropriate forum in which to do it, not behind your back, spreading rumors and ill will.

2. Be genial:

Sincerely thank everyone for trying to understand the difficult steps you have taken and for their attention, concern and willingness to put forth additional effort to get through these difficult times.

3. Leadership available:

Explain that you and other management-level people will be available to discuss job questions, uncertainties and performance, gearing your comments to how to overcome obstacles in the way of success.

4. Positive action:

Discuss how the difficult short-term steps will positively affect the future. With the changes you have made, you look forward to brighter, more secure prospects. When business improves, hopefully you will be able to rehire some of the terminated employees. Again, encourage them to share their feelings and try to empathize with them

5. Recognition:

Look for ways to increase employee motivation by recognizing excellence in the workplace. Ring a bell every time an individual or team hits the production target. Put up posters with the photographs of team members who have had the most days without accidents. Give out awards for attendance records. Just do something. It is so inexpensive, yet highly effective in your efforts of employee motivation.

FINALTERM EXAMINATION MGT602- Entrepreneurship By ADNAN AWAN

Question No: 1 (Marks: 1) - Please choose one

Which of the following geographical area is of least interest to U.S entrepreneurs?

- ▶ Europe
- ▶ The Far East
- ▶ **Central Asia**
- ▶ Transition economies

Question No: 2 (Marks: 1) - Please choose one

Secondary data can be obtained from all of the following sources, **EXCEPT:**

- ▶ Magazine
- ▶ Bureau of statistics
- ▶ **Focus group**

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- ▶ Internet

Question No: 3 (Marks: 1) - Please choose one

Which one of the following is NOT an environmental factor?

- ▶ Economy
- ▶ Culture
- ▶ Technology
- ▶ **Competition**

Question No: 4 (Marks: 1) - Please choose one

Which of the following techniques is an excellent method for initially screening ideas and concepts in addition to generating new ideas?

- ▶ Focus group
- ▶ Problem inventory analysis
- ▶ Brain storming
- ▶ **Reverse brainstorming**

Question No: 5 (Marks: 1) - Please choose one

Developing a new idea through inquiry and testing is called:

- ▶ Heuristics
- ▶ Forced relationship
- ▶ **Scientific method**
- ▶ Value analysis

Question No: 6 (Marks: 1) - Please choose one

Which of the following geographical area is of least interest to U.S entrepreneurs?

- ▶ Europe
- ▶ The Far East
- ▶ **Central Asia**
- ▶ Transition economies

Question No: 7 (Marks: 1) - Please choose one

Which of the following is a second step in the entrepreneurial process?

- ▶ **Developing successful business ideas**
- ▶ Deciding to become an entrepreneur
- ▶ Growing the entrepreneurial firm
- ▶ Moving from an idea to an entrepreneurial firm

A good **business plan** must be developed in order to exploit the opportunity defined. A good business plan is important in developing the opportunity and in determining the resources required, obtaining those resources and successfully managing the venture.

Question No: 8 (Marks: 1) - Please choose one

Entrepreneurial endeavors consist of all of the following key elements **Except:**

- ▶ New business venturing
- ▶ **Increasing productivity**
- ▶ Innovativeness

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► Proactiveness

Question No: 9 (Marks: 1) - Please choose one

For the success of business plan the goals should be:

- Imaginary
- **Specific**
- Generalized
- Limitless

Question No: 10 (Marks: 1) - Please choose one

Which one of the following is a longest lasting trade agreement with the objective of liberalizing trade by eliminating or reducing tariffs, subsidies and quotas?

- Free trade area – FTA
- European community – EC
- **General agreement on tariffs and trade – GATT**
- The North American free trade agreement – NAFTA

Secondary data can be obtained from all of the following sources, **EXCEPT**:

- Magazine
- Bureau of statistics
- **Focus group**
- Internet

Question No: 11 (Marks: 1) - Please choose one

The marketing plan section should focus for the strategies for how many years?

- First Year
- **First Three Years**
- First four years
- First two years

Question No: 12 (Marks: 1) - Please choose one

The discussion among the people in focus group carries in which of the following ways?

- Formal Way
- **Informal Way**
- Convenient Way
- Problematic Way

Question No: 13 (Marks: 1) - Please choose one

In terms of chronological age, most entrepreneurs initiate their entrepreneurial carrier between ages of:

- 15 and 22
- **22 and 45**
- 45 and 57
- 57 and 63

Question No: 14 (Marks: 1) - Please choose one

In which of the following, banks are usually reluctant to give loan?

- **Sole Proprietor**
- Public Limited Companies

- ▶ Partnership firm
- ▶ Private Limited Companies

Question No: 15 (Marks: 1) - Please choose one

In USA Public Limited Companies may have _____ Director/s

- ▶ 1
- ▶ 2
- ▶ 3
- ▶ 4

Question No: 16 (Marks: 1) - Please choose one

In which of the following majority holds the management control?

- ▶ **Partnership**
- ▶ Corporation
- ▶ Limited liability company
- ▶ All of the given options

Question No: 17 (Marks: 1) - Please choose one

Which of the following shows the characteristic of the partnership with reference to taxation system?

- ▶ **Single taxation system**
- ▶ Double taxation system
- ▶ Triple taxation system
- ▶ No taxation system

Question No: 18 (Marks: 1) - Please choose one

Which of the following is the systematic assembly of all the facts about a job?

- ▶ **Job Analysis**
- ▶ Job Identification
- ▶ Job Description
- ▶ Job Specification

Question No: 19 (Marks: 1) - Please choose one

A party in an agreement that usually supplies money and has a few responsibilities is known as:

- ▶ **Limited partner**
- ▶ Major partner
- ▶ Minor partner
- ▶ General partner

Question No: 20 (Marks: 1) - Please choose one

Which of the following is a formalized method for obtaining funds from private investors?

- ▶ Private placement
- ▶ **Private offering**
- ▶ Regulation D
- ▶ Bootstrap financing

Question No: 21 (Marks: 1) - Please choose one

LIFO method can be beneficial in following conditions, **EXCEPT:**

- ▶ If rising production costs are anticipated
- ▶ If the business and inventory are growing
- ▶ **If the business has not computerized inventory control capability**

- ▶ If the business is profitable

Question No: 22 (Marks: 1) - Please choose one

Using which of the following, the entrepreneur values the underlying worth of the business based on its assets?

- ▶ Liquidity ratio
- ▶ Asset turnover
- ▶ **Asset valuation**
- ▶ Owners' equity

Question No: 23 (Marks: 1) - Please choose one

The mean age of entrepreneurial enterprises in Pakistan is:

- ▶ **12 years**
- ▶ 15 years
- ▶ 20 years
- ▶ 22 years

Question No: 24 (Marks: 1) - Please choose one

What is the percentage of Pakistani entrepreneurs that have college education?

- ▶ **30%**
- ▶ 10%
- ▶ 60%
- ▶ 45%

Question No: 25 (Marks: 1) - Please choose one

Which one of the following is the first step in the entrepreneurial process?

- ▶ **Deciding to become an entrepreneur**
- ▶ Growing the entrepreneurial firm
- ▶ Moving from an idea to an entrepreneurial firm
- ▶ Developing successful business ideas

Question No: 26 (Marks: 1) - Please choose one

In order to make organization more flexible and responsive it should tend towards which of the following?

- ▶ Centralization
- ▶ **Decentralization**
- ▶ Employee Motivation
- ▶ Less vulnerable to change

Question No: 27 (Marks: 1) - Please choose one

The entrepreneur was distinguished from capital provider in:

- ▶ Middle ages
- ▶ **18th century**
- ▶ 17th century
- ▶ 19th and 20th century

Question No: 28 (Marks: 1) - Please choose one

An entrepreneur is a person who is a:

- ▶ Risk taker
- ▶ Initiator
- ▶ Actor

- ▶ All of the given options

Question No: 29 (Marks: 1) - Please choose one

Which of the following is alternatively called corporate venturing?

- ▶ Entrepreneurship
- ▶ Intrapreneurship
- ▶ Act of stating a new venture
- ▶ Offering new products by an existing company

Question No: 30 (Marks: 1) - Please choose one

Which one of the following is not the intrapreneurial leadership characteristic?

- ▶ Understands environment
- ▶ Encourage the team work
- ▶ Not flexible
- ▶ Persistent

Question No: 31 (Marks: 1) - Please choose one

Degree of influence and control on other people is called:

- ▶ Locus of control
- ▶ Locomotion of control
- ▶ Locust of control
- ▶ Loss of control

Question No: 32 (Marks: 1) - Please choose one

_____ is usually represents one or more segments of the entire market.

- ▶ Local market
- ▶ Target market
- ▶ Market orientation
- ▶ Market segmentation

Question No: 33 (Marks: 1) - Please choose one

The most often used type of funds in the companies is/are known as:

- ▶ Personal funds
- ▶ Internal funds
- ▶ External funds
- ▶ All of the given options

Question No: 34 (Marks: 1) - Please choose one

Which one of the following private investors is NOT a final source of funds for the entrepreneurs?

- ▶ Friends
- ▶ Barbers
- ▶ Financial planners
- ▶ Technical experts

Question No: 35 (Marks: 1) - Please choose one

Which of the following factor is primarily based on pricing of the products?

- ▶ Cost
- ▶ Quality
- ▶ Economy

- ▶ Competition

Question No: 36 (Marks: 1) - Please choose one

It may be desirable to make all payments on time to establish credibility with _____.

- ▶ Consumers
- ▶ Retailers
- ▶ **Suppliers**
- ▶ Entrepreneurs

Question No: 37 (Marks: 1) - Please choose one

Which of the following helps to prevent lack of cash?

- ▶ **Financial plan**
- ▶ Cash flow
- ▶ Business plan
- ▶ Personal plan

Question No: 38 (Marks: 1) - Please choose one

When two or more separate companies forming a new company, it is known as:

- ▶ **Merger**
- ▶ Acquisition
- ▶ Corporation
- ▶ Joint venture

Question No: 39 (Marks: 1) - Please choose one

Which of the following combination can help for achieving targets to greater than that predicted?

- ▶ Merger
- ▶ **Synergy**
- ▶ Acquisition
- ▶ Joint venture

Question No: 40 (Marks: 1) - Please choose one

In which of the following the death of entrepreneur results in the termination of venture?

- ▶ **Proprietorship**
- ▶ Limited company
- ▶ Limited partnership
- ▶ Corporation

Question No: 41 (Marks: 1)

Female entrepreneurs differ from male entrepreneurs in terms of all of the following **EXCEPT**:

- ▶ **Motivation**
- ▶ Business skills
- ▶ Departure point

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- ▶ Goal orientation

Question No: 42 (Marks: 1)

Which of the following techniques is an excellent method for initial screening of ideas and concepts?

- ▶ Focus group
- ▶ Problem inventory analysis
- ▶ **Brain storming**
- ▶ Reverse brainstorming

Question No: 43 (Marks: 10)

Business plan should be prepared by an entrepreneur. All of the following should be consulted while preparing this plan EXCEPT:

- ▶ Lawyers
- ▶ Accountants
- ▶ Marketing consultants
- ▶ **General public**

Question No: 44 (Marks: 10)

Individuals who help the entrepreneur in business activities are called:

- ▶ Role models
- ▶ Moral support networks
- ▶ **Professional support networks**
- ▶ Business support networks

Question No: 45 (Marks: 10)

"Paying for goods indirectly through another source" refers to:

- ▶ Barter
- ▶ Trading
- ▶ **Third-party arrangement**
- ▶ Balance of payment

Question No: 46 (Marks: 1) - Please choose one

Which one of the following can be registered under design patent?

- ▶ New product
- ▶ Original product
- ▶ Ornamental
- ▶ **All of the given options**

Question No: 47 (Marks: 1) - Please choose one

Which one of the following is an important source of idea generation due to their familiarity with the needs of market?

- ▶ Existing products and services
- ▶ **Distribution channels**
- ▶ Federal government
- ▶ Consumers

Question No: 48 (Marks: 1) - Please choose one

When an entrepreneur makes his first move into the international business, which of the following decision making style he follows?

► **Centralized**

- Democratic
- Decentralized
- Participative

Question No: 49 (Marks: 3)

What is copyright? What are its limitations.

Answer:

The Legal Agreement which protects the original work of the author.inventer.

A **copyright** protects original works of authorship. The protection does not protect the idea itself. It allows someone else to use the idea in a different manner

Question No: 50 (Marks: 3)

Briefly explain the procedure to avail Small Business Innovation Research (SBIR) grant.

1. The agencies publish solicitation describing the areas of research they will fund.
2. Submission of the application by a company.
3. Each agency screens the proposals it receives, and those passing are appraised by experts.
4. Awards are granted to those projects that have the best potential for commercialization.
5. Any patent rights, research data, and software generated are owned by the company, not the government.

Question No: 51 (Marks: 5)

While using brain storming for new idea creation what measures should be taken to acquire a good idea?

Answer:

Brainstorming

An idea generating by Group of People with having individually experience about the issue each of them to share ,definitely based of facts.

A group method of obtaining new ideas and solutions is called brainstorming. The brainstorming method for generating new ideas is based on the fact that people can be stimulated to greater creativity by meeting with others and participating with organized group experiences. Although most of the ideas generated from the group have no basis for further development, often a good idea emerges.

Question No: 52 (Marks: 5)

What are the flexibilities that the law provides to S corporations?

Law provides following flexibility:

- Number of shareholders.
- Who can be permissible to own shares?
- The ability of S corporations to own more than 90% of stock of another corporation.
- Profit's distribution.
- Issuance of different classes of stock.
- Rules affecting the tax basis of incurred losses.

Question No: 53 (Marks: 5)

Discuss what kind of information should be mentioned in "description of venture" section of a business plan.

Description of the Venture

The description of the venture should be detailed in this section. This should begin with the mission statement or company mission, which describes the nature of the business and what the entrepreneur hopes to accomplish. The new venture should be described in detail, including the product, location, personnel, background of entrepreneur, and history of the venture. The emphasis placed on location is a function of the type of business. Maps that locate customers, competitors, and alternative locations can be helpful. If the building or site decision involves legal issues, the entrepreneur should hire a lawyer.

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MIDTERM EXAMINATION
Multiple Papers
MGT602- Entrepreneurship (Session - 3)

Question No: 1 (Marks: 1) - Please choose one

_____ The level at which an individual is viewed by society is called:

- ▶ Financial status
- ▶ Qualification
- ▶ **Social status**
- ▶ Achievement

Question No: 2 (Marks: 1) - Please choose one

Individuals who help the entrepreneur in business activities are called:

- ▶ Role models
- ▶ Moral support networks
- ▶ **Professional support networks**
- ▶ Business support networks

Question No: 3 (Marks: 1) - Please choose one

Following are the problems in developing the economies EXCEPT:

- ▶ Gap of knowledge
- ▶ Variable rate of return
- ▶ **Same communication style**
- ▶ Different accounting system

Question No: 4 (Marks: 1) - Please choose one

Which one of the following is a business arrangement in which someone else is allowed to use something of the company?

- ▶ Patent
- ▶ Trade mark
- ▶ Copy right
- ▶ **Licensing**

Question No: 5 (Marks: 1) - Please choose one

Which of the following method entrepreneur can use to do international business with least risk?

- ▶ **Turnkey projects**

- ▶ Joint venture
- ▶ Merger
- ▶ Synergy

Question No: 6 (Marks: 1) - Please choose one

Combination of at least two firms at different market levels is called:

- ▶ Joint venture
- ▶ Synergy
- ▶ Horizontal merger
- ▶ **Vertical merger**

Question No: 7 (Marks: 1) - Please choose one

patent is granted for a specified amount of time because of the assumption:

- ▶ That during this time firm will cover its development costs
- ▶ **That firm will earn a sufficient profit during this period**
- ▶ To limit the monopoly of the firm
- ▶ That it will stimulate idea and development of a better product

Question No: 8 (Marks: 1) - Please choose one

A/an _____ is an online connection between the company and its customers.

- ▶ Internet advertising
- ▶ **Website**
- ▶ E-Commerce
- ▶ World Wide Web

Question No: 9 (Marks: 1) - Please choose one

Which one of the following is the next stage to the Concept Stage of Product Planning and Development Process?

- ▶ Idea Stage
- ▶ Product Planning Stage
- ▶ **Product Development Stage**
- ▶ Test Marketing Stage

Question No: 10 (Marks: 1) - Please choose one

Which of the followings give the owners a negative right, preventing anyone from making, using, or selling the invention?

- ▶ **Patent**
- ▶ Copyright
- ▶ Trade mark
- ▶ Trade secret

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is a longest lasting trade agreement with the objective of liberalizing trade by eliminating or reducing tariffs, subsidies and quotas?

- ▶ Free trade area – FTA
- ▶ European community – EC
- ▶ **General agreement on tariffs and trade – GATT**
- ▶ The North American free trade agreement – NAFTA

Question No: 12 (Marks: 1) - Please choose one

Which of the following grants protection to owner from anyone else making, using and selling the identified innovation?

- ▶ Utility patent
- ▶ **Design patent**
- ▶ Plant patent
- ▶ International patent

Question No: 13 (Marks: 1) - Please choose one

Which one of the following statements is NOT true about trademarks?

- ▶ The entrepreneur can not file after the mark already been in use
- ▶ A trademark could be a slogan or a particular sound
- ▶ Some trademarks have no relationship with the product
- ▶ **The filing date for the trademark becomes the first date use of the mark**

Question No: 14 (Marks: 1) - Please choose one

According to the governing bodies of common laws, the life of trade secret is:

- ▶ 12 years
- ▶ 17 years
- ▶ 20 years
- ▶ **As long as it remains confidential**

Question No: 15 (Marks: 1) - Please choose one

Which one of the following is the main problem for the entrepreneur in the beginning stages of creating a new venture?

- ▶ **Lack of experience**
- ▶ Limited resources
- ▶ Lack of education
- ▶ None of the given options

Question No: 16 (Marks: 1) - Please choose one

Which one of the following protects continuity of the business(specially in partnership)?

- ▶ Property insurance
- ▶ Casualty insurance
- ▶ **Life insurance**
- ▶ Bonding

Question No: 17 (Marks: 1) - Please choose one

legally binding agreement between two parties is called:

- ▶ **A contract**
- ▶ Licensing
- ▶ Insurance
- ▶ A copyright

Question No: 18 (Marks: 1) - Please choose one

Information regarding all of the following is related to operations, EXCEPT:

- ▶ Location
- ▶ **Promotion**
- ▶ Raw materials
- ▶ Labor skills

Question No: 19 (Marks: 1) - Please choose one

Which of the following is NOT studied in industry analysis?

- ▶ Economic conditions
- ▶ Technology advancements
- ▶ Organizational culture
- ▶ **Legal concerns**

Question No: 20 (Marks: 1) - Please choose one

Which one of the factors should be considered while assessing the location for business?

- ▶ Parking
- ▶ Access from roadways to facility
- ▶ Delivery rates
- ▶ **All of the given options**

Question No: 21 (Marks: 1) - Please choose one

Which one of the following is NOT included in four C's evaluation by lender?

- ▶ Character
- ▶ Cost
- ▶ **Continuity**
- ▶ Contribution

Question No: 22 (Marks: 1) - Please choose one

Which of the following is a characteristic of a good partner?

- ▶ Help to achieve goals
- ▶ Share entrepreneur's vision
- ▶ Do not exploit the partnership
- ▶ **All of the given options**

Question No: 23 (Marks: 1) - Please choose one

Having more than 50% ownership position that provides the entrepreneur with managerial control is called:

- ▶ Joint venture
- ▶ **Majority interest**
- ▶ Horizontal merger
- ▶ Diversified activity merger

Question No: 24 (Marks: 1) - Please choose one

Which one of the following is a sound strategic option for an entrepreneur when synergy is present?

- ▶ **Merger**
- ▶ Joint venture
- ▶ Minority interest
- ▶ Majority interest

Question No: 25 (Marks: 1) - Please choose one

Which of the following is a method of selling goods to another country by taking care of transactions?

- ▶ Indirect exporting
- ▶ **Direct exporting**
- ▶ Importing
- ▶ Management contract

Question No: 26 (Marks: 1) - Please choose one

Following are the types of non-equity arrangements EXCEPT:

- ▶ Licensing
- ▶ Management contracts
- ▶ **Direct export**
- ▶ Turnkey projects

Question No: 27 (Marks: 1) - Please choose one

Andrew Carnegie is an example of entrepreneur of which century:

- ▶ Earliest period
- ▶ **19th and 20th century**
- ▶ Middle ages
- ▶ 17th century

Question No: 28 (Marks: 1) - Please choose one

person who managed large project was termed as the entrepreneur in the _____.

A

- ▶ Earliest period
- ▶ **Middle ages**
- ▶ 17th century
- ▶ 19th and 20th century

Question No: 29 (Marks: 1) - Please choose one

_____ In some countries, point of purchase displays are not allowed in retail stores. Such differences are studied by international entrepreneurs under _____.

- ▶ Economic Environment
- ▶ Political Environment
- ▶ Cultural Environment
- ▶ **Technological Environment**

Question No: 30 (Marks: 1) - Please choose one

Which of the following factor is most important in forming a new business?

- ▶ Finance
- ▶ Marketing
- ▶ Government support
- ▶ **Family support**

Question No: 31 (Marks: 1) - Please choose one

Most of the finance for the new firm comes from following resources **EXCEPT**:

- ▶ Friends
- ▶ **Foreign aid**
- ▶ Relatives
- ▶ Personal savings

Question No: 32 (Marks: 1) - Please choose one

Which one of the following is the process of entrepreneurs developing new products that over time make current products obsolete?

- ▶ New business model
- ▶ Anatomization
- ▶ Creative destruction
- ▶ None of the given options

Question No: 33 (Marks: 1) - Please choose one

The intersection of knowledge and a recognized social need to start a product development process is called which of the following?

- ▶ **Iterative synthesis**
- ▶ Product-evolution process
- ▶ Ordinary innovation
- ▶ Situation analysis

Question No: 34 (Marks: 1) - Please choose one

A foundation company is formed through which of the following?

- ▶ Fashion
- ▶ Most popular business
- ▶ A winding up company
- ▶ **Research and development**

Question No: 35 (Marks: 1) - Please choose one

Which of the following factors is the most important in forcing U.S companies to focus on new product development and increased productivity?

- ▶ Entrepreneurship
- ▶ **Hyper competition**
- ▶ Governmental laws
- ▶ Organizational culture

Question No: 36 (Marks: 1) - Please choose one

Which of the following is required for a company that wants to be more flexible in adopting changes?

- ▶ Management commitment
- ▶ Contact with customers
- ▶ **Technology**
- ▶ More productivity

Question No: 37 (Marks: 1) - Please choose one

Which of the following areas are preferred by women entrepreneurs

- ▶ **Administration**
- ▶ Utilities
- ▶ Manufacturing
- ▶ None of the above

Question No: 38 (Marks: 1) - Please choose one

Individuals influencing an entrepreneur's career choice and style are known as which of the following?

- ▶ **Role model**
- ▶ Moral-support network
- ▶ Professional support network
- ▶ Support system

Question No: 39 (Marks: 1) - Please choose one

entrepreneur is also successful in international business as well if he understands:

- ▶ **Difference of domestic and international business**

- ▶ Domestic business
- ▶ International business
- ▶ None of the given options

Question No: 40 (Marks: 1) - Please choose one

Which of the following is **NOT** an important aspect of international success?

- ▶ Planning
- ▶ Diversification
- ▶ **Reporting**
- ▶ Control

Question No: 41 (Marks: 5)

What is meant by role models? What role do they perform?

Question No: 42 (Marks: 5)

Briefly discuss the product planning and development process.

MID TERM EXAMINATION
Spring 2009
MGT602- Entrepreneurship (Session - 4)

Time: 60 min
Marks: 50

Question No: 1 (Marks: 1) - Please choose one

Which of the following has not yet been empirically established as a distinguishing characteristic of entrepreneurs?

- ▶ Locus of control
- ▶ Feeling about independence
- ▶ Need for achievement
- ▶ **Risk taking**

Question No: 2 (Marks: 1) - Please choose one

The level at which an individual is viewed by society is called:

- ▶ Financial status
- ▶ Qualification
- ▶ **Social status**
- ▶ Achievement

Question No: 3 (Marks: 1) - Please choose one

Which one of the following is a business arrangement in which someone else is allowed to use something of the company?

- ▶ Patent
- ▶ Trade mark
- ▶ Copy right
- ▶ **Licensing**

Question No: 4 (Marks: 1) - Please choose one

Which of the following method entrepreneur can use to do international business with least risk?

- ▶ **Turnkey projects**
- ▶ Joint venture
- ▶ Merger
- ▶ Synergy

Question No: 5 (Marks: 1) - Please choose one

A company dealing in beer has a merger with cigarettes manufacturing firm. This merger is called:

- ▶ Horizontal merger
- ▶ **Product extension merger**
- ▶ Market extension merger
- ▶ Vertical merger

Question No: 6 (Marks: 1) - Please choose one

Which one of the following is an important source of idea generation due to their familiarity with the needs of market?

- ▶ **Existing products and services**
- ▶ Distribution channels
- ▶ Federal government
- ▶ Consumers

Question No: 7 (Marks: 1) - Please choose one

Members of distribution channels are excellent sources for new ideas because:

- ▶ **They are familiar with the needs of the market**
- ▶ They earn a handsome profit from new business
- ▶ They do not bother if entrepreneur bears a loss

- ▶ They have well-developed sales force

Question No: 8 (Marks: 1) - Please choose one

Which one of the following is the most important characteristic of a successful business website?

- ▶ **Speed**
- ▶ Innovation
- ▶ Graphics
- ▶ Products

Question No: 9 (Marks: 1) - Please choose one

Which one of the following is the next stage to the Concept Stage of Product Planning and Development Process?

- ▶ Idea Stage
- ▶ Product Planning Stage
- ▶ **Product Development Stage**
- ▶ Test Marketing Stage

Question No: 10 (Marks: 1) - Please choose one

According to the governing bodies of common laws, the life of trade secret is:

- ▶ 12 years
- ▶ 17 years
- ▶ 20 years
- ▶ **As long as it remains confidential**

Question No: 11 (Marks: 1) - Please choose one

SBA stands for:

- ▶ Small business accountants
- ▶ **Small business administration**
- ▶ Small business adequacy
- ▶ Small business advisors

Question No: 12 (Marks: 1) - Please choose one

Why should an entrepreneur do a feasibility study for starting a new venture?

- ▶ **To see if there are possible barriers to success**
- ▶ To identify possible sources of funds
- ▶ To estimate the expected sales
- ▶ To explore potential customers

Question No: 13 (Marks: 1) - Please choose one

Information regarding all of the following is related to operations, EXCEPT:

- ▶ Location
- ▶ **Promotion**
- ▶ Raw materials
- ▶ Labor skills

Question No: 14 (Marks: 1) - Please choose one

Which one of the following guide the firm through the long term decision making?

- ▶ **Mission statement**
- ▶ Product forecast
- ▶ Industry analysis
- ▶ None of the given options

Question No: 15 (Marks: 1) - Please choose one

Which of the following is included in the description of the business?

- ▶ Location
- ▶ Products offered
- ▶ History
- ▶ **All of the given options**

Question No: 16 (Marks: 1) - Please choose one

For which of the following copy right acquisition is desirable?

- ▶ Songs
- ▶ Poems
- ▶ Models
- ▶ **All of the given options**

Question No: 17 (Marks: 1) - Please choose one

Which of the following is TRUE for Disclosure Document?

- ▶ **It gives recognition that he was the inventor of the idea in past**
- ▶ It gives recognition that he is the first the inventor of the idea
- ▶ It gives recognition that he will be the invent an idea in future
- ▶ It gives recognition that he wants to copy the idea

Question No: 18 (Marks: 1) - Please choose one

Which of the following is idea generation method that focuses on parameters?

- ▶ Brainstorming
- ▶ Reverse brainstorming
- ▶ **Creative problem solving**
- ▶ Synoptic

Question No: 19 (Marks: 1) - Please choose one

The transitional disturbance and lack of reform has led to a booming black market in:

- ▶ China
- ▶ Hungary
- ▶ Singapore
- ▶ **Poland**

Question No: 20 (Marks: 1) - Please choose one

Which of the following geographical area is of least interest to U.S entrepreneurs?

- ▶ Europe
- ▶ The Far East
- ▶ Central Asia
- ▶ **Transition economies**

Question No: 21 (Marks: 1) - Please choose one

Which one of the following gives suggestions for new product and also help to market new products?

- ▶ Existing products and services
- ▶ **Distribution channels**
- ▶ Federal government
- ▶ Consumers

Question No: 22 (Marks: 1) - Please choose one

Which of the following is used by entrepreneurs to acquire experience in an international market before making a major commitment?

- ▶ Merger
- ▶ Joint venture
- ▶ **Minority interest (Doubted)**
- ▶ Majority interest

Question No: 23 (Marks: 1) - Please choose one

GATT is established in 1947, under:

- ▶ German leadership
- ▶ French leadership
- ▶ **U.S. leadership**
- ▶ U.K. leadership

Question No: 24 (Marks: 1) - Please choose one

The entrepreneur was distinguished from capital provider in:

- ▶ Middle ages

- ▶ **18th century**
- ▶ 17th century
- ▶ 19th and 20th century

Question No: 25 (Marks: 1) - Please choose one

A person who managed large project was termed as the entrepreneur in the _____.

- ▶ Earliest period
- ▶ **Middle ages**
- ▶ 17th century
- ▶ 19th and 20th century

Question No: 26 (Marks: 1) - Please choose one

Which of the following factor is most important in forming a new business?

- ▶ **Finance**
- ▶ Marketing
- ▶ Government support
- ▶ Family support

Question No: 27 (Marks: 1) - Please choose one

What is the process by which individuals pursue opportunities without regard to resources they currently control?

- ▶ Startup management
- ▶ **Entrepreneurship**
- ▶ Financial analysis
- ▶ Feasibility planning

Question No: 28 (Marks: 1) - Please choose one

Which one of the following is the process of entrepreneurs developing new products that over time make current products obsolete?

- ▶ New business model
- ▶ Anatomization
- ▶ **Creative destruction**
- ▶ None of the given options

Question No: 29 (Marks: 1) - Please choose one

Which of the following shows the process of creating something new?

- ▶ Business model
- ▶ Modeling
- ▶ **Innovation**
- ▶ Creative flexibility

Question No: 30 (Marks: 1) - Please choose one

Which of the following factors is the most important in forcing U.S companies to focus on new product development and increased productivity?

- ▶ Entrepreneurship
- ▶ **Hyper competition**
- ▶ Governmental laws
- ▶ Organizational culture

Question No: 31 (Marks: 1) - Please choose one

In the administrative domain, the commitment of resources is for which of the following?

- ▶ Periodic intervals
- ▶ **Total amount needed**
- ▶ For certain tasks
- ▶ For long time

Question No: 32 (Marks: 1) - Please choose one

Which of the following is alternatively called corporate venturing?

- ▶ Entrepreneurship
- ▶ **Entrepreneurship**
- ▶ Act of stating a new venture
- ▶ Offering new products by an existing company

Question No: 33 (Marks: 1) - Please choose one

Which is the most common cause of business failure?

- ▶ Insufficient capital
- ▶ Unstable market
- ▶ Insufficient experience
- ▶ **Poor entrepreneurship**

Answer Requested**Question No: 34 (Marks: 1) - Please choose one**

Which of the following areas are preferred by women entrepreneurs?

- ▶ **Administration**
- ▶ Utilities
- ▶ Manufacturing
- ▶ None of the above

Question No: 35 (Marks: 1) - Please choose one

Degree of influence and control on other people is called:

- ▶ **Locus of control**
- ▶ Locomotion of control
- ▶ Locust of control
- ▶ Loss of control

Question No: 36 (Marks: 1) - Please choose one

Individuals influencing an entrepreneur's career choice and style are known as which of the following?

- ▶ **Role model**
- ▶ Moral-support network
- ▶ Professional support network
- ▶ Support system

Question No: 37 (Marks: 1) - Please choose one

The activity which occurs when the new venture is started is called:

- ▶ Motivation
- ▶ Business skills
- ▶ **Departure point**
- ▶ Goal orientation

Question No: 38 (Marks: 1) - Please choose one

Marks 10

Choose the correct option (simply highlight the correct option)

1. An entrepreneur's primary motivation for starting a business is
 - a. To make money
 - b. To be independent**
 - c. To be famous
 - d. To be powerful
2. To be successful in an entrepreneurial venture, you need
 - a. Money
 - b. Luck**
 - c. Hard work
 - d. A good idea
3. Entrepreneurs are best as
 - a. Managers
 - b. Venture capitalists

- c. Planners
 - d. Doers
4. A successful entrepreneur relies on which of the following for critical management advice
- a. Internal management team
 - b. External management professionals
 - c. Financial sources
 - d. No one
5. Entrepreneurs are:
- a. High risk takers
 - b. Moderate risk takers
 - c. Small risk takers
 - d. Doesn't matter
6. Entrepreneurs typically form
- a. Service businesses
 - b. Manufacturing companies
 - c. Constructive companies
 - d. A variety of ventures
7. Entrepreneurs:
- a. Are the life of the party
 - b. Are bores at a cocktail party
 - c. Will never go to parties
 - d. Just fit into the crowd at a party
8. Entrepreneurs and venture capitalists:
- a. Get along well
 - b. Are the best friends
 - c. Are cordial friends
 - d. Are in conflict
9. An entrepreneur's primary motivation for high ego and need for achievement is based upon a relationship with:
- a. Spouse
 - b. Mother
 - c. Father
 - d. Children
10. An individual usually begins his or her first significant entrepreneurial business enterprise at what age
- a. Teens
 - b. Twenties
 - c. Forties

d. Fifties

Choose the correct option (simply highlight the correct option)

1. Personal characteristics to be a successful entrepreneur includes

☐ e. Understanding environment

☐ f. Creating management options

☐ g. Encourage open discussion

☒ h. **All of the above**

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2. Without top management commitment, the organization will

☐ e. Be able to make changes

☒ f. **Not be able to make any changes**

☐ g. Not be able to make effective changes

☐ h. None of the above

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3. Entrepreneurial experience becomes increasingly important as

☐ e. Work load increases

☒ f. **Complexity of venture increases**

☐ g. Complexity of work increases

☐ h. None of the above

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4. Entrepreneurs are concerned about basic issues of:

Sales, costs and benefits

Customers, sales and costs

Risk, costs and benefits

None of the above

5. Licensing arrangements have

☐ e. Low risk process involved

☐ f. Easy way to generate incremental income

☐ g. Several pitfalls

☒ h. **All of the above**

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6. Joint ventures have been used by entrepreneur:

☐ e. When the entrepreneur wants to purchase local knowledge

☐ f. When rapid entry in to the market is needed

☒ g. **Both of the options given**

☐ h. None of the above

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7. A horizontal merger is

☐ e. Is the combination of firms in successive stages of production

☒ f. **Is the combination of firms that produce closely related projects in same area**

☐ g. Is the combination of firms that produce same products and sell in different areas

☐ h. None of the above

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8. Main reason(s) for merger is (are)

- ~~a.e.~~ When synergy is present
- ~~a.f.~~ When complementary resources can be combined
- ~~a.g.~~ Economies of scale can be achieved
- ~~a.h.~~ **All of the above**

9. First stage of production planning and development processes is

- ~~a.e.~~ Idea stage
- ~~a.f.~~ Concept stage
- ~~a.g.~~ **Establishing and evaluating criteria stage**
- ~~a.h.~~ None of the above

1. NAFTA stands for:

- a) North American Free Trade Agreements**
- b) North Asian Free Trade Agreements
- c) National Asian Free Trade Agreements
- d) National American Free Trade Agreements

2. The factor _____ is probably the most prevalent reason for mergers.

- a) Taxation
- b) Economies of scale**
- c) Inflation
- d) Mergers

3. A _____ merger is a combination of two firms producing the same products but selling them in different geographic markets.

- a) Diversified Activity Merger
- b) Product Extension Merger
- c) Vertical Merger
- d) Market Extension Merger**

4. One of the most frequent reasons an entrepreneur forms a joint venture is to share the _____.

- a) Resources
- b) Cost
- c) Cost and risk of a**

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project

d) Profit

5. _____ involves having a foreign purchaser in the local market or using an export management firm.

a) Direct Exporting

b) Indirect Exporting

c) Management Contracts

d) Turn-Key Projects

6. The _____ measures the payments that flow between any individual country and all other countries.

a) International Business

b) Economies of Scales

c) Balance of Payment

d) None of the given options

7. _____ is an entrepreneurial type who quickly identifies new promising business opportunities but rarely, if ever, follows through on the opportunity to create a successful new venture.

a) Simplicity Sue

b) Shotgun Sam

c) Hidden Agenda Harry

d) Inventor Irving

8. One study found that the typical minority business owner was the

a) Oldest child in a blue-collar family and married.

b) Oldest child in a white-collar family and married.

c) Youngest child in a blue-collar family and married.

d) Youngest child in a white-collar family and married.

9. Traditional managers are:

- a) Deals with mistakes and failures
- b) Tries to avoid mistakes and surprises**
- c) Attempts to hide risky projects from view until ready
- d) None of the given Options

11. Risk decisions are often postponed until

- a) Hard facts can be gathered or a consultant hired to illuminate the unknown.**
- b) Hard facts can be gathered or an auditor hired to illuminate the unknown.
- c) There is no need to gather facts and hired a consultant/auditor
- d) None of the given options

12. _____ is one method of stimulating, and then capitalizing on, individuals in an organization who think that something can be done differently and better.

- a) Strategic Orientation
- b) Capitalization
- c) Intrapreneurship**
- d) Management

13. The typical _____ has a climate and reward system that favor conservative decision making.

- a) Entrepreneurship culture
- b) Corporate culture**
- c) Intrapreneurial culture
- d) None of the given options

14. Female entrepreneurs normally start their venture at the age of _____ years.

- a) 35-45**
- b) 25-30
- c) 20-25
- d) 40-45

15. Male entrepreneurs normally start their venture at the age of _____ years.

- a) 20-25
- b) 25-35**
- c) 40-50
- d) After the age of

retirement.

16. The _____ is the process through which innovation develops and commercializes through entrepreneurial activity, which in turn stimulates economic growth.

a) Product-evolution process

b) Technological innovations

c) Breakthrough innovations

d) None of the given options

17. A _____ is a type of company formed from research and development that usually does not go public.

a) Foundation

b) Life-Style Firm

c) High-Potential Venture

d) Both b and c

18. _____ involve such things as writing, listening, oral presentations, coaching and technical know-how.

a) Business Management skills

b) Personal entrepreneurial skills

c) Technical skills

d) None of the given options

19. The _____ means to do things in his or her own way and time.

a) Need per independence

b) Need for achievement

c) Personal values

d) Ethics

20. _____ is a reason or set of reasons for engaging in a particular behavior, especially human behavior.

a) Moral value

b) Act

c) Motivation

1. Any patents, trademarks , copyright or trade secrets held by the entrepreneur is known as
 - a. Disclosure document
 - b. Patent
 - c. Intellectual property
 - d. None of the mentioned
2. The organization will never be able to make the necessary changes without _____
 - a. Top management commitment
 - b. Employees
 - c. Workers
 - d. None of the mentioned
3. The ways entrepreneurs make decisions.
 - a. Entrepreneurial domain.
 - b. Reverse brain storming
 - c. Heuristics
 - d. Reverse brain storming
4. A trademark is
5. A word, symbol, name or device that a business uses to identify its goods.
 - a. A legal protection for information on foreign products.
 - b. Legal protection for intellectual works.
 - c. Legal protection for a U.S. product exported to another country.
6. locus of control is
 - ~~a.e.~~ _____ A feeling
 - ~~a.f.~~ Attitude
 - ~~a.g.~~ Attribute
 - ~~a.h.~~ _____ None of the above
7. Licensing arrangements have
 - ~~a.i.~~ Low risk process involved
 - ~~a.j.~~ Easy way to generate incremental income
 - ~~a.k.~~ _____ Several pitfalls
 - ~~a.l.~~ All of the above
8. Personal characteristics to be a successful entrepreneur includes
 - ~~a.i.~~ Understanding environment
 - ~~a.j.~~ Creating management options
 - ~~a.k.~~ _____ Encourage open discussion
 - ~~a.l.~~ All of the above

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9. International entrepreneurship is

- a. Licensing
- b. Exporting
- c. Both of the mentioned options
- d. None of the two mentioned

Which of the following is *not* a characteristic that is helpful for an entrepreneur to have?

- a. Self-esteem
- b. Caution
- c. Drive

10. Hindrance for going in the international business is known as

- a. Synergy
- b. Turn key point
- c. Trade barrier
- d. Minority interest

1. An entrepreneur's primary motivation for starting a business is

- m. To make money
- n. To be independent
- o. To be famous
- p. To be powerful

2. To be successful in an entrepreneurial venture, you need

- i. Money
- j. Luck
- k. Hard work
- l. A good idea

4. A successful entrepreneur relies on which of the following for critical management advice

- i. Internal management team
- j. External management professionals
- k. Financial sources
- l. No one

6. Entrepreneurs typically form

- m. Service businesses
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- o. Constructive companies
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7. Entrepreneurs:

- i. Are the life of the party
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- k. Will never go to parties

- l. Just fit into the crowd at a party**
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 - j. Are the best friends
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 - j. Mother
 - k. Father**
 - l. Children
10. An individual usually begins his or her first significant entrepreneurial business enterprise at what age
- i. Teens
 - j. Twenties
 - k. Forties**
 - l. Fifties
10. Personal characteristics to be a successful entrepreneur includes:
- ~~a. d.~~ **Understanding environment**
 - ~~a. r.~~ **Creating management options**
 - ~~a. s.~~ **Encourage open discussion**
 - ~~a. t.~~ **All of the above**
11. Entrepreneurial experience becomes increasingly important as
- ~~a. m.~~ **Work load increases**
 - ~~a. n.~~ **Complexity of venture increases**
 - ~~e. o.~~ **Complexity of work increases**
 - ~~d. p.~~ **None of the above**
12. Entrepreneurs are concerned about basic issues of:
- ~~a. e.~~ **Sales, costs and benefits**
 - ~~a. f.~~ **Customers, sales and costs**
 - ~~a. g.~~ **Risk, costs and benefits**
 - ~~a. h.~~ **None of the above**
13. Licensing arrangements have
- ~~a. d.~~ **Low risk process involved**
 - ~~a. r.~~ **Easy way to generate incremental income**
 - ~~a. s.~~ **Several pitfalls**
 - ~~a. t.~~ **All of the above**
14. Joint ventures have been used by entrepreneur:
- ~~a. m.~~ **When the entrepreneur wants to purchase local knowledge**

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☒ n. When rapid entry in to the market is needed

☒ o. **Both of the options given**

☒ p. None of the above

15. A horizontal merger is

☒ m. Is the combination of firms in successive stages of production

☒ n. **Is the combination of firms that produce closely related projects in same area**

☒ o. Is the combination of firms that produce same products and sell in different areas

☒ p. None of the above

16. Main reason(s) for merger is (are)

☒ m. When synergy is present

☒ n. When complementary resources can be combined

☒ o. Economies of scale can be achieved

☒ p. **All of the above**

17. First stage of production planning and development processes is

☒ m. Idea stage

☒ n. Concept stage

☒ o. **Establishing and evaluating criteria stage**

☒ p. None of the above

1. **What causes people to do something?**

Need for achievement

Need for independence

Motivation

None of the mentioned options

2. **Individuals who help the entrepreneur in business activities**

Role models

Professional-support network

Parents

None of the mentioned options

3. **The managers in an organization strongly supporting intrapreneurship is called -----**

Top management commitment

Upper management commitment

Lower management intrapreneur

Upper management intrapreneur

4. ----- **involves a manufacturer giving a foreign manufacturer the right to use a patent, trademark or technology in return for a royalty**

Licensing

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Turn-key projects

Management contracts

1. A set of reasons for engaging in a particular behavior, especially human behavior is

known as _____.

- a. Values
- b. Vision
- c. Entrepreneurship

d. Motivation

2. Which of the following techniques is an excellent method for initially screening ideas and concepts in addition to generating new ideas?

a. Focus group

- b. Brain storming
- c. Problem inventory analysis
- d. Reverse brainstorming

3. The creative process for problem solving that involves making the strange familiar in first step and then making the familiar strange through personal direct or symbolic analogy is called _____.

- a. Synoptic
- b. Gordon method

c. Checklist method

- d. Scientific method

4. When the multiplicity of environments become too complex to handle, the international entrepreneurs often _____.

a. Go for mergers

- b. Diversify
- c. Decentralize operations
- d. Sale out the foreign business

5. An entrepreneur into the hosiery business found out the reason his hosiery was not selling was due to its color. What could be the best source of this information?

- a. Supplier
- b. Retailer

c. Competition

- d. Government bureau

6. In some countries, point of purchase displays are not allowed in retail stores. Such differences are studied by international entrepreneurs under

_____ environment.

- a. Economic

b. Political

c. Cultural

d. Technological

7. Entrepreneurial success has been significant because of the culture and the political and economic systems in _____.

a. European countries

b. Asian countries

c. Transition economies

d. Middle east

8. Having more than 50% ownership position that provides the entrepreneur with

managerial control is called _____.

a. Joint venture

b. Majority interest

c. Horizontal merger

d. Diversified activity merger

9. The under-developed or lesser developed countries need manufacturing technology

and infrastructure and yet do not want to turn over substantial portion of their

economy to foreign ownership. Which of the following is a solution to this dilemma?

a. Management contract

b. Indirect exporting

c. Licensing

d. Turn-key project

10. The development of a new venture based on an inventor's work often requires

_____.

a. Expertise of an entrepreneur

b. Heavy investment from financiers

c. Skilled human resources

d. Highly educated staff

Solution No. 1

Question # 1 Total Marks: 1

Gazelles are the firms with:

Select correct option:

High growth rate

Moderate growth rate

Zero% growth rate

Low growth rate

Question # 2 Total Marks: 1

The resources acquired from others(creditors, banks etc) are usually

Select correct option:

Easily available

Difficult to obtain

Very useful

Very cheap

Question # 3 Total Marks: 1

Which of the following firm achieves modest growth:

Select correct option:

High potential growth firm

Foundation firm

Life style

Public company

Question # 4 Total Marks: 1

Which of the following statements about the entrepreneurial climate is (are) true?

Select correct option:

Trial and error are discouraged.

Resources of the firm need to be available and easily accessible

A multidisciplinary approach is discouraged.

Failures are not allowed

Question # 5 Total Marks: 1

The difference in the entrepreneurial and managerial domains has contributed towards an increase interest in:

Select correct option:

Forming new firms

Partnership

Intrapreneurship

Private firms

Question # 6 Total Marks: 1

The commitment of administrative domain to the resources is for:

Select correct option:

Periodic intervals

Total amount needed

For certain tasks

For long time

Question # 7 Total Marks: 1

Which one of the following is NOT an intrapreneurial leadership characteristic?

Select correct option:

Understands environment

Encourage the team work

Not flexible

Persistent

Question # 8 Total Marks: 1

Which one of the following is the first step in the entrepreneurial process?

Select correct option:

Developing successful business ideas

Deciding to become an entrepreneur ?????

Growing the entrepreneurial firm

Moving from an idea to an entrepreneurial firm

Question # 9 Total Marks: 1

Factors contribute to the creation of new venture EXCEPT:

Select correct option:

Government

Finance

High interest rates

Role models

Question # 10 Total Marks: 1

The activities which occur when the new venture is started are called:

Select correct option:

Motivation

Goal orientation

Departure point

Business skills

Question # 11 Total Marks: 1

The entrepreneur must possess the abilities:
Select correct option:

Creative

Conceptualization

Understanding environment

All of the given options

Question # 12 Total Marks: 1

In terms of chronological age, most entrepreneurs initiate their entrepreneurial carrier between ages of:

Select correct option:

15 and 22

22 and 45 22 55

45 and 57

57 and 63

Question # 13 Total Marks: 1

Which one of the following is the first step in the entrepreneurial process?

Select correct option:

Developing successful business ideas

Deciding to become an entrepreneur ???

Growing the entrepreneurial firm

Moving from an idea to an entrepreneurial firm

Question # 14 Total Marks: 1

Which of the following factors does not affect a person for being an entrepreneur?

Select correct option:

Family background

Education

Personal values

Gender

Question # 15 Total Marks: 1

The chief motivational factor for _____ entrepreneurs to leave jobs is the frustration of not being allowed to perform at the level of which they are capable.

Select correct option:

Male

Female

Young

All of the given options

Question # 16 Total Marks: 1

The activities which occur when the new venture is started are called:
Select correct option:

Motivation

Goal orientation

Departure point

Business skills

Question # 17 Total Marks: 1

Which one of the following is NOT an intrapreneurial leadership characteristic?
Select correct option:

Understands environment

Encourage the team work

Not flexible

Persistent

Question # 18 Total Marks: 1

Which of the following firm achieves modest growth:
Select correct option:

High potential growth firm

Foundation firm

Life style

Public company

Question # 19 Total Marks: 1

The startups which rarely go public are called:

Select correct option:

Life style

Foundation Company

Small company

High potential venture

Question # 20 Total Marks: 1

It is proved that most businesses failed because of improper planning of an/a:

Select correct option:

Investor

Marketer

Entrepreneur

Consultant

Question # 21 Total Marks: 1

Which one of the following culture that has a climate and reward system that favor conservative decision making?

Select correct option:

Entrepreneurial

Intrapreneurial

Corporate

None of the given options

Question # 22 Total Marks: 1

Which of the following firm achieves modest growth:

Select correct option:

High potential growth firm

Foundation firm

Life style

Public company

Question # 23 Total Marks: 1

In terms of chronological age, most entrepreneurs initiate their entrepreneurial carrier between ages of:

Select correct option:

15 and 22

22 and 45

45 and 57

57 and 63

Question # 24 Total Marks: 1

Which of the following has a contradictory relationship with an individual for being an entrepreneur?

Select correct option:

His birth order

Parents' social status

Parents' occupation

Relationship with parents

Question # 25 Total Marks: 1

Which one of the following is the fourth step in the entrepreneurial process?

Select correct option:

Developing successful business ideas

Deciding to become an entrepreneur

Growing the entrepreneurial firm

Moving from an idea to an entrepreneurial firm

Question # 26 Total Marks: 1

The chief motivational factor for _____ entrepreneurs to leave jobs is the

frustration of not being allowed to perform at the level of which they are capable.
Select correct option:

Male

Female

Young

All of the given options

Question # 27 Total Marks: 1

All of the following are the broad categories of External forces EXCEPT:

Select correct option:

Economic forces

Socioeconomic forces

Technological forces

Competitive forces

Question # 28 Total Marks: 1 External forces directly affect all of the following EXCEPT:

Select correct option:

Market segmentation strategies

Types of products/services offered

Management structure of organization

Choice of businesses to acquire or sell

Question # 29 Total Marks: 1

There is evidence that an entrepreneur usually has _____ parents.

Select correct option:

Self employed

Discouraged

Non supportive

Strict

Question # 30 Total Marks: 1

Government can help in forming new venture by providing:

Select correct option:

Finance

Technology

Infrastructure

Subsidiaries

Question # 2 of 10 Total Marks: 1

The decision to start a new business is taken when one perceives that forming a new business is:

Select correct option:

Possible

Desirable

Accurate

Both a and b

entrepreneurs differ from male entrepreneurs in terms of following EXCEPT:
Select correct option:

Motivation

Business skills

Departure point ???

Goal orientation

An entrepreneur into the hosiery business found out the reason his hosiery was not selling was due to its color. What could be the best source of this information?

Select correct option:

Supplier

Retailer

Competition

Government bureau

of the following factors has allowed small companies to act like they are big ones?

Select correct option:

Competition

Economic development

Technology

Customers

Government can help in forming new venture by providing:

Select correct option:

Finance

Technology

Infrastructure

Subsidiaries

Question # 7 of 10 Total Marks: 1

Which two work environments should be good for spawning the new enterprises?

Select correct option:

Finance and marketing

Finance and R&D

Marketing and R&D

Marketing and IT

The entrepreneur must possess the abilities:
Select correct option:

Creative

Conceptualization

Understanding environment

All of the given options

Question # 9 of 10 Total Marks: 1
It is proved that most businesses failed because of improper planning of an/a:
Select correct option:

Investor

Marketer

Entrepreneur

Consultant

Question # 10 of 10 Total Marks: 1
Which of the following receives highest investment?
Select correct option:

High potential venture

Foundation firm

Life style

Public company

of the following has a contradictory relationship with an individual for being an entrepreneur?
Select correct option:

His birth order

Parents' social status

Parents' occupation

Relationship with parents

Question # 2 of 10 Total Marks: 1

Which one of the following is required to develop a good team for creating something new?
Select correct option:

Relationship with team members

Open discussion

Non flexible behavior

Discouragement of team member's ideas

Question # 3 of 10 Total Marks: 1

The startups which rarely go public are called:
Select correct option:

Life style

Foundation Company

Small company

High potential venture

Question # 4 of 10 Total Marks: 1

Good entrepreneurs are usually from families which are:

Select correct option:

Landlords

Capitalists

Can be from any family with supportive parents ??????

Conservative parents

Question # 5 of 10 Total Marks: 1

_____ is required if a company wants to be more flexible in adopting changes.

Select correct option:

Management commitment

Contact with customers

Technology

More productivity

Question # 6 of 10 Total Marks: 1

Which two work environments should be good for spawning the new enterprises?

Select correct option:

Finance and marketing

Finance and R&D

Marketing and R&D

Marketing and IT

Question # 7 of 10 Total Marks: 1

It is proved that most businesses failed because of improper planning of an/a:

Select correct option:

Investor

Marketer

Entrepreneur

Consultant

Question # 8 of 10 Total Marks: 1

Which one of the following is the first step in the entrepreneurial process?

Select correct option:

Developing successful business ideas

Deciding to become an entrepreneur ???

Growing the entrepreneurial firm

Moving from an idea to an entrepreneurial firm

Question # 9 of 10 Total Marks: 1

Female entrepreneurs differ from male entrepreneurs in terms of following EXCEPT:

Select correct option:

Motivation

Business skills

Departure point

Goal orientation

Question # 10 of 10 Total Marks: 1

The decision to start a new business is taken when one perceives that forming a new business is:
Select correct option:

Possible

Desirable

Accurate

Both a and b

Q #1: The entrepreneur was distinguished from capital provider in:

- A. Middle ages
- B. 18th century**
- C. 17th century
- D. 19th and 20th century

Q #2: _____ Process of creating incremental wealth is called Entrepreneurship.

- A. Dynamic**
- B. Static
- C. Continues
- D. Systematic

Q #3: Most important factor in forming a new business is:

A. Finance

- B. Marketing
- C. Govt Support
- D. Family Support

Q #4: Which one of the following is the process of entrepreneurs developing new products that over time make current products obsolete?

A. Creative destruction

- B. New business model
- C. Anatomization
- D. None of the given options

Q #5: The intersection of knowledge and a recognized social need to start a product development process is called:

A. Iterative synthesis

- B. Product-evolution process
- C. Ordinary innovation
- D. Situation analysis

Q #6: Which one of the following is the primary cause of failure in small businesses?

- A. Poor financial control
- B. Poor location
- C. Management mistakes**
- D. Improper inventory control

Q #7: Which one of the following is the first step in the entrepreneurial process?

- A. Developing successful business ideas
- B. Deciding to become an entrepreneur**
- C. Growing the entrepreneurial firm
- D. Moving from an idea to an entrepreneurial firm

Q #8: Which of the following is NOT included in the opportunity evaluation process?

- A. Length of the opportunity
- B. Real and perceived value of opportunity
- C. Goals and objectives of customers**
- D. Risks and rewards of opportunity

Q #9: The resistance of employees in an organization against flexibility, growth, and diversification can be overcome by developing:

- A. Entrepreneurship**
- B. Intrapreneurship
- C. Managerial domain
- D. Administrative domain

Q #10: The entrepreneur's _____ depends on his perception of the opportunity.

- A. Commitment to opportunity
- B. Commitment of resources
- C. Control of resources
- D. Strategic orientation**

Q #11: Which of the following statements about the entrepreneurial climate is (are) true?

- A. Trial and error are discouraged
- B. Resources of the firm need to be available and easily accessible**
- C. A multidisciplinary approach is discouraged
- D. Failures are not allowed

Q #12: Which of the following makes the formation of new venture difficult within a corporate culture?

- A. Lack of intrapreneurial talent
- B. Lack of freedom to make autonomous decisions
- C. Lack of market opportunity
- D. All of the given options**

Q #13: Which of the following factors has allowed small companies to act like they are big ones?

- A. Competition
- B. Economic development
- C. Technology**
- D. Customers

Q #14: Which of the following is alternatively called corporate venturing?

A. Entrepreneurship

- B. Intrapreneurship
- C. Act of starting a new venture
- D. Offering new products by an existing company

Q #15: Being one's own boss is a need of:

A. Independence

- B. Achievement
- C. Affiliation
- D. Authority

Q #16: An individual's need to be recognized is called:

- A. Need for independence
- B. Need for affiliation
- C. Need of fame

D. Need for achievement

Q #17: Which one of the following factors does not affect a person for being an entrepreneur?

- A. Family background
- B. Education
- C. Personal Values

D. Gender

Q #18: Female entrepreneurs differ from male entrepreneurs in terms of all of the following EXCEPT:

- A. Motivation
- B. Business skills
- C. Departure point**
- D. Goal orientation

Q #19: Which of the following areas are preferred by women entrepreneurs?

- A. Administration
- B. Utilities**

- C. Manufacturing
- D. None of the above

Q #20: Which one of the following is NOT TRUE about male entrepreneurs?

- A. Males often have investors, bank loans, or personal loans in addition to personal funds
- B. Males often have more experience in manufacturing, finance, or technical areas
- C. Men are often more confident and less flexible and tolerant
- D. Men usually list outside advisors as the least important supporters**

Mgt 602 complete project

Plan Outline:

1.0 Executive Summary

- a. Mission
- b. Objectives
- c. Keys to Success

2.0 Company Summary

- d. Company Ownership
- e. Company History
- f. Company Locations and Facilities

3.0 Services

- g. Service Description
- h. Competitive Comparison
- i. Sales Literature
- j. Fulfillment
- k. Technology
- l. Future Services

4.0 Market Analysis Summary

- m. Market Segmentation

- n. Service Business Analysis
 - i. Main Competitors
 - ii. Competition and Buying Patterns
 - iii. Business Participants
 - iv. Distributing a Service

5.0 Strategy and Implementation Summary

- o. Marketing Strategy
 - i. Promotion Strategy
 - ii. Distribution Strategy
 - iii. Positioning Statement
 - iv. Pricing Strategy
- p. Sales Strategy
 - i. Sales Programs
 - ii. Sales Forecast

6.0 Management Summary

- 2. Organizational Structure
- 3. Appendix

MGT602 Entrepreneurship Q1 Questioning

Question # 1 of 10 Total Marks: 1

_____ is required if a company wants to be more flexible in adopting changes.

Select correct option:

Management commitment

Contact with customers

Technology

More productivity

Question # 2 of 10 Total Marks: 1

External forces directly affect all of the following EXCEPT:

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Market segmentation strategies

Types of products/services offered

Management structure of organization

Choice of businesses to acquire or sell

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Select correct option:

Landlords

Capitalists

Can be from any family with supportive parents

Conservative parents

Question # 4 of 10 Total Marks: 1

There is an evidence that an entrepreneur usually has _____ parents.

Select correct option:

Self employed

Discouraged

Non supportive

Strict

Question # 7 of 10 Total Marks: 1

Which one of the following makes formation of new ventures within a corporate structure difficult?

Select correct option:

Lack of intrapreneurial talent ??

Lack of freedom to make autonomous decisions

Lack of market opportunity

Lack of knowledge

Question # 8 of 10 Total Marks: 1

Professional support network includes following EXCEPT:

Select correct option:

Personal affiliations

Mentor

Trade associations

Friends

Question # 9 of 10 (Total Marks: 1

An individual's need to be recognized is called:

Select correct option:

Need for independence

Need for affiliation

Need of fame

Need for achievement

Question # 10 of 10 Total Marks: 1

Which of the following is NOT a characteristic of an entrepreneur?

Select correct option:

Need for independence

Need for affiliation

Need for achievement

Risk taking

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funds

B. Males often have more experience in manufacturing, finance, or technical areas

C. Men are often more confident and less flexible and tolerant

D. Men usually list outside advisors as the least important supporters

Question No: 1 (Marks: 1) - Please choose one

Which of the following has not yet been empirically established as a distinguishing characteristic of entrepreneurs?

► **Locus of control**

► Feeling about independence

► Need for achievement

► Risk taking

Question No: 2 (Marks: 1) - Please choose one

There is an evidence that an entrepreneur usually has _____ parents.

► **Self employed**

► Discouraged

► Non supportive

► Strict

Question No: 3 (Marks: 1) - Please choose one

The level at which an individual is viewed by society is called:

► Financial status

► Qualification

► **Social status**

► Achievement

Question No: 4 (Marks: 1) - Please choose one

An individual's need to be recognized is called:

► Need for independence

► Need for affiliation

► Need of fame

► Need for achievement

Question No: 5 (Marks: 1) - Please choose one

With a commercial history of only 300 years, which country was a new comer to the international arena?

► Japan

► U.S

► China

► U.K

Question No: 6 (Marks: 1) - Please choose one

International entrepreneur's decisions are more complex because of:

► Business expansion

► Analysis of Huge information is difficult

► Complex transactions

► Uncontrollable factors

Question No: 7 (Marks: 1) - Please choose one

A company dealing in beer has a merger with cigarettes manufacturing firm. This merger is called:

► Horizontal merger

► Product extension merger

► Market extension merger

► Vertical merger

Question No: 8 (Marks: 1) - Please choose one

Which one of the following is an important source of idea generation due to their familiarity with the needs of market?

► Existing products and services

► Distribution channels

► Federal government

- Consumers

Question No: 9 (Marks: 1) - Please choose one

Which of the following techniques is an excellent method for initial screening of ideas and concepts?

- Focus group
- Problem inventory analysis
- **Brain storming**
- Reverse brainstorming

Question No: 10 (Marks: 1) - Please choose one

Which one of the following is the next stage to the Concept Stage of Product Planning and Development Process?

- Idea Stage
- Product Planning Stage
- **Product Development Stage**
- Test Marketing Stage

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is a method for obtaining new ideas and solutions by focusing on problems?

- **Product inventory analysis**
- Gordon method
- Checklist method
- Scientific method

Question No: 12 (Marks: 1) - Please choose one

Which one of the following is the main problem for the entrepreneur in the beginning stages of creating a new venture?

- Lack of experience
- **Limited resources**
- Lack of education

- ▶ None of the given options

Question No: 13 (Marks: 1) - Please choose one

A legally binding agreement between two parties is called:

- ▶ A contract
- ▶ Licensing
- ▶ Insurance
- ▶ A copyright

Question No: 14 (Marks: 1) - Please choose one

Which of the following is included in the description of the business?

- ▶ Location
- ▶ Products offered
- ▶ History
- ▶ All of the given options

Question No: 15 (Marks: 1) - Please choose one

The marketing perspective of business plan considers the venture through the eyes of:

- ▶ Investor
- ▶ Customer
- ▶ Entrepreneur
- ▶ Marketing manager

Question No: 16 (Marks: 1) - Please choose one

Which one of the following is NOT a condition of a contract?

- ▶ An offer is made
- ▶ An acceptance of offer
- ▶ Counter offer
- ▶ Consideration is given

Question No: 17 (Marks: 1) - Please choose one

For which of the following copy right acquisition is desirable?

- ▶ Songs
- ▶ Poems
- ▶ Models
- ▶ All of the given options

Question No: 18 (Marks: 1) - Please choose one

Which of the following is TRUE for Disclosure Document?

- ▶ It gives recognition that he was the inventor of the idea in past
- ▶ It gives recognition that he is the first the inventor of the idea
- ▶ It gives recognition that he will be the invent an idea in future
- ▶ It gives recognition that he wants to copy the idea

Question No: 19 (Marks: 1) - Please choose one

Trade barriers cause:

- ▶ Increase in cost
- ▶ Decrease in cost
- ▶ Increase in profit
- ▶ None of the given options

Question No: 20 (Marks: 1) - Please choose one

Having more than 50% ownership position that provides the entrepreneur with managerial control is called:

- ▶ Joint venture
- ▶ Majority interest
- ▶ Horizontal merger
- ▶ Diversified activity merger

Question No: 21 (Marks: 1) - Please choose one

GATT is established in 1947, under:

- ▶ German leadership
- ▶ French leadership
- ▶ U.S. leadership ???
- ▶ U.K. leadership

Question No: 22 (Marks: 1) - Please choose one

Which of the following is a method of selling goods to another country through a person in the entrepreneur's home country?

- ▶ Trading
- ▶ Direct export
- ▶ Indirect export
- ▶ Domestic sales

Question No: 23 (Marks: 1) - Please choose one

In some countries, point of purchase displays are not allowed in retail stores. Such differences are studied by international entrepreneurs under _____.

- ▶ Economic Environment
- ▶ Political Environment
- ▶ Cultural Environment ???
- ▶ Technological Environment

Question No: 24 (Marks: 1) - Please choose one

Most of the finance for the new firm comes from following resources EXCEPT:

- ▶ Friends
- ▶ Foreign aid
- ▶ Relatives
- ▶ Personal savings

Question No: 25 (Marks: 1) - Please choose one

Gazelles are the firms with:

- ▶ High growth rate
- ▶ Moderate growth rate

- ▶ Zero growth rate
- ▶ Low growth rate

Question No: 26 (Marks: 1) - Please choose one

The intersection of knowledge and a recognized social need to start a product development process is called which of the following?

▶ Iterative synthesis

- ▶ Product-evolution process
- ▶ Ordinary innovation
- ▶ Situation analysis

Question No: 27 (Marks: 1) - Please choose one

Which of the following factors is the most important in forcing U.S. companies to focus on new product development and increased productivity?

- ▶ Entrepreneurship
- ▶ Hyper competition
- ▶ Governmental laws
- ▶ Organizational culture

Question No: 28 (Marks: 1) - Please choose one

Which of the following is required for a company that wants to be more flexible in adopting changes?

▶ Management commitment

- ▶ Contact with customers
- ▶ Technology
- ▶ More productivity

Question No: 29 (Marks: 1) - Please choose one

Which of the following typical culture has a climate and reward system that favors conservative decision making?

- ▶ Entrepreneurial
- ▶ Intrapreneurial

► Corporate

- None of the given options

Question No: 30 (Marks: 1) - Please choose one

Which of the following statement about the intrapreneurial climate is true?

- Trial and error are discouraged

► Resources of the firm need to be available and easily accessible

- A multidisciplinary approach is discouraged
- Failures are not allowed

Question No: 31 (Marks: 1) - Please choose one

Which of the following are known as barriers to new product creation and development?

- Trial and error

► Opportunity parameters

- Opportunity cost
- Intrapreneurship culture

Question No: 32 (Marks: 1) - Please choose one

All of the following are true regarding male entrepreneurs EXCEPT:

► Typically most male entrepreneurs are first-borns ??

- Dissatisfaction with present job is a departure point for a male entrepreneur
- Male entrepreneurs mostly have a occupational background of middle-management or administrative-experience in the field
- Male entrepreneurs tend to be opinionated and persuasive in their approach

Question No: 33 (Marks: 1) - Please choose one

Entrepreneurial endeavors consist of all of the following key elements Except:

- New business venturing

► Increasing productivity

- Innovativeness
- Proactiveness

Question No: 34 (Marks: 1) - Please choose one

Which of the following factor does not affect a person for being an entrepreneur?

- ▶ Family background
- ▶ Education
- ▶ Personal values
- ▶ Gender ??

Question No: 35 (Marks: 1) - Please choose one

Which of the following areas are preferred by women entrepreneurs?

- ▶ Administration
- ▶ Utilities
- ▶ Manufacturing
- ▶ None of the above

Question No: 36 (Marks: 1) - Please choose one

Female entrepreneurs differ from male entrepreneurs in terms of all of the following EXCEPT:

- ▶ Motivation
- ▶ Business skills
- ▶ Departure point
- ▶ Goal orientation

Question No: 37 (Marks: 1) - Please choose one

The former USSR received technology and syrup from Pepsi and provided it with Soviet vodka and rights to distribute it in the US. This is an example of:

- ▶ Economic development
- ▶ Barter system
- ▶ Balance of payment
- ▶ International trade

Question No: 38 (Marks: 1) - Please choose one

An entrepreneur doing business within the national border is called:

- ▶ International entrepreneurship
- ▶ Intrapreneurship
- ▶ Domestic entrepreneurship
- ▶ None of the given options

Question No: 39 (Marks: 1) - Please choose one

Which one of the following may need the business plan?

- ▶ Employees
- ▶ Investors
- ▶ Advisors
- ▶ All of the given options

Question No: 40 (Marks: 1) - Please choose one

Following are the types of foreign direct investment EXCEPT:

- ▶ Joint venture
- ▶ Management contracts ??
- ▶ Minority interest
- ▶ Merger

Question No: 41 (Marks: 5)

Discuss the role of childhood family environment, which differentiate the entrepreneur from general public.

Question No: 42 (Marks: 5)

While entering into the international market the companies usually have strategic planning process. What should be considered in the strategic planning?

FINALTERM EXAMINATION

Spring 2010

MGT602- Entrepreneurship

By Muhammad Adnan

Time: 90 min

Marks: 69

Question No: 1 (Marks: 1) - Please choose one

Which of the following is the most important factor for the entrepreneur, while starting a new venture, to make an assessment of business?

- ▶ Profit
- ▶ **Risk**
- ▶ Market
- ▶ Competitors

Question No: 2 (Marks: 1) - Please choose one

Which one of the following is the next stage to the Concept Stage of Product Planning and Development Process?

- ▶ Idea Stage
- ▶ Product Planning Stage
- ▶ **Product Development Stage**
- ▶ Test Marketing Stage

Product planning and development process

Generally divided into five major stages: idea stage, concept stage, product development stage, test marketing stage, and commercialization stage

Question No: 3 (Marks: 1) - Please choose one

Which of the following type of commitment is necessary from the for the satisfaction of Investors?

- ▶ Seasonal
- ▶ **Full time**
- ▶ Conditional
- ▶ Satisfactory

Rationale: Investors will not be positive about a venture that does not have full-time commitment

Question No: 4 (Marks: 1) - Please choose one

Individuals who help the entrepreneur in business activities

- Role models
- Professional-support network**
- Parents
- None of the mentioned options

Question No: 5 (Marks: 1) - Please choose one

Which of the following is included in the description of the business?

- ▶ Location
- ▶ Products offered
- ▶ History
- ▶ All of the given options**

Question No: 6 (Marks: 1) - Please choose one

Advertising and promotion for the business-to-business market involve all of the following **EXCEPT**:

- ▶ **Indirect sales**
- ▶ Trade magazine advertising
- ▶ Direct sales
- ▶ Trade shows

Question No: 7 (Marks: 1) - Please choose one

Which of the following factors along with organization's internal factors may change the direction of plan?

- ▶ Personal
- ▶ Environmental**
- ▶ Business
- ▶ Market

Updating the Plan Environmental factors and internal factors can change the direction of the plan. It is important to be sensitive to changes in the company, industry, and market.

Question No: 8 (Marks: 1) / - Please choose one

The goals of venture should have all of the following characteristics to be successful, **EXCEPT:**

- ▶ Measurable
- ▶ Specific
- ▶ Properly monitored

▶ **Independent of time**

Question No: 9 (Marks: 1) - Please choose one

Which of the following plan has names, addresses, and resumes of the directors and officers of the corporation?

- ▶ Operations
- ▶ Marketing
- ▶ Production

▶ **Organizational**

Organizational Plan

This should include the number of shares authorized, share options, and names and addresses of the directors and officers. It is helpful to provide an organization chart indicating the line of authority. This chart shows the investor who controls the organization and how members interact.

Question No: 10 (Marks: 1) - Please choose one

A/an _____ is an online connection between the company and its customers.

- ▶ Internet advertising

▶ **Website**

- ▶ E-Commerce
- ▶ World Wide Web

Website

A website is an online connection between the company and its customers and can be developed

Question No: 11 (Marks: 1) - Please choose one

Advertising and promotion for the business-to-business market involve all of the following **EXCEPT**:

▶ **Indirect sales**

- ▶ Trade magazine advertising
- ▶ Direct sales
- ▶ Trade shows

Question No: 12 (Marks: 1) - Please choose one

Which one of the following provides a guideline in determining hiring procedures?

- ▶ Job description
- ▶ Job specification
- ▶ **Job analysis**
- ▶ Job evaluation

The **job analysis** serves as a guide in determining hiring procedures and **job descriptions** and specifications. As the size of the venture changes, the process becomes more complex.

Question No: 13 (Marks: 1) - Please choose one

Which of the following represents the characteristics of the board of advisors?

▶ **Is subject to regulations stipulated in the Sarbanes-Oxley Act**

- ▶ Has no legal status
- ▶ Is not advisable in a family-owned business
- ▶ Is likely to meet more frequently

Question No: 14 (Marks: 1) - Please choose one

In which of the following Common stock is permitted?

- ▶ C Corporation

▶ **S Corporation**

- ▶ Limited Partnership
- ▶ Sole Proprietor

Question No: 15 (Marks: 1) - Please choose one

Which one of the following an entrepreneur must develop while preparing a pro forma of sales budget?

- ▶ Cash flow statement
- ▶ Balance sheet
- ▶ **Income statement**
- ▶ Statement of retained earnings

Question No: 16 (Marks: 1) - Please choose one

Which of the following is the base of Job Advertisement?

- ▶ Job Description
- ▶ Job Specification
- ▶ Job identification
- ▶ **All of the above options**

Question No: 17 (Marks: 1) - Please choose one

In the preparation of the pro forma income statement, the entrepreneur must have to develop first:

- ▶ A production budget
- ▶ **A sales budget**
- ▶ An operating budget
- ▶ **A capital budget**

PAGE 75: In the preparation of the pro forma income statement, the entrepreneur must first develop a sales budget, an estimate of the expected volume of sales by month. <http://vustudents.ning.com/>

Question No: 18 (Marks: 1) - Please choose one

In which of the following sources the large positive cash flow may need to be invested?

- ▶ Long term
- ▶ **Short term**
- ▶ Average term
- ▶ None of the above options

PAGE 78: Large positive cash flows may need to be invested in short term sources.

Question No: 19 (Marks: 1) - Please choose one

Which of the following is a formalized method for obtaining funds from private investors?

- ▶ **Private placement**
- ▶ Private offering
- ▶ Regulation D
- ▶ Bootstrap financing

PRIVATE PLACEMENT

A final source of funds is private placement with investors who may be family and friends or wealthy individuals

Question No: 20 (Marks: 1) - Please choose one

What is the primary concern of entrepreneurs, who trade equity for their growing venture?

- ▶ Control
- ▶ Valuation
- ▶ Investor capabilities
- ▶ **Capitalization**

Question No: 21 (Marks: 1) - Please choose one

When did the Sindh Small Industries Corporation launch its credit scheme?

- ▶ 1972-73
- ▶ 1978-79
- ▶ **1988-89**
- ▶ 1992-93

The SSIC also launched a credit scheme in 88,/89. The rate of markup was 7% for industrial estates and 11% for factories outside the industrial estates.

Question No: 22 (Marks: 1) - Please choose one

In the U.S. joint ventures were first formed for large-scale projects in which of the following options?

- ▶ 1700s
- ▶ **1800s**
- ▶ 1900s
- ▶ 1600s

In the U.S. joint ventures were first used for large-scale projects in mining and railroads in the 1800s. The largest joint venture in the 1900s

Question No: 23 (Marks: 1) - Please choose one

Using which of the following, the entrepreneur values the underlying worth of the business based on its assets?

- ▶ Liquidity ratio
- ▶ Asset turnover
- ▶ **Asset valuation**
- ▶ Owners' equity

The **asset** valuation method, the entrepreneur values the underlying worth of the business based on its assets.

Question No: 24 (Marks: 1) - Please choose one

Which of the following is a second step in the entrepreneurial process?

- ▶ **Developing successful business ideas**
- ▶ Deciding to become an entrepreneur
- ▶ Growing the entrepreneurial firm
- ▶ Moving from an idea to an entrepreneurial firm

Ref. Page No.13 : A good **business plan** must be developed in order to exploit the opportunity defined. A good business plan is important in developing the opportunity and in determining the resources required, obtaining those resources and successfully managing the venture.

Question No: 25 (Marks: 1) - Please choose one

The penetration growth strategy is all of the following, **EXCEPT**:

- ▶ Focuses on developing comparable products for the existing market
- ▶ **Relies on creating a new target market share**
- ▶ Expands the firm's product offering with comparable products
- ▶ Encourages more frequent repeat purchases

Question No: 26 (Marks: 1) - Please choose one

An entrepreneur is also successful in international business as well if he understands:

- ▶ **Difference of domestic and international business**
- ▶ Domestic business
- ▶ International business
- ▶ None of the given options

Question No: 27 (Marks: 1) - Please choose one

Female entrepreneurs differ from male entrepreneurs in terms of all of the following **EXCEPT**:

- ▶ **Motivation**
- ▶ Business skills
- ▶ Departure point
- ▶ Goal orientation

Question No: 28 (Marks: 1) - Please choose one

Which of the following distributes profits to owners through dividends?

- ▶ Limited Partnership
- ▶ General Partnership
- ▶ **Corporation**

- ▶ Sole Proprietor

Question No: 29 (Marks: 1) - Please choose one

Data that support the opportunity for the venture should be briefly stated in the executive summary. If this venture is an internet business, all of the following facts should be stated by an entrepreneur EXCEPT:

- ▶ Growth in the number of internet users
- ▶ Growth in the average amount of time spent on the internet
- ▶ Growth in sales dollars generated on the internet

▶ **Growth rate of population**

Question No: 30 (Marks: 1) - Please choose one

The more complex the organization, the more _____ it is to start.

- ▶ Hard
- ▶ Possible
- ▶ **Expensive**
- ▶ Easy

Page 69: The more complex the organization, the more expensive it is to start.

Question No: 31 (Marks: 1) - Please choose one

The least expensive form of business startup is _____.

- ▶ **Proprietorship**
- ▶ Joint venture
- ▶ Corporation
- ▶ Partnership

The least expensive is the proprietorship, where the only costs may be for filing for a business name.

Question No: 32 (Marks: 1) - Please choose one

In which of the following the death of entrepreneur results in the termination of venture?

- ▶ **Proprietorship**
- ▶ Limited company
- ▶ Limited partnership
- ▶ Corporation

Question No: 33 (Marks: 1) - Please choose one

It may be desirable to make all payments on time to establish credibility with _____.

- ▶ Consumers
- ▶ Retailers
- ▶ **Suppliers**
- ▶ Entrepreneurs

Page 94: In the early stage, it may be desirable to make all payments on time to establish credibility with suppliers.

Question No: 34 (Marks: 1) - Please choose one

Which of the following initial step is normally taken by the management for hiring employees?

- ▶ Interviews
- ▶ Short listing
- ▶ **Advertisement**
- ▶ Group discussion

Advertising

advertising in local newspapers and referrals from friends and associates is most effective for entry-level positions.

Question No: 35 (Marks: 1) - Please choose one

Which of the following person is normally a role model for any other employee in the organization?

- ▶ Office boy
- ▶ Sales officer
- ▶ **Entrepreneur**
- ▶ Finance manager

Question No: 36 (Marks: 1) - Please choose one

Which of the following factor is **NOT** an important issue in managing cash flows by the entrepreneurs?

- ▶ Inventory stocks
- ▶ **Depreciation**
- ▶ Receivables
- ▶ Payables

Question No: 37 (Marks: 1) - Please choose one

Which of the following form of business can raise funds through selling shares in the market for the new venture?

- ▶ Partnership
- ▶ **Corporation**
- ▶ Proprietorship
- ▶ All of the given options

Question No: 38 (Marks: 1) - Please choose one

Which one of the following ratios is a more rigorous test of the short-term liquidity of the venture?

- ▶ Debt ratio
- ▶ **Activity ratio**
- ▶ **Acid test ratio**
- ▶ Profitability ratio

Acid test ratio is a more rigorous test of the short-term liquidity of the venture.

Question No: 39 (Marks: 1) - Please choose one

The success of any advertising agency is normally based on their _____.

- ▶ Programs
- ▶ Unique Ideas
- ▶ Business studies

▶ **All of the given options**

Question No: 40 (Marks: 1) - Please choose one

All of the following are key factors in the evaluation process to measure profitability and activity for the acquisition, **EXCEPT**:

▶ **Poorly managed inventory**

- ▶ Insufficient financial controls
- ▶ Trading volume in stock markets
- ▶ Poor corporate communications

Question No: 41 (Marks: 1) - Please choose one

All of the following are goals of entrepreneurial culture EXCEPT:

- ▶ To take responsibility and ownership
- ▶ To be rewarded for actions taken

▶ **To stay within your turf and protect your backside**

- ▶ To develop visions, goals, and action plans

Question No: 42 (Marks: 1) - Please choose one

When an entrepreneur makes his first move into the international business, which of the following decision making style he follows?

► **Centralized**

- Democratic
- Decentralized
- Participative

Question No: 43 (Marks: 1) - Please choose one

Which one of the following is the most important characteristic of a successful business website?

► **Speed**

- Innovation
- Graphics
- Products

Question No: 44 (Marks: 1) - Please choose one

Business plan should be prepared by an entrepreneur. All of the following should be consulted while preparing this plan EXCEPT:

- Lawyers
- Accountants
- Marketing consultants

► **General public**

Question No: 45 (Marks: 1) - Please choose one

Which of the following is NOT studied in environmental analysis?

- Economic conditions
- Technology advancements

► Organizational culture

► **Legal concerns**

Question No: 46 (Marks: 1) - Please choose one

Which budget is intended to provide base for evaluating expenditures that will impact the business for more than one year?

► Sales budget

► **Capital budget**

► Production budget

► Operating budget

Capital budgets are intended to provide a basis for evaluating expenditures that will impact the business for more than one year.

Question No: 47 (Marks: 1) - Please choose one

Which of the following is the former name of SME Bank?

► FMBC

► SBFC

► **SMEDA**

► SPCC

Question No: 48 (Marks: 1) - Please choose one

On the part of entrepreneur which of the following has/ have a great concern to the Investors?

► Commitment

► Experience

► Knowledge

► **All of the given options**

Question No: 49 (Marks: 3)

Describe any three issues that should be addressed in executive summary.

1. Brief description of the business concept
2. Any data that support the opportunity for the venture.
3. Statement of you this opportunity will be pursued.

Question No: 50 (Marks: 3)

What does inventory turnover mean? How is it measured?

Inventory turnover measures the efficiency of the venture in managing and selling its inventory. A high turnover is a positive sign, signifying the venture is able to sell its inventory quickly.

Inventory turnover: Cost of goods sold / Inventory

Question No: 51 (Marks: 5)

While developing the web site what characteristics should be kept in mind?

Answer:

A website is an online connection between the company and its customers and can be developed in-house or outsourced. There are several important features of every website. Each website should have search capabilities. Other functions include:

1. Shopping cart
2. Secure server connection
3. Credit card payment
4. Customer feedback features.
5. Speed, Speed and Speed.

Question No: 52 (Marks: 5)

Discuss the functions of Small Industries Development Board (SIDB) NWFP.

SIDB is playing a promotional role to support and help out the development of small and cottage industry in the province. It is an independent body, focusing on manpower training, model projects and industrial infrastructure.

Question No: 53 (Marks: 5)

How can an entrepreneur enhance the motivation in the employees, list down any five motivational factors?

Following are five of some factors:

1. Sincere empathy

Be genuine and understanding toward the people who were let go and for the added responsibilities for those who remain. Ask individuals how they feel about the events that occurred. The key here is to allow them to vent their thoughts and emotions. This is the appropriate forum in which to do it, not behind your back, spreading rumors and ill will.

2. Be genial:

Sincerely thank everyone for trying to understand the difficult steps you have taken and for their attention, concern and willingness to put forth additional effort to get through these difficult times.

3. Leadership available:

Explain that you and other management-level people will be available to discuss job questions, uncertainties and performance, gearing your comments to how to overcome obstacles in the way of success.

4. Positive action:

Discuss how the difficult short-term steps will positively affect the future. With the changes you have made, you look forward to brighter, more secure prospects. When business improves, hopefully you will be able to rehire some of the terminated employees. Again, encourage them to share their feelings and try to empathize with them

5. Recognition:

Look for ways to increase employee motivation by recognizing excellence in the workplace. Ring a bell every time an individual or team hits the production target. Put up posters with the photographs of team members who have had the most days without accidents. Give out awards for attendance records. Just do something. It is so inexpensive, yet highly effective in your efforts of employee motivation.

FINALTERM EXAMINATION MGT602- Entrepreneurship By ADNAN AWAN

Question No: 1 (Marks: 1) - Please choose one

Which of the following geographical area is of least interest to U.S entrepreneurs?

- ▶ Europe
- ▶ The Far East
- ▶ **Central Asia**
- ▶ Transition economies

Question No: 2 (Marks: 1) - Please choose one

Secondary data can be obtained from all of the following sources, **EXCEPT:**

- ▶ Magazine
- ▶ Bureau of statistics
- ▶ **Focus group**

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- ▶ Internet

Question No: 3 (Marks: 1) - Please choose one

Which one of the following is NOT an environmental factor?

- ▶ Economy
- ▶ Culture
- ▶ Technology
- ▶ **Competition**

Question No: 4 (Marks: 1) - Please choose one

Which of the following techniques is an excellent method for initially screening ideas and concepts in addition to generating new ideas?

- ▶ Focus group
- ▶ Problem inventory analysis
- ▶ Brain storming
- ▶ **Reverse brainstorming**

Question No: 5 (Marks: 1) - Please choose one

Developing a new idea through inquiry and testing is called:

- ▶ Heuristics
- ▶ Forced relationship
- ▶ **Scientific method**
- ▶ Value analysis

Question No: 6 (Marks: 1) - Please choose one

Which of the following geographical area is of least interest to U.S entrepreneurs?

- ▶ Europe
- ▶ The Far East
- ▶ **Central Asia**
- ▶ Transition economies

Question No: 7 (Marks: 1) - Please choose one

Which of the following is a second step in the entrepreneurial process?

- ▶ **Developing successful business ideas**
- ▶ Deciding to become an entrepreneur
- ▶ Growing the entrepreneurial firm
- ▶ Moving from an idea to an entrepreneurial firm

A good **business plan** must be developed in order to exploit the opportunity defined. A good business plan is important in developing the opportunity and in determining the resources required, obtaining those resources and successfully managing the venture.

Question No: 8 (Marks: 1) - Please choose one

Entrepreneurial endeavors consist of all of the following key elements **Except:**

- ▶ New business venturing
- ▶ **Increasing productivity**
- ▶ Innovativeness

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► Proactiveness

Question No: 9 (Marks: 1) - Please choose one

For the success of business plan the goals should be:

- Imaginary
- **Specific**
- Generalized
- Limitless

Question No: 10 (Marks: 1) - Please choose one

Which one of the following is a longest lasting trade agreement with the objective of liberalizing trade by eliminating or reducing tariffs, subsidies and quotas?

- Free trade area – FTA
- European community – EC
- **General agreement on tariffs and trade – GATT**
- The North American free trade agreement – NAFTA

Secondary data can be obtained from all of the following sources, **EXCEPT**:

- Magazine
- Bureau of statistics
- **Focus group**
- Internet

Question No: 11 (Marks: 1) - Please choose one

The marketing plan section should focus for the strategies for how many years?

- First Year
- **First Three Years**
- First four years
- First two years

Question No: 12 (Marks: 1) - Please choose one

The discussion among the people in focus group carries in which of the following ways?

- Formal Way
- **Informal Way**
- Convenient Way
- Problematic Way

Question No: 13 (Marks: 1) - Please choose one

In terms of chronological age, most entrepreneurs initiate their entrepreneurial carrier between ages of:

- 15 and 22
- **22 and 45**
- 45 and 57
- 57 and 63

Question No: 14 (Marks: 1) - Please choose one

In which of the following, banks are usually reluctant to give loan?

- **Sole Proprietor**
- Public Limited Companies

- ▶ Partnership firm
- ▶ Private Limited Companies

Question No: 15 (Marks: 1) - Please choose one

In USA Public Limited Companies may have _____ Director/s

- ▶ 1
- ▶ 2
- ▶ 3
- ▶ 4

Question No: 16 (Marks: 1) - Please choose one

In which of the following majority holds the management control?

- ▶ **Partnership**
- ▶ Corporation
- ▶ Limited liability company
- ▶ All of the given options

Question No: 17 (Marks: 1) - Please choose one

Which of the following shows the characteristic of the partnership with reference to taxation system?

- ▶ **Single taxation system**
- ▶ Double taxation system
- ▶ Triple taxation system
- ▶ No taxation system

Question No: 18 (Marks: 1) - Please choose one

Which of the following is the systematic assembly of all the facts about a job?

- ▶ **Job Analysis**
- ▶ Job Identification
- ▶ Job Description
- ▶ Job Specification

Question No: 19 (Marks: 1) - Please choose one

A party in an agreement that usually supplies money and has a few responsibilities is known as:

- ▶ **Limited partner**
- ▶ Major partner
- ▶ Minor partner
- ▶ General partner

Question No: 20 (Marks: 1) - Please choose one

Which of the following is a formalized method for obtaining funds from private investors?

- ▶ Private placement
- ▶ **Private offering**
- ▶ Regulation D
- ▶ Bootstrap financing

Question No: 21 (Marks: 1) - Please choose one

LIFO method can be beneficial in following conditions, **EXCEPT:**

- ▶ If rising production costs are anticipated
- ▶ If the business and inventory are growing
- ▶ **If the business has not computerized inventory control capability**

- ▶ If the business is profitable

Question No: 22 (Marks: 1) - Please choose one

Using which of the following, the entrepreneur values the underlying worth of the business based on its assets?

- ▶ Liquidity ratio
- ▶ Asset turnover
- ▶ **Asset valuation**
- ▶ Owners' equity

Question No: 23 (Marks: 1) - Please choose one

The mean age of entrepreneurial enterprises in Pakistan is:

- ▶ **12 years**
- ▶ 15 years
- ▶ 20 years
- ▶ 22 years

Question No: 24 (Marks: 1) - Please choose one

What is the percentage of Pakistani entrepreneurs that have college education?

- ▶ **30%**
- ▶ 10%
- ▶ 60%
- ▶ 45%

Question No: 25 (Marks: 1) - Please choose one

Which one of the following is the first step in the entrepreneurial process?

- ▶ **Deciding to become an entrepreneur**
- ▶ Growing the entrepreneurial firm
- ▶ Moving from an idea to an entrepreneurial firm
- ▶ Developing successful business ideas

Question No: 26 (Marks: 1) - Please choose one

In order to make organization more flexible and responsive it should tend towards which of the following?

- ▶ Centralization
- ▶ **Decentralization**
- ▶ Employee Motivation
- ▶ Less vulnerable to change

Question No: 27 (Marks: 1) - Please choose one

The entrepreneur was distinguished from capital provider in:

- ▶ Middle ages
- ▶ **18th century**
- ▶ 17th century
- ▶ 19th and 20th century

Question No: 28 (Marks: 1) - Please choose one

An entrepreneur is a person who is a:

- ▶ Risk taker
- ▶ Initiator
- ▶ Actor

- ▶ All of the given options

Question No: 29 (Marks: 1) - Please choose one

Which of the following is alternatively called corporate venturing?

- ▶ Entrepreneurship
- ▶ Intrapreneurship
- ▶ Act of stating a new venture
- ▶ Offering new products by an existing company

Question No: 30 (Marks: 1) - Please choose one

Which one of the following is not the intrapreneurial leadership characteristic?

- ▶ Understands environment
- ▶ Encourage the team work
- ▶ Not flexible
- ▶ Persistent

Question No: 31 (Marks: 1) - Please choose one

Degree of influence and control on other people is called:

- ▶ Locus of control
- ▶ Locomotion of control
- ▶ Locust of control
- ▶ Loss of control

Question No: 32 (Marks: 1) - Please choose one

_____ is usually represents one or more segments of the entire market.

- ▶ Local market
- ▶ Target market
- ▶ Market orientation
- ▶ Market segmentation

Question No: 33 (Marks: 1) - Please choose one

The most often used type of funds in the companies is/are known as:

- ▶ Personal funds
- ▶ Internal funds
- ▶ External funds
- ▶ All of the given options

Question No: 34 (Marks: 1) - Please choose one

Which one of the following private investors is NOT a final source of funds for the entrepreneurs?

- ▶ Friends
- ▶ Barbers
- ▶ Financial planners
- ▶ Technical experts

Question No: 35 (Marks: 1) - Please choose one

Which of the following factor is primarily based on pricing of the products?

- ▶ Cost
- ▶ Quality
- ▶ Economy

- ▶ Competition

Question No: 36 (Marks: 1) - Please choose one

It may be desirable to make all payments on time to establish credibility with _____.

- ▶ Consumers
- ▶ Retailers
- ▶ **Suppliers**
- ▶ Entrepreneurs

Question No: 37 (Marks: 1) - Please choose one

Which of the following helps to prevent lack of cash?

- ▶ **Financial plan**
- ▶ Cash flow
- ▶ Business plan
- ▶ Personal plan

Question No: 38 (Marks: 1) - Please choose one

When two or more separate companies forming a new company, it is known as:

- ▶ **Merger**
- ▶ Acquisition
- ▶ Corporation
- ▶ Joint venture

Question No: 39 (Marks: 1) - Please choose one

Which of the following combination can help for achieving targets to greater than that predicted?

- ▶ Merger
- ▶ **Synergy**
- ▶ Acquisition
- ▶ Joint venture

Question No: 40 (Marks: 1) - Please choose one

In which of the following the death of entrepreneur results in the termination of venture?

- ▶ **Proprietorship**
- ▶ Limited company
- ▶ Limited partnership
- ▶ Corporation

Question No: 41 (Marks: 1)

Female entrepreneurs differ from male entrepreneurs in terms of all of the following **EXCEPT**:

- ▶ **Motivation**
- ▶ Business skills
- ▶ Departure point

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- ▶ Goal orientation

Question No: 42 (Marks: 1)

Which of the following techniques is an excellent method for initial screening of ideas and concepts?

- ▶ Focus group
- ▶ Problem inventory analysis
- ▶ **Brain storming**
- ▶ Reverse brainstorming

Question No: 43 (Marks: 10)

Business plan should be prepared by an entrepreneur. All of the following should be consulted while preparing this plan EXCEPT:

- ▶ Lawyers
- ▶ Accountants
- ▶ Marketing consultants
- ▶ **General public**

Question No: 44 (Marks: 10)

Individuals who help the entrepreneur in business activities are called:

- ▶ Role models
- ▶ Moral support networks
- ▶ **Professional support networks**
- ▶ Business support networks

Question No: 45 (Marks: 10)

"Paying for goods indirectly through another source" refers to:

- ▶ Barter
- ▶ Trading
- ▶ **Third-party arrangement**
- ▶ Balance of payment

Question No: 46 (Marks: 1) - Please choose one

Which one of the following can be registered under design patent?

- ▶ New product
- ▶ Original product
- ▶ Ornamental
- ▶ **All of the given options**

Question No: 47 (Marks: 1) - Please choose one

Which one of the following is an important source of idea generation due to their familiarity with the needs of market?

- ▶ Existing products and services
- ▶ **Distribution channels**
- ▶ Federal government
- ▶ Consumers

Question No: 48 (Marks: 1) - Please choose one

When an entrepreneur makes his first move into the international business, which of the following decision making style he follows?

► **Centralized**

- Democratic
- Decentralized
- Participative

Question No: 49 (Marks: 3)

What is copyright? What are its limitations.

Answer:

The Legal Agreement which protects the original work of the author.inventer.

A **copyright** protects original works of authorship. The protection does not protect the idea itself. It allows someone else to use the idea in a different manner

Question No: 50 (Marks: 3)

Briefly explain the procedure to avail Small Business Innovation Research (SBIR) grant.

1. The agencies publish solicitation describing the areas of research they will fund.
2. Submission of the application by a company.
3. Each agency screens the proposals it receives, and those passing are appraised by experts.
4. Awards are granted to those projects that have the best potential for commercialization.
5. Any patent rights, research data, and software generated are owned by the company, not the government.

Question No: 51 (Marks: 5)

While using brain storming for new idea creation what measures should be taken to acquire a good idea?

Answer:

Brainstorming

An idea generating by Group of People with having individually experience about the issue each of them to share ,definitely based of facts.

A group method of obtaining new ideas and solutions is called brainstorming. The brainstorming method for generating new ideas is based on the fact that people can be stimulated to greater creativity by meeting with others and participating with organized group experiences. Although most of the ideas generated from the group have no basis for further development, often a good idea emerges.

Question No: 52 (Marks: 5)

What are the flexibilities that the law provides to S corporations?

Law provides following flexibility:

- Number of shareholders.
- Who can be permissible to own shares?
- The ability of S corporations to own more than 90% of stock of another corporation.
- Profit's distribution.
- Issuance of different classes of stock.
- Rules affecting the tax basis of incurred losses.

Question No: 53 (Marks: 5)

Discuss what kind of information should be mentioned in "description of venture" section of a business plan.

Description of the Venture

The description of the venture should be detailed in this section. This should begin with the mission statement or company mission, which describes the nature of the business and what the entrepreneur hopes to accomplish. The new venture should be described in detail, including the product, location, personnel, background of entrepreneur, and history of the venture. The emphasis placed on location is a function of the type of business. Maps that locate customers, competitors, and alternative locations can be helpful. If the building or site decision involves legal issues, the entrepreneur should hire a lawyer.

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FINALTERM EXAMINATION

Spring 2010

MGT602- Entrepreneurship

By Muhammad Adnan

Time: 90 min

Marks: 69

Question No: 1 (Marks: 1) - Please choose one

Which of the following is the most important factor for the entrepreneur, while starting a new venture, to make an assessment of business?

- ▶ Profit
- ▶ **Risk**
- ▶ Market
- ▶ Competitors

Question No: 2 (Marks: 1) - Please choose one

Which one of the following is the next stage to the Concept Stage of Product Planning and Development Process?

- ▶ Idea Stage
- ▶ Product Planning Stage
- ▶ **Product Development Stage**
- ▶ Test Marketing Stage

Product planning and development process

Generally divided into five major stages: idea stage, concept stage, product development stage, test marketing stage, and commercialization stage

Question No: 3 (Marks: 1) - Please choose one

Which of the following type of commitment is necessary from the for the satisfaction of Investors?

- ▶ Seasonal
- ▶ **Full time**
- ▶ Conditional
- ▶ Satisfactory

Rationale: Investors will not be positive about a venture that does not have full-time commitment

Question No: 4 (Marks: 1) - Please choose one

Individuals who help the entrepreneur in business activities

- Role models
- Professional-support network**
- Parents
- None of the mentioned options

Question No: 5 (Marks: 1) - Please choose one

Which of the following is included in the description of the business?

- ▶ Location
- ▶ Products offered
- ▶ History
- ▶ All of the given options**

Question No: 6 (Marks: 1) - Please choose one

Advertising and promotion for the business-to-business market involve all of the following **EXCEPT**:

- ▶ **Indirect sales**
- ▶ Trade magazine advertising
- ▶ Direct sales
- ▶ Trade shows

Question No: 7 (Marks: 1) - Please choose one

Which of the following factors along with organization's internal factors may change the direction of plan?

- ▶ Personal
- ▶ Environmental**
- ▶ Business
- ▶ Market

Updating the Plan Environmental factors and internal factors can change the direction of the plan. It is important to be sensitive to changes in the company, industry, and market.

Question No: 8 (Marks: 1) / - Please choose one

The goals of venture should have all of the following characteristics to be successful, **EXCEPT:**

- ▶ Measurable
- ▶ Specific
- ▶ Properly monitored

▶ **Independent of time**

Question No: 9 (Marks: 1) - Please choose one

Which of the following plan has names, addresses, and resumes of the directors and officers of the corporation?

- ▶ Operations
- ▶ Marketing
- ▶ Production

▶ **Organizational**

Organizational Plan

This should include the number of shares authorized, share options, and names and addresses of the directors and officers. It is helpful to provide an organization chart indicating the line of authority. This chart shows the investor who controls the organization and how members interact.

Question No: 10 (Marks: 1) - Please choose one

A/an _____ is an online connection between the company and its customers.

- ▶ Internet advertising

▶ **Website**

- ▶ E-Commerce
- ▶ World Wide Web

Website

A website is an online connection between the company and its customers and can be developed

Question No: 11 (Marks: 1) - Please choose one

Advertising and promotion for the business-to-business market involve all of the following **EXCEPT**:

▶ **Indirect sales**

- ▶ Trade magazine advertising
- ▶ Direct sales
- ▶ Trade shows

Question No: 12 (Marks: 1) - Please choose one

Which one of the following provides a guideline in determining hiring procedures?

- ▶ Job description
- ▶ Job specification
- ▶ **Job analysis**
- ▶ Job evaluation

The **job analysis** serves as a guide in determining hiring procedures and **job descriptions** and specifications. As the size of the venture changes, the process becomes more complex.

Question No: 13 (Marks: 1) - Please choose one

Which of the following represents the characteristics of the board of advisors?

▶ **Is subject to regulations stipulated in the Sarbanes-Oxley Act**

- ▶ Has no legal status
- ▶ Is not advisable in a family-owned business
- ▶ Is likely to meet more frequently

Question No: 14 (Marks: 1) - Please choose one

In which of the following Common stock is permitted?

- ▶ C Corporation

▶ **S Corporation**

- ▶ Limited Partnership
- ▶ Sole Proprietor

Question No: 15 (Marks: 1) - Please choose one

Which one of the following an entrepreneur must develop while preparing a pro forma of sales budget?

- ▶ Cash flow statement
- ▶ Balance sheet
- ▶ **Income statement**
- ▶ Statement of retained earnings

Question No: 16 (Marks: 1) - Please choose one

Which of the following is the base of Job Advertisement?

- ▶ Job Description
- ▶ Job Specification
- ▶ Job identification
- ▶ **All of the above options**

Question No: 17 (Marks: 1) - Please choose one

In the preparation of the pro forma income statement, the entrepreneur must have to develop first:

- ▶ A production budget
- ▶ **A sales budget**
- ▶ An operating budget
- ▶ **A capital budget**

PAGE 75: In the preparation of the pro forma income statement, the entrepreneur must first develop a sales budget, an estimate of the expected volume of sales by month. <http://vustudents.ning.com/>

Question No: 18 (Marks: 1) - Please choose one

In which of the following sources the large positive cash flow may need to be invested?

- ▶ Long term
- ▶ **Short term**
- ▶ Average term
- ▶ None of the above options

PAGE 78: Large positive cash flows may need to be invested in short term sources.

Question No: 19 (Marks: 1) - Please choose one

Which of the following is a formalized method for obtaining funds from private investors?

- ▶ **Private placement**
- ▶ Private offering
- ▶ Regulation D
- ▶ Bootstrap financing

PRIVATE PLACEMENT

A final source of funds is private placement with investors who may be family and friends or wealthy individuals

Question No: 20 (Marks: 1) - Please choose one

What is the primary concern of entrepreneurs, who trade equity for their growing venture?

- ▶ Control
- ▶ Valuation
- ▶ Investor capabilities
- ▶ **Capitalization**

Question No: 21 (Marks: 1) - Please choose one

When did the Sindh Small Industries Corporation launch its credit scheme?

- ▶ 1972-73
- ▶ 1978-79
- ▶ **1988-89**
- ▶ 1992-93

The SSIC also launched a credit scheme in 88,/89. The rate of markup was 7% for industrial estates and 11% for factories outside the industrial estates.

Question No: 22 (Marks: 1) - Please choose one

In the U.S. joint ventures were first formed for large-scale projects in which of the following options?

- ▶ 1700s
- ▶ **1800s**
- ▶ 1900s
- ▶ 1600s

In the U.S. joint ventures were first used for large-scale projects in mining and railroads in the 1800s. The largest joint venture in the 1900s

Question No: 23 (Marks: 1) - Please choose one

Using which of the following, the entrepreneur values the underlying worth of the business based on its assets?

- ▶ Liquidity ratio
- ▶ Asset turnover
- ▶ **Asset valuation**
- ▶ Owners' equity

The **asset** valuation method, the entrepreneur values the underlying worth of the business based on its assets.

Question No: 24 (Marks: 1) - Please choose one

Which of the following is a second step in the entrepreneurial process?

- ▶ **Developing successful business ideas**
- ▶ Deciding to become an entrepreneur
- ▶ Growing the entrepreneurial firm
- ▶ Moving from an idea to an entrepreneurial firm

Ref. Page No.13 : A good **business plan** must be developed in order to exploit the opportunity defined. A good business plan is important in developing the opportunity and in determining the resources required, obtaining those resources and successfully managing the venture.

Question No: 25 (Marks: 1) - Please choose one

The penetration growth strategy is all of the following, **EXCEPT**:

- ▶ Focuses on developing comparable products for the existing market
- ▶ **Relies on creating a new target market share**
- ▶ Expands the firm's product offering with comparable products
- ▶ Encourages more frequent repeat purchases

Question No: 26 (Marks: 1) - Please choose one

An entrepreneur is also successful in international business as well if he understands:

- ▶ **Difference of domestic and international business**
- ▶ Domestic business
- ▶ International business
- ▶ None of the given options

Question No: 27 (Marks: 1) - Please choose one

Female entrepreneurs differ from male entrepreneurs in terms of all of the following **EXCEPT**:

- ▶ **Motivation**
- ▶ Business skills
- ▶ Departure point
- ▶ Goal orientation

Question No: 28 (Marks: 1) - Please choose one

Which of the following distributes profits to owners through dividends?

- ▶ Limited Partnership
- ▶ General Partnership
- ▶ **Corporation**

- ▶ Sole Proprietor

Question No: 29 (Marks: 1) - Please choose one

Data that support the opportunity for the venture should be briefly stated in the executive summary. If this venture is an internet business, all of the following facts should be stated by an entrepreneur EXCEPT:

- ▶ Growth in the number of internet users
- ▶ Growth in the average amount of time spent on the internet
- ▶ Growth in sales dollars generated on the internet

▶ **Growth rate of population**

Question No: 30 (Marks: 1) - Please choose one

The more complex the organization, the more _____ it is to start.

- ▶ Hard
- ▶ Possible
- ▶ **Expensive**
- ▶ Easy

Page 69: The more complex the organization, the more expensive it is to start.

Question No: 31 (Marks: 1) - Please choose one

The least expensive form of business startup is _____.

- ▶ **Proprietorship**
- ▶ Joint venture
- ▶ Corporation
- ▶ Partnership

The least expensive is the proprietorship, where the only costs may be for filing for a business name.

Question No: 32 (Marks: 1) - Please choose one

In which of the following the death of entrepreneur results in the termination of venture?

- ▶ **Proprietorship**
- ▶ Limited company
- ▶ Limited partnership
- ▶ Corporation

Question No: 33 (Marks: 1) - Please choose one

It may be desirable to make all payments on time to establish credibility with _____.

- ▶ Consumers
- ▶ Retailers
- ▶ **Suppliers**
- ▶ Entrepreneurs

Page 94: In the early stage, it may be desirable to make all payments on time to establish credibility with suppliers.

Question No: 34 (Marks: 1) - Please choose one

Which of the following initial step is normally taken by the management for hiring employees?

- ▶ Interviews
- ▶ Short listing
- ▶ **Advertisement**
- ▶ Group discussion

Advertising

advertising in local newspapers and referrals from friends and associates is most effective for entry-level positions.

Question No: 35 (Marks: 1) - Please choose one

Which of the following person is normally a role model for any other employee in the organization?

- ▶ Office boy
- ▶ Sales officer
- ▶ **Entrepreneur**
- ▶ Finance manager

Question No: 36 (Marks: 1) - Please choose one

Which of the following factor is **NOT** an important issue in managing cash flows by the entrepreneurs?

- ▶ Inventory stocks
- ▶ **Depreciation**
- ▶ Receivables
- ▶ Payables

Question No: 37 (Marks: 1) - Please choose one

Which of the following form of business can raise funds through selling shares in the market for the new venture?

- ▶ Partnership
- ▶ **Corporation**
- ▶ Proprietorship
- ▶ All of the given options

Question No: 38 (Marks: 1) - Please choose one

Which one of the following ratios is a more rigorous test of the short-term liquidity of the venture?

- ▶ Debt ratio
- ▶ **Activity ratio**
- ▶ **Acid test ratio**
- ▶ Profitability ratio

Acid test ratio is a more rigorous test of the short-term liquidity of the venture.

Question No: 39 (Marks: 1) - Please choose one

The success of any advertising agency is normally based on their _____.

- ▶ Programs
- ▶ Unique Ideas
- ▶ Business studies

▶ **All of the given options**

Question No: 40 (Marks: 1) - Please choose one

All of the following are key factors in the evaluation process to measure profitability and activity for the acquisition, **EXCEPT**:

▶ **Poorly managed inventory**

- ▶ Insufficient financial controls
- ▶ Trading volume in stock markets
- ▶ Poor corporate communications

Question No: 41 (Marks: 1) - Please choose one

All of the following are goals of entrepreneurial culture EXCEPT:

- ▶ To take responsibility and ownership
- ▶ To be rewarded for actions taken

▶ **To stay within your turf and protect your backside**

- ▶ To develop visions, goals, and action plans

Question No: 42 (Marks: 1) - Please choose one

When an entrepreneur makes his first move into the international business, which of the following decision making style he follows?

► **Centralized**

- Democratic
- Decentralized
- Participative

Question No: 43 (Marks: 1) - Please choose one

Which one of the following is the most important characteristic of a successful business website?

► **Speed**

- Innovation
- Graphics
- Products

Question No: 44 (Marks: 1) - Please choose one

Business plan should be prepared by an entrepreneur. All of the following should be consulted while preparing this plan EXCEPT:

- Lawyers
- Accountants
- Marketing consultants

► **General public**

Question No: 45 (Marks: 1) - Please choose one

Which of the following is NOT studied in environmental analysis?

- Economic conditions
- Technology advancements

► Organizational culture

► **Legal concerns**

Question No: 46 (Marks: 1) - Please choose one

Which budget is intended to provide base for evaluating expenditures that will impact the business for more than one year?

► Sales budget

► **Capital budget**

► Production budget

► Operating budget

Capital budgets are intended to provide a basis for evaluating expenditures that will impact the business for more than one year.

Question No: 47 (Marks: 1) - Please choose one

Which of the following is the former name of SME Bank?

► FMBC

► SBFC

► **SMEDA**

► SPCC

Question No: 48 (Marks: 1) - Please choose one

On the part of entrepreneur which of the following has/ have a great concern to the Investors?

► Commitment

► Experience

► Knowledge

► **All of the given options**

Question No: 49 (Marks: 3)

Describe any three issues that should be addressed in executive summary.

1. Brief description of the business concept
2. Any data that support the opportunity for the venture.
3. Statement of you this opportunity will be pursued.

Question No: 50 (Marks: 3)

What does inventory turnover mean? How is it measured?

Inventory turnover measures the efficiency of the venture in managing and selling its inventory. A high turnover is a positive sign, signifying the venture is able to sell its inventory quickly.

Inventory turnover: Cost of goods sold / Inventory

Question No: 51 (Marks: 5)

While developing the web site what characteristics should be kept in mind?

Answer:

A website is an online connection between the company and its customers and can be developed in-house or outsourced. There are several important features of every website. Each website should have search capabilities. Other functions include:

1. Shopping cart
2. Secure server connection
3. Credit card payment
4. Customer feedback features.
5. Speed, Speed and Speed.

Question No: 52 (Marks: 5)

Discuss the functions of Small Industries Development Board (SIDB) NWFP.

SIDB is playing a promotional role to support and help out the development of small and cottage industry in the province. It is an independent body, focusing on manpower training, model projects and industrial infrastructure.

Question No: 53 (Marks: 5)

How can an entrepreneur enhance the motivation in the employees, list down any five motivational factors?

Following are five of some factors:

1. Sincere empathy

Be genuine and understanding toward the people who were let go and for the added responsibilities for those who remain. Ask individuals how they feel about the events that occurred. The key here is to allow them to vent their thoughts and emotions. This is the appropriate forum in which to do it, not behind your back, spreading rumors and ill will.

2. Be genial:

Sincerely thank everyone for trying to understand the difficult steps you have taken and for their attention, concern and willingness to put forth additional effort to get through these difficult times.

3. Leadership available:

Explain that you and other management-level people will be available to discuss job questions, uncertainties and performance, gearing your comments to how to overcome obstacles in the way of success.

4. Positive action:

Discuss how the difficult short-term steps will positively affect the future. With the changes you have made, you look forward to brighter, more secure prospects. When business improves, hopefully you will be able to rehire some of the terminated employees. Again, encourage them to share their feelings and try to empathize with them

5. Recognition:

Look for ways to increase employee motivation by recognizing excellence in the workplace. Ring a bell every time an individual or team hits the production target. Put up posters with the photographs of team members who have had the most days without accidents. Give out awards for attendance records. Just do something. It is so inexpensive, yet highly effective in your efforts of employee motivation.

FINALTERM EXAMINATION MGT602- Entrepreneurship By ADNAN AWAN

Question No: 1 (Marks: 1) - Please choose one

Which of the following geographical area is of least interest to U.S entrepreneurs?

- ▶ Europe
- ▶ The Far East
- ▶ **Central Asia**
- ▶ Transition economies

Question No: 2 (Marks: 1) - Please choose one

Secondary data can be obtained from all of the following sources, **EXCEPT:**

- ▶ Magazine
- ▶ Bureau of statistics
- ▶ **Focus group**

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- ▶ Internet

Question No: 3 (Marks: 1) - Please choose one

Which one of the following is NOT an environmental factor?

- ▶ Economy
- ▶ Culture
- ▶ Technology
- ▶ **Competition**

Question No: 4 (Marks: 1) - Please choose one

Which of the following techniques is an excellent method for initially screening ideas and concepts in addition to generating new ideas?

- ▶ Focus group
- ▶ Problem inventory analysis
- ▶ Brain storming
- ▶ **Reverse brainstorming**

Question No: 5 (Marks: 1) - Please choose one

Developing a new idea through inquiry and testing is called:

- ▶ Heuristics
- ▶ Forced relationship
- ▶ **Scientific method**
- ▶ Value analysis

Question No: 6 (Marks: 1) - Please choose one

Which of the following geographical area is of least interest to U.S entrepreneurs?

- ▶ Europe
- ▶ The Far East
- ▶ **Central Asia**
- ▶ Transition economies

Question No: 7 (Marks: 1) - Please choose one

Which of the following is a second step in the entrepreneurial process?

- ▶ **Developing successful business ideas**
- ▶ Deciding to become an entrepreneur
- ▶ Growing the entrepreneurial firm
- ▶ Moving from an idea to an entrepreneurial firm

A good **business plan** must be developed in order to exploit the opportunity defined. A good business plan is important in developing the opportunity and in determining the resources required, obtaining those resources and successfully managing the venture.

Question No: 8 (Marks: 1) - Please choose one

Entrepreneurial endeavors consist of all of the following key elements **Except:**

- ▶ New business venturing
- ▶ **Increasing productivity**
- ▶ Innovativeness

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► Proactiveness

Question No: 9 (Marks: 1) - Please choose one

For the success of business plan the goals should be:

- Imaginary
- **Specific**
- Generalized
- Limitless

Question No: 10 (Marks: 1) - Please choose one

Which one of the following is a longest lasting trade agreement with the objective of liberalizing trade by eliminating or reducing tariffs, subsidies and quotas?

- Free trade area – FTA
- European community – EC
- **General agreement on tariffs and trade – GATT**
- The North American free trade agreement – NAFTA

Secondary data can be obtained from all of the following sources, **EXCEPT**:

- Magazine
- Bureau of statistics
- **Focus group**
- Internet

Question No: 11 (Marks: 1) - Please choose one

The marketing plan section should focus for the strategies for how many years?

- First Year
- **First Three Years**
- First four years
- First two years

Question No: 12 (Marks: 1) - Please choose one

The discussion among the people in focus group carries in which of the following ways?

- Formal Way
- **Informal Way**
- Convenient Way
- Problematic Way

Question No: 13 (Marks: 1) - Please choose one

In terms of chronological age, most entrepreneurs initiate their entrepreneurial carrier between ages of:

- 15 and 22
- **22 and 45**
- 45 and 57
- 57 and 63

Question No: 14 (Marks: 1) - Please choose one

In which of the following, banks are usually reluctant to give loan?

- **Sole Proprietor**
- Public Limited Companies

- ▶ Partnership firm
- ▶ Private Limited Companies

Question No: 15 (Marks: 1) - Please choose one

In USA Public Limited Companies may have _____ Director/s

- ▶ 1
- ▶ 2
- ▶ 3
- ▶ 4

Question No: 16 (Marks: 1) - Please choose one

In which of the following majority holds the management control?

- ▶ **Partnership**
- ▶ Corporation
- ▶ Limited liability company
- ▶ All of the given options

Question No: 17 (Marks: 1) - Please choose one

Which of the following shows the characteristic of the partnership with reference to taxation system?

- ▶ **Single taxation system**
- ▶ Double taxation system
- ▶ Triple taxation system
- ▶ No taxation system

Question No: 18 (Marks: 1) - Please choose one

Which of the following is the systematic assembly of all the facts about a job?

- ▶ **Job Analysis**
- ▶ Job Identification
- ▶ Job Description
- ▶ Job Specification

Question No: 19 (Marks: 1) - Please choose one

A party in an agreement that usually supplies money and has a few responsibilities is known as:

- ▶ **Limited partner**
- ▶ Major partner
- ▶ Minor partner
- ▶ General partner

Question No: 20 (Marks: 1) - Please choose one

Which of the following is a formalized method for obtaining funds from private investors?

- ▶ Private placement
- ▶ **Private offering**
- ▶ Regulation D
- ▶ Bootstrap financing

Question No: 21 (Marks: 1) - Please choose one

LIFO method can be beneficial in following conditions, **EXCEPT:**

- ▶ If rising production costs are anticipated
- ▶ If the business and inventory are growing
- ▶ **If the business has not computerized inventory control capability**

- ▶ If the business is profitable

Question No: 22 (Marks: 1) - Please choose one

Using which of the following, the entrepreneur values the underlying worth of the business based on its assets?

- ▶ Liquidity ratio
- ▶ Asset turnover
- ▶ **Asset valuation**
- ▶ Owners' equity

Question No: 23 (Marks: 1) - Please choose one

The mean age of entrepreneurial enterprises in Pakistan is:

- ▶ **12 years**
- ▶ 15 years
- ▶ 20 years
- ▶ 22 years

Question No: 24 (Marks: 1) - Please choose one

What is the percentage of Pakistani entrepreneurs that have college education?

- ▶ **30%**
- ▶ 10%
- ▶ 60%
- ▶ 45%

Question No: 25 (Marks: 1) - Please choose one

Which one of the following is the first step in the entrepreneurial process?

- ▶ **Deciding to become an entrepreneur**
- ▶ Growing the entrepreneurial firm
- ▶ Moving from an idea to an entrepreneurial firm
- ▶ Developing successful business ideas

Question No: 26 (Marks: 1) - Please choose one

In order to make organization more flexible and responsive it should tend towards which of the following?

- ▶ Centralization
- ▶ **Decentralization**
- ▶ Employee Motivation
- ▶ Less vulnerable to change

Question No: 27 (Marks: 1) - Please choose one

The entrepreneur was distinguished from capital provider in:

- ▶ Middle ages
- ▶ **18th century**
- ▶ 17th century
- ▶ 19th and 20th century

Question No: 28 (Marks: 1) - Please choose one

An entrepreneur is a person who is a:

- ▶ Risk taker
- ▶ Initiator
- ▶ Actor

- ▶ All of the given options

Question No: 29 (Marks: 1) - Please choose one

Which of the following is alternatively called corporate venturing?

- ▶ Entrepreneurship
- ▶ Intrapreneurship
- ▶ Act of stating a new venture
- ▶ Offering new products by an existing company

Question No: 30 (Marks: 1) - Please choose one

Which one of the following is not the intrapreneurial leadership characteristic?

- ▶ Understands environment
- ▶ Encourage the team work
- ▶ Not flexible
- ▶ Persistent

Question No: 31 (Marks: 1) - Please choose one

Degree of influence and control on other people is called:

- ▶ Locus of control
- ▶ Locomotion of control
- ▶ Locust of control
- ▶ Loss of control

Question No: 32 (Marks: 1) - Please choose one

_____ is usually represents one or more segments of the entire market.

- ▶ Local market
- ▶ Target market
- ▶ Market orientation
- ▶ Market segmentation

Question No: 33 (Marks: 1) - Please choose one

The most often used type of funds in the companies is/are known as:

- ▶ Personal funds
- ▶ Internal funds
- ▶ External funds
- ▶ All of the given options

Question No: 34 (Marks: 1) - Please choose one

Which one of the following private investors is NOT a final source of funds for the entrepreneurs?

- ▶ Friends
- ▶ Barbers
- ▶ Financial planners
- ▶ Technical experts

Question No: 35 (Marks: 1) - Please choose one

Which of the following factor is primarily based on pricing of the products?

- ▶ Cost
- ▶ Quality
- ▶ Economy

- ▶ Competition

Question No: 36 (Marks: 1) - Please choose one

It may be desirable to make all payments on time to establish credibility with _____.

- ▶ Consumers
- ▶ Retailers
- ▶ **Suppliers**
- ▶ Entrepreneurs

Question No: 37 (Marks: 1) - Please choose one

Which of the following helps to prevent lack of cash?

- ▶ **Financial plan**
- ▶ Cash flow
- ▶ Business plan
- ▶ Personal plan

Question No: 38 (Marks: 1) - Please choose one

When two or more separate companies forming a new company, it is known as:

- ▶ **Merger**
- ▶ Acquisition
- ▶ Corporation
- ▶ Joint venture

Question No: 39 (Marks: 1) - Please choose one

Which of the following combination can help for achieving targets to greater than that predicted?

- ▶ Merger
- ▶ **Synergy**
- ▶ Acquisition
- ▶ Joint venture

Question No: 40 (Marks: 1) - Please choose one

In which of the following the death of entrepreneur results in the termination of venture?

- ▶ **Proprietorship**
- ▶ Limited company
- ▶ Limited partnership
- ▶ Corporation

Question No: 41 (Marks: 1)

Female entrepreneurs differ from male entrepreneurs in terms of all of the following **EXCEPT**:

- ▶ **Motivation**
- ▶ Business skills
- ▶ Departure point

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- ▶ Goal orientation

Question No: 42 (Marks: 1)

Which of the following techniques is an excellent method for initial screening of ideas and concepts?

- ▶ Focus group
- ▶ Problem inventory analysis
- ▶ **Brain storming**
- ▶ Reverse brainstorming

Question No: 43 (Marks: 10)

Business plan should be prepared by an entrepreneur. All of the following should be consulted while preparing this plan EXCEPT:

- ▶ Lawyers
- ▶ Accountants
- ▶ Marketing consultants
- ▶ **General public**

Question No: 44 (Marks: 10)

Individuals who help the entrepreneur in business activities are called:

- ▶ Role models
- ▶ Moral support networks
- ▶ **Professional support networks**
- ▶ Business support networks

Question No: 45 (Marks: 10)

"Paying for goods indirectly through another source" refers to:

- ▶ Barter
- ▶ Trading
- ▶ **Third-party arrangement**
- ▶ Balance of payment

Question No: 46 (Marks: 1) - Please choose one

Which one of the following can be registered under design patent?

- ▶ New product
- ▶ Original product
- ▶ Ornamental
- ▶ **All of the given options**

Question No: 47 (Marks: 1) - Please choose one

Which one of the following is an important source of idea generation due to their familiarity with the needs of market?

- ▶ Existing products and services
- ▶ **Distribution channels**
- ▶ Federal government
- ▶ Consumers

Question No: 48 (Marks: 1) - Please choose one

When an entrepreneur makes his first move into the international business, which of the following decision making style he follows?

► **Centralized**

- Democratic
- Decentralized
- Participative

Question No: 49 (Marks: 3)

What is copyright? What are its limitations.

Answer:

The Legal Agreement which protects the original work of the author.inventer.

A **copyright** protects original works of authorship. The protection does not protect the idea itself. It allows someone else to use the idea in a different manner

Question No: 50 (Marks: 3)

Briefly explain the procedure to avail Small Business Innovation Research (SBIR) grant.

1. The agencies publish solicitation describing the areas of research they will fund.
2. Submission of the application by a company.
3. Each agency screens the proposals it receives, and those passing are appraised by experts.
4. Awards are granted to those projects that have the best potential for commercialization.
5. Any patent rights, research data, and software generated are owned by the company, not the government.

Question No: 51 (Marks: 5)

While using brain storming for new idea creation what measures should be taken to acquire a good idea?

Answer:

Brainstorming

An idea generating by Group of People with having individually experience about the issue each of them to share ,definitely based of facts.

A group method of obtaining new ideas and solutions is called brainstorming. The brainstorming method for generating new ideas is based on the fact that people can be stimulated to greater creativity by meeting with others and participating with organized group experiences. Although most of the ideas generated from the group have no basis for further development, often a good idea emerges.

Question No: 52 (Marks: 5)

What are the flexibilities that the law provides to S corporations?

Law provides following flexibility:

- Number of shareholders.
- Who can be permissible to own shares?
- The ability of S corporations to own more than 90% of stock of another corporation.
- Profit's distribution.
- Issuance of different classes of stock.
- Rules affecting the tax basis of incurred losses.

Question No: 53 (Marks: 5)

Discuss what kind of information should be mentioned in "description of venture" section of a business plan.

Description of the Venture

The description of the venture should be detailed in this section. This should begin with the mission statement or company mission, which describes the nature of the business and what the entrepreneur hopes to accomplish. The new venture should be described in detail, including the product, location, personnel, background of entrepreneur, and history of the venture. The emphasis placed on location is a function of the type of business. Maps that locate customers, competitors, and alternative locations can be helpful. If the building or site decision involves legal issues, the entrepreneur should hire a lawyer.

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MIDTERM EXAMINATION
Multiple Papers
MGT602- Entrepreneurship (Session - 3)

Question No: 1 (Marks: 1) - Please choose one

_____ The level at which an individual is viewed by society is called:

- ▶ Financial status
- ▶ Qualification
- ▶ **Social status**
- ▶ Achievement

Question No: 2 (Marks: 1) - Please choose one

Individuals who help the entrepreneur in business activities are called:

- ▶ Role models
- ▶ Moral support networks
- ▶ **Professional support networks**
- ▶ Business support networks

Question No: 3 (Marks: 1) - Please choose one

Following are the problems in developing the economies EXCEPT:

- ▶ Gap of knowledge
- ▶ Variable rate of return
- ▶ **Same communication style**
- ▶ Different accounting system

Question No: 4 (Marks: 1) - Please choose one

Which one of the following is a business arrangement in which someone else is allowed to use something of the company?

- ▶ Patent
- ▶ Trade mark
- ▶ Copy right
- ▶ **Licensing**

Question No: 5 (Marks: 1) - Please choose one

Which of the following method entrepreneur can use to do international business with least risk?

- ▶ **Turnkey projects**

- ▶ Joint venture
- ▶ Merger
- ▶ Synergy

Question No: 6 (Marks: 1) - Please choose one

Combination of at least two firms at different market levels is called:

- ▶ Joint venture
- ▶ Synergy
- ▶ Horizontal merger
- ▶ **Vertical merger**

Question No: 7 (Marks: 1) - Please choose one

patent is granted for a specified amount of time because of the assumption:

- ▶ That during this time firm will cover its development costs
- ▶ **That firm will earn a sufficient profit during this period**
- ▶ To limit the monopoly of the firm
- ▶ That it will stimulate idea and development of a better product

Question No: 8 (Marks: 1) - Please choose one

A/an _____ is an online connection between the company and its customers.

- ▶ Internet advertising
- ▶ **Website**
- ▶ E-Commerce
- ▶ World Wide Web

Question No: 9 (Marks: 1) - Please choose one

Which one of the following is the next stage to the Concept Stage of Product Planning and Development Process?

- ▶ Idea Stage
- ▶ Product Planning Stage
- ▶ **Product Development Stage**
- ▶ Test Marketing Stage

Question No: 10 (Marks: 1) - Please choose one

Which of the followings give the owners a negative right, preventing anyone from making, using, or selling the invention?

- ▶ **Patent**
- ▶ Copyright
- ▶ Trade mark
- ▶ Trade secret

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is a longest lasting trade agreement with the objective of liberalizing trade by eliminating or reducing tariffs, subsidies and quotas?

- ▶ Free trade area – FTA
- ▶ European community – EC
- ▶ **General agreement on tariffs and trade – GATT**
- ▶ The North American free trade agreement – NAFTA

Question No: 12 (Marks: 1) - Please choose one

Which of the following grants protection to owner from anyone else making, using and selling the identified innovation?

- ▶ Utility patent
- ▶ **Design patent**
- ▶ Plant patent
- ▶ International patent

Question No: 13 (Marks: 1) - Please choose one

Which one of the following statements is NOT true about trademarks?

- ▶ The entrepreneur can not file after the mark already been in use
- ▶ A trademark could be a slogan or a particular sound
- ▶ Some trademarks have no relationship with the product
- ▶ **The filing date for the trademark becomes the first date use of the mark**

Question No: 14 (Marks: 1) - Please choose one

According to the governing bodies of common laws, the life of trade secret is:

- ▶ 12 years
- ▶ 17 years
- ▶ 20 years
- ▶ **As long as it remains confidential**

Question No: 15 (Marks: 1) - Please choose one

Which one of the following is the main problem for the entrepreneur in the beginning stages of creating a new venture?

- ▶ **Lack of experience**
- ▶ Limited resources
- ▶ Lack of education
- ▶ None of the given options

Question No: 16 (Marks: 1) - Please choose one

Which one of the following protects continuity of the business(specially in partnership)?

- ▶ Property insurance
- ▶ Casualty insurance
- ▶ **Life insurance**
- ▶ Bonding

Question No: 17 (Marks: 1) - Please choose one

legally binding agreement between two parties is called:

- ▶ **A contract**
- ▶ Licensing
- ▶ Insurance
- ▶ A copyright

Question No: 18 (Marks: 1) - Please choose one

Information regarding all of the following is related to operations, EXCEPT:

- ▶ Location
- ▶ **Promotion**
- ▶ Raw materials
- ▶ Labor skills

Question No: 19 (Marks: 1) - Please choose one

Which of the following is NOT studied in industry analysis?

- ▶ Economic conditions
- ▶ Technology advancements
- ▶ Organizational culture
- ▶ **Legal concerns**

Question No: 20 (Marks: 1) - Please choose one

Which one of the factors should be considered while assessing the location for business?

- ▶ Parking
- ▶ Access from roadways to facility
- ▶ Delivery rates
- ▶ **All of the given options**

Question No: 21 (Marks: 1) - Please choose one

Which one of the following is NOT included in four C's evaluation by lender?

- ▶ Character
- ▶ Cost
- ▶ **Continuity**
- ▶ Contribution

Question No: 22 (Marks: 1) - Please choose one

Which of the following is a characteristic of a good partner?

- ▶ Help to achieve goals
- ▶ Share entrepreneur's vision
- ▶ Do not exploit the partnership
- ▶ **All of the given options**

Question No: 23 (Marks: 1) - Please choose one

Having more than 50% ownership position that provides the entrepreneur with managerial control is called:

- ▶ Joint venture
- ▶ **Majority interest**
- ▶ Horizontal merger
- ▶ Diversified activity merger

Question No: 24 (Marks: 1) - Please choose one

Which one of the following is a sound strategic option for an entrepreneur when synergy is present?

- ▶ **Merger**
- ▶ Joint venture
- ▶ Minority interest
- ▶ Majority interest

Question No: 25 (Marks: 1) - Please choose one

Which of the following is a method of selling goods to another country by taking care of transactions?

- ▶ Indirect exporting
- ▶ **Direct exporting**
- ▶ Importing
- ▶ Management contract

Question No: 26 (Marks: 1) - Please choose one

Following are the types of non-equity arrangements EXCEPT:

- ▶ Licensing
- ▶ Management contracts
- ▶ **Direct export**
- ▶ Turnkey projects

Question No: 27 (Marks: 1) - Please choose one

Andrew Carnegie is an example of entrepreneur of which century:

- ▶ Earliest period
- ▶ **19th and 20th century**
- ▶ Middle ages
- ▶ 17th century

Question No: 28 (Marks: 1) - Please choose one

person who managed large project was termed as the entrepreneur in the _____.

A

- ▶ Earliest period
- ▶ **Middle ages**
- ▶ 17th century
- ▶ 19th and 20th century

Question No: 29 (Marks: 1) - Please choose one

_____ In some countries, point of purchase displays are not allowed in retail stores. Such differences are studied by international entrepreneurs under _____.

- ▶ Economic Environment
- ▶ Political Environment
- ▶ Cultural Environment
- ▶ **Technological Environment**

Question No: 30 (Marks: 1) - Please choose one

Which of the following factor is most important in forming a new business?

- ▶ Finance
- ▶ Marketing
- ▶ Government support
- ▶ **Family support**

Question No: 31 (Marks: 1) - Please choose one

Most of the finance for the new firm comes from following resources **EXCEPT**:

- ▶ Friends
- ▶ **Foreign aid**
- ▶ Relatives
- ▶ Personal savings

Question No: 32 (Marks: 1) - Please choose one

Which one of the following is the process of entrepreneurs developing new products that over time make current products obsolete?

- ▶ New business model
- ▶ Anatomization
- ▶ Creative destruction
- ▶ None of the given options

Question No: 33 (Marks: 1) - Please choose one

The intersection of knowledge and a recognized social need to start a product development process is called which of the following?

- ▶ **Iterative synthesis**
- ▶ Product-evolution process
- ▶ Ordinary innovation
- ▶ Situation analysis

Question No: 34 (Marks: 1) - Please choose one

A foundation company is formed through which of the following?

- ▶ Fashion
- ▶ Most popular business
- ▶ A winding up company
- ▶ **Research and development**

Question No: 35 (Marks: 1) - Please choose one

Which of the following factors is the most important in forcing U.S companies to focus on new product development and increased productivity?

- ▶ Entrepreneurship
- ▶ **Hyper competition**
- ▶ Governmental laws
- ▶ Organizational culture

Question No: 36 (Marks: 1) - Please choose one

Which of the following is required for a company that wants to be more flexible in adopting changes?

- ▶ Management commitment
- ▶ Contact with customers
- ▶ **Technology**
- ▶ More productivity

Question No: 37 (Marks: 1) - Please choose one

Which of the following areas are preferred by women entrepreneurs

- ▶ **Administration**
- ▶ Utilities
- ▶ Manufacturing
- ▶ None of the above

Question No: 38 (Marks: 1) - Please choose one

Individuals influencing an entrepreneur's career choice and style are known as which of the following?

- ▶ **Role model**
- ▶ Moral-support network
- ▶ Professional support network
- ▶ Support system

Question No: 39 (Marks: 1) - Please choose one

entrepreneur is also successful in international business as well if he understands:

- ▶ **Difference of domestic and international business**

- ▶ Domestic business
- ▶ International business
- ▶ None of the given options

Question No: 40 (Marks: 1) - Please choose one

Which of the following is **NOT** an important aspect of international success?

- ▶ Planning
- ▶ Diversification
- ▶ **Reporting**
- ▶ Control

Question No: 41 (Marks: 5)

What is meant by role models? What role do they perform?

Question No: 42 (Marks: 5)

Briefly discuss the product planning and development process.

MID TERM EXAMINATION
Spring 2009
MGT602- Entrepreneurship (Session - 4)

Time: 60 min
Marks: 50

Question No: 1 (Marks: 1) - Please choose one

Which of the following has not yet been empirically established as a distinguishing characteristic of entrepreneurs?

- ▶ Locus of control
- ▶ Feeling about independence
- ▶ Need for achievement
- ▶ **Risk taking**

Question No: 2 (Marks: 1) - Please choose one

The level at which an individual is viewed by society is called:

- ▶ Financial status
- ▶ Qualification
- ▶ **Social status**
- ▶ Achievement

Question No: 3 (Marks: 1) - Please choose one

Which one of the following is a business arrangement in which someone else is allowed to use something of the company?

- ▶ Patent
- ▶ Trade mark
- ▶ Copy right
- ▶ **Licensing**

Question No: 4 (Marks: 1) - Please choose one

Which of the following method entrepreneur can use to do international business with least risk?

- ▶ **Turnkey projects**
- ▶ Joint venture
- ▶ Merger
- ▶ Synergy

Question No: 5 (Marks: 1) - Please choose one

A company dealing in beer has a merger with cigarettes manufacturing firm. This merger is called:

- ▶ Horizontal merger
- ▶ **Product extension merger**
- ▶ Market extension merger
- ▶ Vertical merger

Question No: 6 (Marks: 1) - Please choose one

Which one of the following is an important source of idea generation due to their familiarity with the needs of market?

- ▶ **Existing products and services**
- ▶ Distribution channels
- ▶ Federal government
- ▶ Consumers

Question No: 7 (Marks: 1) - Please choose one

Members of distribution channels are excellent sources for new ideas because:

- ▶ **They are familiar with the needs of the market**
- ▶ They earn a handsome profit from new business
- ▶ They do not bother if entrepreneur bears a loss

- ▶ They have well-developed sales force

Question No: 8 (Marks: 1) - Please choose one

Which one of the following is the most important characteristic of a successful business website?

- ▶ **Speed**
- ▶ Innovation
- ▶ Graphics
- ▶ Products

Question No: 9 (Marks: 1) - Please choose one

Which one of the following is the next stage to the Concept Stage of Product Planning and Development Process?

- ▶ Idea Stage
- ▶ Product Planning Stage
- ▶ **Product Development Stage**
- ▶ Test Marketing Stage

Question No: 10 (Marks: 1) - Please choose one

According to the governing bodies of common laws, the life of trade secret is:

- ▶ 12 years
- ▶ 17 years
- ▶ 20 years
- ▶ **As long as it remains confidential**

Question No: 11 (Marks: 1) - Please choose one

SBA stands for:

- ▶ Small business accountants
- ▶ **Small business administration**
- ▶ Small business adequacy
- ▶ Small business advisors

Question No: 12 (Marks: 1) - Please choose one

Why should an entrepreneur do a feasibility study for starting a new venture?

- ▶ **To see if there are possible barriers to success**
- ▶ To identify possible sources of funds
- ▶ To estimate the expected sales
- ▶ To explore potential customers

Question No: 13 (Marks: 1) - Please choose one

Information regarding all of the following is related to operations, EXCEPT:

- ▶ Location
- ▶ **Promotion**
- ▶ Raw materials
- ▶ Labor skills

Question No: 14 (Marks: 1) - Please choose one

Which one of the following guide the firm through the long term decision making?

- ▶ **Mission statement**
- ▶ Product forecast
- ▶ Industry analysis
- ▶ None of the given options

Question No: 15 (Marks: 1) - Please choose one

Which of the following is included in the description of the business?

- ▶ Location
- ▶ Products offered
- ▶ History
- ▶ **All of the given options**

Question No: 16 (Marks: 1) - Please choose one

For which of the following copy right acquisition is desirable?

- ▶ Songs
- ▶ Poems
- ▶ Models
- ▶ **All of the given options**

Question No: 17 (Marks: 1) - Please choose one

Which of the following is TRUE for Disclosure Document?

- ▶ **It gives recognition that he was the inventor of the idea in past**
- ▶ It gives recognition that he is the first the inventor of the idea
- ▶ It gives recognition that he will be the invent an idea in future
- ▶ It gives recognition that he wants to copy the idea

Question No: 18 (Marks: 1) - Please choose one

Which of the following is idea generation method that focuses on parameters?

- ▶ Brainstorming
- ▶ Reverse brainstorming
- ▶ **Creative problem solving**
- ▶ Synoptic

Question No: 19 (Marks: 1) - Please choose one

The transitional disturbance and lack of reform has led to a booming black market in:

- ▶ China
- ▶ Hungary
- ▶ Singapore
- ▶ **Poland**

Question No: 20 (Marks: 1) - Please choose one

Which of the following geographical area is of least interest to U.S entrepreneurs?

- ▶ Europe
- ▶ The Far East
- ▶ Central Asia
- ▶ **Transition economies**

Question No: 21 (Marks: 1) - Please choose one

Which one of the following gives suggestions for new product and also help to market new products?

- ▶ Existing products and services
- ▶ **Distribution channels**
- ▶ Federal government
- ▶ Consumers

Question No: 22 (Marks: 1) - Please choose one

Which of the following is used by entrepreneurs to acquire experience in an international market before making a major commitment?

- ▶ Merger
- ▶ Joint venture
- ▶ **Minority interest (Doubted)**
- ▶ Majority interest

Question No: 23 (Marks: 1) - Please choose one

GATT is established in 1947, under:

- ▶ German leadership
- ▶ French leadership
- ▶ **U.S. leadership**
- ▶ U.K. leadership

Question No: 24 (Marks: 1) - Please choose one

The entrepreneur was distinguished from capital provider in:

- ▶ Middle ages

- ▶ **18th century**
- ▶ 17th century
- ▶ 19th and 20th century

Question No: 25 (Marks: 1) - Please choose one

A person who managed large project was termed as the entrepreneur in the _____.

- ▶ Earliest period
- ▶ **Middle ages**
- ▶ 17th century
- ▶ 19th and 20th century

Question No: 26 (Marks: 1) - Please choose one

Which of the following factor is most important in forming a new business?

- ▶ **Finance**
- ▶ Marketing
- ▶ Government support
- ▶ Family support

Question No: 27 (Marks: 1) - Please choose one

What is the process by which individuals pursue opportunities without regard to resources they currently control?

- ▶ Startup management
- ▶ **Entrepreneurship**
- ▶ Financial analysis
- ▶ Feasibility planning

Question No: 28 (Marks: 1) - Please choose one

Which one of the following is the process of entrepreneurs developing new products that over time make current products obsolete?

- ▶ New business model
- ▶ Anatomization
- ▶ **Creative destruction**
- ▶ None of the given options

Question No: 29 (Marks: 1) - Please choose one

Which of the following shows the process of creating something new?

- ▶ Business model
- ▶ Modeling
- ▶ **Innovation**
- ▶ Creative flexibility

Question No: 30 (Marks: 1) - Please choose one

Which of the following factors is the most important in forcing U.S companies to focus on new product development and increased productivity?

- ▶ Entrepreneurship
- ▶ **Hyper competition**
- ▶ Governmental laws
- ▶ Organizational culture

Question No: 31 (Marks: 1) - Please choose one

In the administrative domain, the commitment of resources is for which of the following?

- ▶ Periodic intervals
- ▶ **Total amount needed**
- ▶ For certain tasks
- ▶ For long time

Question No: 32 (Marks: 1) - Please choose one

Which of the following is alternatively called corporate venturing?

- ▶ Entrepreneurship
- ▶ **Entrepreneurship**
- ▶ Act of stating a new venture
- ▶ Offering new products by an existing company

Question No: 33 (Marks: 1) - Please choose one

Which is the most common cause of business failure?

- ▶ Insufficient capital
- ▶ Unstable market
- ▶ Insufficient experience
- ▶ **Poor entrepreneurship**

Answer Requested**Question No: 34 (Marks: 1) - Please choose one**

Which of the following areas are preferred by women entrepreneurs?

- ▶ **Administration**
- ▶ Utilities
- ▶ Manufacturing
- ▶ None of the above

Question No: 35 (Marks: 1) - Please choose one

Degree of influence and control on other people is called:

- ▶ **Locus of control**
- ▶ Locomotion of control
- ▶ Locust of control
- ▶ Loss of control

Question No: 36 (Marks: 1) - Please choose one

Individuals influencing an entrepreneur's career choice and style are known as which of the following?

- ▶ **Role model**
- ▶ Moral-support network
- ▶ Professional support network
- ▶ Support system

Question No: 37 (Marks: 1) - Please choose one

The activity which occurs when the new venture is started is called:

- ▶ Motivation
- ▶ Business skills
- ▶ **Departure point**
- ▶ Goal orientation

Question No: 38 (Marks: 1) - Please choose one

Marks 10

Choose the correct option (simply highlight the correct option)

1. An entrepreneur's primary motivation for starting a business is
 - a. To make money
 - b. To be independent**
 - c. To be famous
 - d. To be powerful
2. To be successful in an entrepreneurial venture, you need
 - a. Money
 - b. Luck**
 - c. Hard work
 - d. A good idea
3. Entrepreneurs are best as
 - a. Managers
 - b. Venture capitalists

- c. Planners
 - d. Doers
4. A successful entrepreneur relies on which of the following for critical management advice
- a. Internal management team
 - b. External management professionals
 - c. Financial sources
 - d. No one
5. Entrepreneurs are:
- a. High risk takers
 - b. Moderate risk takers
 - c. Small risk takers
 - d. Doesn't matter
6. Entrepreneurs typically form
- a. Service businesses
 - b. Manufacturing companies
 - c. Constructive companies
 - d. A variety of ventures
7. Entrepreneurs:
- a. Are the life of the party
 - b. Are bores at a cocktail party
 - c. Will never go to parties
 - d. Just fit into the crowd at a party
8. Entrepreneurs and venture capitalists:
- a. Get along well
 - b. Are the best friends
 - c. Are cordial friends
 - d. Are in conflict
9. An entrepreneur's primary motivation for high ego and need for achievement is based upon a relationship with:
- a. Spouse
 - b. Mother
 - c. Father
 - d. Children
10. An individual usually begins his or her first significant entrepreneurial business enterprise at what age
- a. Teens
 - b. Twenties
 - c. Forties

d. Fifties

Choose the correct option (simply highlight the correct option)

1. Personal characteristics to be a successful entrepreneur includes

☐ e. Understanding environment

☐ f. Creating management options

☐ g. Encourage open discussion

☒ h. **All of the above**

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2. Without top management commitment, the organization will

☐ e. Be able to make changes

☒ f. **Not be able to make any changes**

☐ g. Not be able to make effective changes

☐ h. None of the above

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3. Entrepreneurial experience becomes increasingly important as

☐ e. Work load increases

☒ f. **Complexity of venture increases**

☐ g. Complexity of work increases

☐ h. None of the above

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4. Entrepreneurs are concerned about basic issues of:

Sales, costs and benefits

Customers, sales and costs

Risk, costs and benefits

None of the above

5. Licensing arrangements have

☐ e. Low risk process involved

☐ f. Easy way to generate incremental income

☐ g. Several pitfalls

☒ h. **All of the above**

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6. Joint ventures have been used by entrepreneur:

☐ e. When the entrepreneur wants to purchase local knowledge

☐ f. When rapid entry in to the market is needed

☒ g. **Both of the options given**

☐ h. None of the above

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7. A horizontal merger is

☐ e. Is the combination of firms in successive stages of production

☒ f. **Is the combination of firms that produce closely related projects in same area**

☐ g. Is the combination of firms that produce same products and sell in different areas

☐ h. None of the above

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8. Main reason(s) for merger is (are)

- ~~a.e.~~ When synergy is present
- ~~a.f.~~ When complementary resources can be combined
- ~~a.g.~~ Economies of scale can be achieved
- a.h. All of the above**

9. First stage of production planning and development processes is

- ~~a.e.~~ Idea stage
- ~~a.f.~~ Concept stage
- a.g. Establishing and evaluating criteria stage**
- ~~a.h.~~ None of the above

1. NAFTA stands for:

- a) North American Free Trade Agreements**
- b) North Asian Free Trade Agreements
- c) National Asian Free Trade Agreements
- d) National American Free Trade Agreements

2. The factor _____ is probably the most prevalent reason for mergers.

- a) Taxation
- b) Economies of scale**
- c) Inflation
- d) Mergers

3. A _____ merger is a combination of two firms producing the same products but selling them in different geographic markets.

- a) Diversified Activity Merger
- b) Product Extension Merger
- c) Vertical Merger
- d) Market Extension Merger**

4. One of the most frequent reasons an entrepreneur forms a joint venture is to share the _____.

- a) Resources
- b) Cost
- c) Cost and risk of a**

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project

d) Profit

5. _____ involves having a foreign purchaser in the local market or using an export management firm.

a) Direct Exporting

b) Indirect Exporting

c) Management Contracts

d) Turn-Key Projects

6. The _____ measures the payments that flow between any individual country and all other countries.

a) International Business

b) Economies of Scales

c) Balance of Payment

d) None of the given options

7. _____ is an entrepreneurial type who quickly identifies new promising business opportunities but rarely, if ever, follows through on the opportunity to create a successful new venture.

a) Simplicity Sue

b) Shotgun Sam

c) Hidden Agenda Harry

d) Inventor Irving

8. One study found that the typical minority business owner was the

a) Oldest child in a blue-collar family and married.

b) Oldest child in a white-collar family and married.

c) Youngest child in a blue-collar family and married.

d) Youngest child in a white-collar family and married.

9. Traditional managers are:

- a) Deals with mistakes and failures
- b) Tries to avoid mistakes and surprises**
- c) Attempts to hide risky projects from view until ready
- d) None of the given Options

11. Risk decisions are often postponed until

- a) Hard facts can be gathered or a consultant hired to illuminate the unknown.**
- b) Hard facts can be gathered or an auditor hired to illuminate the unknown.
- c) There is no need to gather facts and hired a consultant/auditor
- d) None of the given options

12. _____ is one method of stimulating, and then capitalizing on, individuals in an organization who think that something can be done differently and better.

- a) Strategic Orientation
- b) Capitalization
- c) Intrapreneurship**
- d) Management

13. The typical _____ has a climate and reward system that favor conservative decision making.

- a) Entrepreneurship culture
- b) Corporate culture**
- c) Intrapreneurial culture
- d) None of the given options

14. Female entrepreneurs normally start their venture at the age of _____ years.

- a) 35-45**
- b) 25-30
- c) 20-25
- d) 40-45

15. Male entrepreneurs normally start their venture at the age of _____ years.

- a) 20-25
- b) 25-35**
- c) 40-50
- d) After the age of

retirement.

16. The _____ is the process through which innovation develops and commercializes through entrepreneurial activity, which in turn stimulates economic growth.

a) Product-evolution process

b) Technological innovations

c) Breakthrough innovations

d) None of the given options

17. A _____ is a type of company formed from research and development that usually does not go public.

a) Foundation

b) Life-Style Firm

c) High-Potential Venture

d) Both b and c

18. _____ involve such things as writing, listening, oral presentations, coaching and technical know-how.

a) Business Management skills

b) Personal entrepreneurial skills

c) Technical skills

d) None of the given options

19. The _____ means to do things in his or her own way and time.

a) Need per independence

b) Need for achievement

c) Personal values

d) Ethics

20. _____ is a reason or set of reasons for engaging in a particular behavior, especially human behavior.

a) Moral value

b) Act

c) Motivation

1. Any patents, trademarks, copyright or trade secrets held by the entrepreneur is known as
 - a. Disclosure document
 - b. Patent
 - c. Intellectual property
 - d. None of the mentioned
2. The organization will never be able to make the necessary changes without _____
 - a. Top management commitment
 - b. Employees
 - c. Workers
 - d. None of the mentioned
3. The ways entrepreneurs make decisions.
 - a. Entrepreneurial domain.
 - b. Reverse brain storming
 - c. Heuristics
 - d. Reverse brain storming
4. A trademark is
5. A word, symbol, name or device that a business uses to identify its goods.
 - a. A legal protection for information on foreign products.
 - b. Legal protection for intellectual works.
 - c. Legal protection for a U.S. product exported to another country.
6. locus of control is
 - ~~a.e.~~ A feeling
 - ~~a.f.~~ Attitude
 - ~~a.g.~~ Attribute
 - ~~a.h.~~ None of the above
7. Licensing arrangements have
 - ~~a.i.~~ Low risk process involved
 - ~~a.j.~~ Easy way to generate incremental income
 - ~~a.k.~~ Several pitfalls
 - ~~a.l.~~ All of the above
8. Personal characteristics to be a successful entrepreneur includes
 - ~~a.i.~~ Understanding environment
 - ~~a.j.~~ Creating management options
 - ~~a.k.~~ Encourage open discussion
 - ~~a.l.~~ All of the above

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9. International entrepreneurship is

- a. Licensing
- b. Exporting
- c. Both of the mentioned options
- d. None of the two mentioned

Which of the following is *not* a characteristic that is helpful for an entrepreneur to have?

- a. Self-esteem
- b. Caution
- c. Drive

10. Hindrance for going in the international business is known as

- a. Synergy
- b. Turn key point
- c. Trade barrier
- d. Minority interest

1. An entrepreneur's primary motivation for starting a business is

- m. To make money
- n. To be independent
- o. To be famous
- p. To be powerful

2. To be successful in an entrepreneurial venture, you need

- i. Money
- j. Luck
- k. Hard work
- l. A good idea

4. A successful entrepreneur relies on which of the following for critical management advice

- i. Internal management team
- j. External management professionals
- k. Financial sources
- l. No one

6. Entrepreneurs typically form

- m. Service businesses
- n. Manufacturing companies
- o. Constructive companies
- p. A variety of ventures

7. Entrepreneurs:

- i. Are the life of the party
- j. Are bores at a cocktail party
- k. Will never go to parties

- l. Just fit into the crowd at a party**
8. Entrepreneurs and ventures capitalists:
- i. Get along well
 - j. Are the best friends
 - k. Are cordial friends
 - l. Are in conflict**
9. An entrepreneur's primary motivation for high ego and need for achievement is based upon a relationship with:
- i. Spouse
 - j. Mother
 - k. Father**
 - l. Children
10. An individual usually begins his or her first significant entrepreneurial business enterprise at what age
- i. Teens
 - j. Twenties
 - k. Forties**
 - l. Fifties
10. Personal characteristics to be a successful entrepreneur includes:
- ~~a. d.~~ **Understanding environment**
 - ~~a. r.~~ **Creating management options**
 - ~~a. s.~~ **Encourage open discussion**
 - ~~a. t.~~ **All of the above**
11. Entrepreneurial experience becomes increasingly important as
- ~~a. m.~~ **Work load increases**
 - ~~a. n.~~ **Complexity of venture increases**
 - ~~e. o.~~ **Complexity of work increases**
 - ~~d. p.~~ **None of the above**
12. Entrepreneurs are concerned about basic issues of:
- ~~a. e.~~ **Sales, costs and benefits**
 - ~~a. f.~~ **Customers, sales and costs**
 - ~~a. g.~~ **Risk, costs and benefits**
 - ~~a. h.~~ **None of the above**
13. Licensing arrangements have
- ~~a. d.~~ **Low risk process involved**
 - ~~a. r.~~ **Easy way to generate incremental income**
 - ~~a. s.~~ **Several pitfalls**
 - ~~a. t.~~ **All of the above**
14. Joint ventures have been used by entrepreneur:
- ~~a. m.~~ **When the entrepreneur wants to purchase local knowledge**

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☐ n. When rapid entry in to the market is needed

☒ o. **Both of the options given**

☐ p. None of the above

15. A horizontal merger is

☐ m. Is the combination of firms in successive stages of production

☒ n. **Is the combination of firms that produce closely related projects in same area**

☐ o. Is the combination of firms that produce same products and sell in different areas

☐ p. None of the above

16. Main reason(s) for merger is (are)

☐ m. When synergy is present

☐ n. When complementary resources can be combined

☐ o. Economies of scale can be achieved

☒ p. **All of the above**

17. First stage of production planning and development processes is

☐ m. Idea stage

☐ n. Concept stage

☒ o. **Establishing and evaluating criteria stage**

☐ p. None of the above

1. **What causes people to do something?**

Need for achievement

Need for independence

Motivation

None of the mentioned options

2. **Individuals who help the entrepreneur in business activities**

Role models

Professional-support network

Parents

None of the mentioned options

3. **The managers in an organization strongly supporting intrapreneurship is called -----**

Top management commitment

Upper management commitment

Lower management intrapreneur

Upper management intrapreneur

4. ----- **involves a manufacturer giving a foreign manufacturer the right to use a patent, trademark or technology in return for a royalty**

Licensing

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Turn-key projects

Management contracts

1. A set of reasons for engaging in a particular behavior, especially human behavior is

known as _____.

- a. Values
- b. Vision
- c. Entrepreneurship

d. Motivation

2. Which of the following techniques is an excellent method for initially screening ideas and concepts in addition to generating new ideas?

a. Focus group

- b. Brain storming
- c. Problem inventory analysis
- d. Reverse brainstorming

3. The creative process for problem solving that involves making the strange familiar in first step and then making the familiar strange through personal direct or symbolic analogy is called _____.

- a. Synoptic
- b. Gordon method

c. Checklist method

- d. Scientific method

4. When the multiplicity of environments become too complex to handle, the international entrepreneurs often _____.

a. Go for mergers

- b. Diversify
- c. Decentralize operations
- d. Sale out the foreign business

5. An entrepreneur into the hosiery business found out the reason his hosiery was not selling was due to its color. What could be the best source of this information?

- a. Supplier
- b. Retailer

c. Competition

- d. Government bureau

6. In some countries, point of purchase displays are not allowed in retail stores. Such differences are studied by international entrepreneurs under

_____ environment.

- a. Economic

b. Political

c. Cultural

d. Technological

7. Entrepreneurial success has been significant because of the culture and the political and economic systems in _____.

a. European countries

b. Asian countries

c. Transition economies

d. Middle east

8. Having more than 50% ownership position that provides the entrepreneur with

managerial control is called _____.

a. Joint venture

b. Majority interest

c. Horizontal merger

d. Diversified activity merger

9. The under-developed or lesser developed countries need manufacturing technology

and infrastructure and yet do not want to turn over substantial portion of their

economy to foreign ownership. Which of the following is a solution to this dilemma?

a. Management contract

b. Indirect exporting

c. Licensing

d. Turn-key project

10. The development of a new venture based on an inventor's work often requires

_____.

a. Expertise of an entrepreneur

b. Heavy investment from financiers

c. Skilled human resources

d. Highly educated staff

Solution No. 1

Question # 1 Total Marks: 1

Gazelles are the firms with:

Select correct option:

High growth rate

Moderate growth rate

Zero% growth rate

Low growth rate

Question # 2 Total Marks: 1

The resources acquired from others(creditors, banks etc) are usually

Select correct option:

Easily available

Difficult to obtain

Very useful

Very cheap

Question # 3 Total Marks: 1

Which of the following firm achieves modest growth:

Select correct option:

High potential growth firm

Foundation firm

Life style

Public company

Question # 4 Total Marks: 1

Which of the following statements about the entrepreneurial climate is (are) true?

Select correct option:

Trial and error are discouraged.

Resources of the firm need to be available and easily accessible

A multidisciplinary approach is discouraged.

Failures are not allowed

Question # 5 Total Marks: 1

The difference in the entrepreneurial and managerial domains has contributed towards an increase interest in:

Select correct option:

Forming new firms

Partnership

Intrapreneurship

Private firms

Question # 6 Total Marks: 1

The commitment of administrative domain to the resources is for:

Select correct option:

Periodic intervals

Total amount needed

For certain tasks

For long time

Question # 7 Total Marks: 1

Which one of the following is NOT an intrapreneurial leadership characteristic?

Select correct option:

Understands environment

Encourage the team work

Not flexible

Persistent

Question # 8 Total Marks: 1

Which one of the following is the first step in the entrepreneurial process?

Select correct option:

Developing successful business ideas

Deciding to become an entrepreneur ?????

Growing the entrepreneurial firm

Moving from an idea to an entrepreneurial firm

Question # 9 Total Marks: 1

Factors contribute to the creation of new venture EXCEPT:

Select correct option:

Government

Finance

High interest rates

Role models

Question # 10 Total Marks: 1

The activities which occur when the new venture is started are called:

Select correct option:

Motivation

Goal orientation

Departure point

Business skills

Question # 11 Total Marks: 1

The entrepreneur must possess the abilities:
Select correct option:

Creative

Conceptualization

Understanding environment

All of the given options

Question # 12 Total Marks: 1

In terms of chronological age, most entrepreneurs initiate their entrepreneurial carrier between ages of:

Select correct option:

15 and 22

22 and 45 22 55

45 and 57

57 and 63

Question # 13 Total Marks: 1

Which one of the following is the first step in the entrepreneurial process?

Select correct option:

Developing successful business ideas

Deciding to become an entrepreneur ???

Growing the entrepreneurial firm

Moving from an idea to an entrepreneurial firm

Question # 14 Total Marks: 1

Which of the following factors does not affect a person for being an entrepreneur?

Select correct option:

Family background

Education

Personal values

Gender

Question # 15 Total Marks: 1

The chief motivational factor for _____ entrepreneurs to leave jobs is the frustration of not being allowed to perform at the level of which they are capable.

Select correct option:

Male

Female

Young

All of the given options

Question # 16 Total Marks: 1

The activities which occur when the new venture is started are called:
Select correct option:

Motivation

Goal orientation

Departure point

Business skills

Question # 17 Total Marks: 1

Which one of the following is NOT an intrapreneurial leadership characteristic?
Select correct option:

Understands environment

Encourage the team work

Not flexible

Persistent

Question # 18 Total Marks: 1

Which of the following firm achieves modest growth:
Select correct option:

High potential growth firm

Foundation firm

Life style

Public company

Question # 19 Total Marks: 1

The startups which rarely go public are called:

Select correct option:

Life style

Foundation Company

Small company

High potential venture

Question # 20 Total Marks: 1

It is proved that most businesses failed because of improper planning of an/a:

Select correct option:

Investor

Marketer

Entrepreneur

Consultant

Question # 21 Total Marks: 1

Which one of the following culture that has a climate and reward system that favor conservative decision making?

Select correct option:

Entrepreneurial

Intrapreneurial

Corporate

None of the given options

Question # 22 Total Marks: 1

Which of the following firm achieves modest growth:

Select correct option:

High potential growth firm

Foundation firm

Life style

Public company

Question # 23 Total Marks: 1

In terms of chronological age, most entrepreneurs initiate their entrepreneurial carrier between ages of:

Select correct option:

15 and 22

22 and 45

45 and 57

57 and 63

Question # 24 Total Marks: 1

Which of the following has a contradictory relationship with an individual for being an entrepreneur?

Select correct option:

His birth order

Parents' social status

Parents' occupation

Relationship with parents

Question # 25 Total Marks: 1

Which one of the following is the fourth step in the entrepreneurial process?

Select correct option:

Developing successful business ideas

Deciding to become an entrepreneur

Growing the entrepreneurial firm

Moving from an idea to an entrepreneurial firm

Question # 26 Total Marks: 1

The chief motivational factor for _____ entrepreneurs to leave jobs is the

frustration of not being allowed to perform at the level of which they are capable.
Select correct option:

Male

Female

Young

All of the given options

Question # 27 Total Marks: 1

All of the following are the broad categories of External forces EXCEPT:
Select correct option:

Economic forces

Socioeconomic forces

Technological forces

Competitive forces

Question # 28 Total Marks: 1 External forces directly affect all of the following EXCEPT:
Select correct option:

Market segmentation strategies

Types of products/services offered

Management structure of organization

Choice of businesses to acquire or sell

Question # 29 Total Marks: 1

There is evidence that an entrepreneur usually has _____ parents.

Select correct option:

Self employed

Discouraged

Non supportive

Strict

Question # 30 Total Marks: 1

Government can help in forming new venture by providing:

Select correct option:

Finance

Technology

Infrastructure

Subsidiaries

Question # 2 of 10 Total Marks: 1

The decision to start a new business is taken when one perceives that forming a new business is:

Select correct option:

Possible

Desirable

Accurate

Both a and b

entrepreneurs differ from male entrepreneurs in terms of following EXCEPT:
Select correct option:

Motivation

Business skills

Departure point ???

Goal orientation

An entrepreneur into the hosiery business found out the reason his hosiery was not selling was due to its color. What could be the best source of this information?

Select correct option:

Supplier

Retailer

Competition

Government bureau

of the following factors has allowed small companies to act like they are big ones?

Select correct option:

Competition

Economic development

Technology

Customers

Government can help in forming new venture by providing:

Select correct option:

Finance

Technology

Infrastructure

Subsidiaries

Question # 7 of 10 Total Marks: 1

Which two work environments should be good for spawning the new enterprises?

Select correct option:

Finance and marketing

Finance and R&D

Marketing and R&D

Marketing and IT

The entrepreneur must possess the abilities:

Select correct option:

Creative

Conceptualization

Understanding environment

All of the given options

Question # 9 of 10 Total Marks: 1

It is proved that most businesses failed because of improper planning of an/a:

Select correct option:

Investor

Marketer

Entrepreneur

Consultant

Question # 10 of 10 Total Marks: 1

Which of the following receives highest investment?

Select correct option:

High potential venture

Foundation firm

Life style

Public company

of the following has a contradictory relationship with an individual for being an entrepreneur?
Select correct option:

His birth order

Parents' social status

Parents' occupation

Relationship with parents

Question # 2 of 10 Total Marks: 1

Which one of the following is required to develop a good team for creating something new?
Select correct option:

Relationship with team members

Open discussion

Non flexible behavior

Discouragement of team member's ideas

Question # 3 of 10 Total Marks: 1

The startups which rarely go public are called:
Select correct option:

Life style

Foundation Company

Small company

High potential venture

Question # 4 of 10 Total Marks: 1

Good entrepreneurs are usually from families which are:

Select correct option:

Landlords

Capitalists

Can be from any family with supportive parents ??????

Conservative parents

Question # 5 of 10 Total Marks: 1

_____ is required if a company wants to be more flexible in adopting changes.

Select correct option:

Management commitment

Contact with customers

Technology

More productivity

Question # 6 of 10 Total Marks: 1

Which two work environments should be good for spawning the new enterprises?

Select correct option:

Finance and marketing

Finance and R&D

Marketing and R&D

Marketing and IT

Question # 7 of 10 Total Marks: 1

It is proved that most businesses failed because of improper planning of an/a:

Select correct option:

Investor

Marketer

Entrepreneur

Consultant

Question # 8 of 10 Total Marks: 1

Which one of the following is the first step in the entrepreneurial process?

Select correct option:

Developing successful business ideas

Deciding to become an entrepreneur ???

Growing the entrepreneurial firm

Moving from an idea to an entrepreneurial firm

Question # 9 of 10 Total Marks: 1

Female entrepreneurs differ from male entrepreneurs in terms of following EXCEPT:

Select correct option:

Motivation

Business skills

Departure point

Goal orientation

Question # 10 of 10 Total Marks: 1

The decision to start a new business is taken when one perceives that forming a new business is:
Select correct option:

Possible

Desirable

Accurate

Both a and b

Q #1: The entrepreneur was distinguished from capital provider in:

- A. Middle ages
- B. 18th century**
- C. 17th century
- D. 19th and 20th century

Q #2: _____ Process of creating incremental wealth is called Entrepreneurship.

- A. Dynamic**
- B. Static
- C. Continues
- D. Systematic

Q #3: Most important factor in forming a new business is:

A. Finance

- B. Marketing
- C. Govt Support
- D. Family Support

Q #4: Which one of the following is the process of entrepreneurs developing new products that over time make current products obsolete?

A. Creative destruction

- B. New business model
- C. Anatomization
- D. None of the given options

Q #5: The intersection of knowledge and a recognized social need to start a product development process is called:

A. Iterative synthesis

- B. Product-evolution process
- C. Ordinary innovation
- D. Situation analysis

Q #6: Which one of the following is the primary cause of failure in small businesses?

- A. Poor financial control
- B. Poor location
- C. Management mistakes**
- D. Improper inventory control

Q #7: Which one of the following is the first step in the entrepreneurial process?

- A. Developing successful business ideas
- B. Deciding to become an entrepreneur**
- C. Growing the entrepreneurial firm
- D. Moving from an idea to an entrepreneurial firm

Q #8: Which of the following is NOT included in the opportunity evaluation process?

- A. Length of the opportunity
- B. Real and perceived value of opportunity
- C. Goals and objectives of customers**
- D. Risks and rewards of opportunity

Q #9: The resistance of employees in an organization against flexibility, growth, and diversification can be overcome by developing:

- A. Entrepreneurship**
- B. Intrapreneurship
- C. Managerial domain
- D. Administrative domain

Q #10: The entrepreneur's _____ depends on his perception of the opportunity.

- A. Commitment to opportunity
- B. Commitment of resources
- C. Control of resources
- D. Strategic orientation**

Q #11: Which of the following statements about the entrepreneurial climate is (are) true?

- A. Trial and error are discouraged
- B. Resources of the firm need to be available and easily accessible**
- C. A multidisciplinary approach is discouraged
- D. Failures are not allowed

Q #12: Which of the following makes the formation of new venture difficult within a corporate culture?

- A. Lack of intrapreneurial talent
- B. Lack of freedom to make autonomous decisions
- C. Lack of market opportunity
- D. All of the given options**

Q #13: Which of the following factors has allowed small companies to act like they are big ones?

- A. Competition
- B. Economic development
- C. Technology**
- D. Customers

Q #14: Which of the following is alternatively called corporate venturing?

A. Entrepreneurship

- B. Intrapreneurship
- C. Act of starting a new venture
- D. Offering new products by an existing company

Q #15: Being one's own boss is a need of:

A. Independence

- B. Achievement
- C. Affiliation
- D. Authority

Q #16: An individual's need to be recognized is called:

- A. Need for independence
- B. Need for affiliation
- C. Need of fame

D. Need for achievement

Q #17: Which one of the following factors does not affect a person for being an entrepreneur?

- A. Family background
- B. Education
- C. Personal Values

D. Gender

Q #18: Female entrepreneurs differ from male entrepreneurs in terms of all of the following EXCEPT:

- A. Motivation
- B. Business skills
- C. Departure point**
- D. Goal orientation

Q #19: Which of the following areas are preferred by women entrepreneurs?

- A. Administration
- B. Utilities**

- C. Manufacturing
- D. None of the above

Q #20: Which one of the following is NOT TRUE about male entrepreneurs?

- A. Males often have investors, bank loans, or personal loans in addition to personal funds
- B. Males often have more experience in manufacturing, finance, or technical areas
- C. Men are often more confident and less flexible and tolerant
- D. Men usually list outside advisors as the least important supporters**

Mgt 602 complete project

Plan Outline:

1.0 Executive Summary

- a. Mission
- b. Objectives
- c. Keys to Success

2.0 Company Summary

- d. Company Ownership
- e. Company History
- f. Company Locations and Facilities

3.0 Services

- g. Service Description
- h. Competitive Comparison
- i. Sales Literature
- j. Fulfillment
- k. Technology
- l. Future Services

4.0 Market Analysis Summary

- m. Market Segmentation

- n. Service Business Analysis
 - i. Main Competitors
 - ii. Competition and Buying Patterns
 - iii. Business Participants
 - iv. Distributing a Service

5.0 Strategy and Implementation Summary

- o. Marketing Strategy
 - i. Promotion Strategy
 - ii. Distribution Strategy
 - iii. Positioning Statement
 - iv. Pricing Strategy
- p. Sales Strategy
 - i. Sales Programs
 - ii. Sales Forecast

6.0 Management Summary

- 2. Organizational Structure
- 3. Appendix

MGT602 Entrepreneurship Q1 Questioning

Question # 1 of 10 Total Marks: 1

_____ is required if a company wants to be more flexible in adopting changes.

Select correct option:

Management commitment

Contact with customers

Technology

More productivity

Question # 2 of 10 Total Marks: 1

External forces directly affect all of the following EXCEPT:

Select correct option:

Market segmentation strategies

Types of products/services offered

Management structure of organization

Choice of businesses to acquire or sell

Question # 3 of 10 Total Marks: 1

Good entrepreneurs are usually from families which are:

Select correct option:

Landlords

Capitalists

Can be from any family with supportive parents

Conservative parents

Question # 4 of 10 Total Marks: 1

There is an evidence that an entrepreneur usually has _____ parents.

Select correct option:

Self employed

Discouraged

Non supportive

Strict

Question # 7 of 10 Total Marks: 1

Which one of the following makes formation of new ventures within a corporate structure difficult?

Select correct option:

Lack of intrapreneurial talent ??

Lack of freedom to make autonomous decisions

Lack of market opportunity

Lack of knowledge

Question # 8 of 10 Total Marks: 1

Professional support network includes following EXCEPT:

Select correct option:

Personal affiliations

Mentor

Trade associations

Friends

Question # 9 of 10 (Total Marks: 1

An individual's need to be recognized is called:

Select correct option:

Need for independence

Need for affiliation

Need of fame

Need for achievement

Question # 10 of 10 Total Marks: 1

Which of the following is NOT a characteristic of an entrepreneur?

Select correct option:

Need for independence

Need for affiliation

Need for achievement

Risk taking

Q #1: The entrepreneur was distinguished from capital provider in:

A. Middle ages

B. 18th century

C. 17th century

D. 19th and 20th century

Q #2: _____ Process of creating incremental wealth is called Entrepreneurship.

A. Dynamic B. Static

C. Continues

D. Systematic

Q #3: Most important factor in forming a new business is:

A. Finance

B. Marketing

C. Govt Support

D. Family Support

Q #4: Which one of the following is the process of entrepreneurs developing new products that over time make current products obsolete.

A. Creative destruction B. New business model

C. Anatomization

D. None of the given options

Q #5: The intersection of knowledge and a recognized social need to start a product

development process is called:

A. Iterative synthesis

B. Product-evolution process

C. Ordinary innovation

D. Situation analysis

Q #6: Which one of the following is the primary cause of failure in small

businesses?

- A. Poor financial control
- B. Poor location
- C. Management mistakes**
- D. Improper inventory control

Q #7: Which one of the following is the first step in the entrepreneurial process?

- A. Developing successful business ideas
- B. Deciding to become an entrepreneur**
- C. Growing the entrepreneurial firm
- D. Moving from an idea to an entrepreneurial firm

Q #8: Which of the following is NOT included in the opportunity evaluation process?

- A. Length of the opportunity
- B. Real and perceived value of opportunity
- C. Goals and objectives of customers**
- D. Risks and rewards of opportunity

Q #9: The resistance of employees in an organization against flexibility, growth, and diversification can be overcome by developing:

- A. Entrepreneurship**
- B. Intrapreneurship
- C. Managerial domain
- D. Administrative domain

Q #10: The entrepreneur's _____ depends on his perception of the opportunity.

- A. Commitment to opportunity
- B. Commitment of resources
- C. Control of resources
- D. Strategic orientation**

Q #11: Which of the following statements about the entrepreneurial climate is (are) true?

- A. Trial and error are discouraged
- B. Resources of the firm need to be available and easily accessible
- C. A multidisciplinary approach is discouraged
- D. Failures are not allowed**

Q #12: Which of the following makes the formation of new venture difficult within a corporate culture?

- A. Lack of intrapreneurial talent**
- B. Lack of freedom to make autonomous decisions
- C. Lack of market opportunity
- D. All of the given options

Q #13: Which of the following factors has allowed small companies to act like they are big ones?

- A. Competition
- B. Economic development
- C. Technology**
- D. Customers

Q #14: Which of the following is alternatively called corporate venturing?

- A. Entrepreneurship**
- B. Intrapreneurship
- C. Act of stating a new venture
- D. Offering new products by an existing company

Q #15: Being one's own boss is a need of:

- A. Independence**
- B. Achievement

- C. Affiliation
- D. Authority

Q #16: An individual's need to be recognized is called:

- A. Need for independence**
- B. Need for affiliation
- C. Need of fame
- D. Need for achievement

Q #17: Which one of the following factors does not affect a person for being an entrepreneur?

- A. Family background
- B. Education
- C. Personal Values
- D. Gender**

Q #18: Female entrepreneurs differ from male entrepreneurs in terms of all of the following EXCEPT:

- A. Motivation
- B. Business skills
- C. Departure point**
- D. Goal orientation

Q #19: Which of the following areas are preferred by women entrepreneurs?

- A. Administration**
- B. Utilities
- C. Manufacturing
- D. None of the above

Q #20: Which one of the following is NOT TRUE about male entrepreneurs?

- A. Males often have investors, bank loans, or personal loans in addition to

personal

funds

B. Males often have more experience in manufacturing, finance, or technical areas

C. Men are often more confident and less flexible and tolerant

D. Men usually list outside advisors as the least important supporters

Question No: 1 (Marks: 1) - Please choose one

Which of the following has not yet been empirically established as a distinguishing characteristic of entrepreneurs?

► **Locus of control**

► Feeling about independence

► Need for achievement

► Risk taking

Question No: 2 (Marks: 1) - Please choose one

There is an evidence that an entrepreneur usually has _____ parents.

► **Self employed**

► Discouraged

► Non supportive

► Strict

Question No: 3 (Marks: 1) - Please choose one

The level at which an individual is viewed by society is called:

► Financial status

► Qualification

► **Social status**

► Achievement

Question No: 4 (Marks: 1) - Please choose one

An individual's need to be recognized is called:

► Need for independence

► Need for affiliation

► Need of fame

► Need for achievement

Question No: 5 (Marks: 1) - Please choose one

With a commercial history of only 300 years, which country was a new comer to the international arena?

► Japan

► U.S

► China

► U.K

Question No: 6 (Marks: 1) - Please choose one

International entrepreneur's decisions are more complex because of:

► Business expansion

► Analysis of Huge information is difficult

► Complex transactions

► Uncontrollable factors

Question No: 7 (Marks: 1) - Please choose one

A company dealing in beer has a merger with cigarettes manufacturing firm. This merger is called:

► Horizontal merger

► Product extension merger

► Market extension merger

► Vertical merger

Question No: 8 (Marks: 1) - Please choose one

Which one of the following is an important source of idea generation due to their familiarity with the needs of market?

► Existing products and services

► Distribution channels

► Federal government

- Consumers

Question No: 9 (Marks: 1) - Please choose one

Which of the following techniques is an excellent method for initial screening of ideas and concepts?

- Focus group
- Problem inventory analysis
- **Brain storming**
- Reverse brainstorming

Question No: 10 (Marks: 1) - Please choose one

Which one of the following is the next stage to the Concept Stage of Product Planning and Development Process?

- Idea Stage
- Product Planning Stage
- **Product Development Stage**
- Test Marketing Stage

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is a method for obtaining new ideas and solutions by focusing on problems?

- **Product inventory analysis**
- Gordon method
- Checklist method
- Scientific method

Question No: 12 (Marks: 1) - Please choose one

Which one of the following is the main problem for the entrepreneur in the beginning stages of creating a new venture?

- Lack of experience
- **Limited resources**
- Lack of education

- ▶ None of the given options

Question No: 13 (Marks: 1) - Please choose one

A legally binding agreement between two parties is called:

- ▶ A contract
- ▶ Licensing
- ▶ Insurance
- ▶ A copyright

Question No: 14 (Marks: 1) - Please choose one

Which of the following is included in the description of the business?

- ▶ Location
- ▶ Products offered
- ▶ History
- ▶ All of the given options

Question No: 15 (Marks: 1) - Please choose one

The marketing perspective of business plan considers the venture through the eyes of:

- ▶ Investor
- ▶ Customer
- ▶ Entrepreneur
- ▶ Marketing manager

Question No: 16 (Marks: 1) - Please choose one

Which one of the following is NOT a condition of a contract?

- ▶ An offer is made
- ▶ An acceptance of offer
- ▶ Counter offer
- ▶ Consideration is given

Question No: 17 (Marks: 1) - Please choose one

For which of the following copy right acquisition is desirable?

- ▶ Songs
- ▶ Poems
- ▶ Models
- ▶ All of the given options

Question No: 18 (Marks: 1) - Please choose one

Which of the following is TRUE for Disclosure Document?

- ▶ It gives recognition that he was the inventor of the idea in past
- ▶ It gives recognition that he is the first the inventor of the idea
- ▶ It gives recognition that he will be the invent an idea in future
- ▶ It gives recognition that he wants to copy the idea

Question No: 19 (Marks: 1) - Please choose one

Trade barriers cause:

- ▶ Increase in cost
- ▶ Decrease in cost
- ▶ Increase in profit
- ▶ None of the given options

Question No: 20 (Marks: 1) - Please choose one

Having more than 50% ownership position that provides the entrepreneur with managerial control is called:

- ▶ Joint venture
- ▶ Majority interest
- ▶ Horizontal merger
- ▶ Diversified activity merger

Question No: 21 (Marks: 1) - Please choose one

GATT is established in 1947, under:

- ▶ German leadership
- ▶ French leadership
- ▶ U.S. leadership ???
- ▶ U.K. leadership

Question No: 22 (Marks: 1) - Please choose one

Which of the following is a method of selling goods to another country through a person in the entrepreneur's home country?

- ▶ Trading
- ▶ Direct export
- ▶ Indirect export
- ▶ Domestic sales

Question No: 23 (Marks: 1) - Please choose one

In some countries, point of purchase displays are not allowed in retail stores. Such differences are studied by international entrepreneurs under _____.

- ▶ Economic Environment
- ▶ Political Environment
- ▶ Cultural Environment ???
- ▶ Technological Environment

Question No: 24 (Marks: 1) - Please choose one

Most of the finance for the new firm comes from following resources EXCEPT:

- ▶ Friends
- ▶ Foreign aid
- ▶ Relatives
- ▶ Personal savings

Question No: 25 (Marks: 1) - Please choose one

Gazelles are the firms with:

- ▶ High growth rate
- ▶ Moderate growth rate

- ▶ Zero growth rate
- ▶ Low growth rate

Question No: 26 (Marks: 1) - Please choose one

The intersection of knowledge and a recognized social need to start a product development process is called which of the following?

▶ Iterative synthesis

- ▶ Product-evolution process
- ▶ Ordinary innovation
- ▶ Situation analysis

Question No: 27 (Marks: 1) - Please choose one

Which of the following factors is the most important in forcing U.S. companies to focus on new product development and increased productivity?

- ▶ Entrepreneurship
- ▶ Hyper competition
- ▶ Governmental laws
- ▶ Organizational culture

Question No: 28 (Marks: 1) - Please choose one

Which of the following is required for a company that wants to be more flexible in adopting changes?

▶ Management commitment

- ▶ Contact with customers
- ▶ Technology
- ▶ More productivity

Question No: 29 (Marks: 1) - Please choose one

Which of the following typical culture has a climate and reward system that favors conservative decision making?

- ▶ Entrepreneurial
- ▶ Intrapreneurial

► Corporate

- None of the given options

Question No: 30 (Marks: 1) - Please choose one

Which of the following statement about the intrapreneurial climate is true?

- Trial and error are discouraged

► Resources of the firm need to be available and easily accessible

- A multidisciplinary approach is discouraged
- Failures are not allowed

Question No: 31 (Marks: 1) - Please choose one

Which of the following are known as barriers to new product creation and development?

- Trial and error

► Opportunity parameters

- Opportunity cost
- Intrapreneurship culture

Question No: 32 (Marks: 1) - Please choose one

All of the following are true regarding male entrepreneurs EXCEPT:

► Typically most male entrepreneurs are first-borns ??

- Dissatisfaction with present job is a departure point for a male entrepreneur
- Male entrepreneurs mostly have a occupational background of middle-management or administrative-experience in the field
- Male entrepreneurs tend to be opinionated and persuasive in their approach

Question No: 33 (Marks: 1) - Please choose one

Entrepreneurial endeavors consist of all of the following key elements Except:

- New business venturing

► Increasing productivity

- Innovativeness
- Proactiveness

Question No: 34 (Marks: 1) - Please choose one

Which of the following factor does not affect a person for being an entrepreneur?

- ▶ Family background
- ▶ Education
- ▶ Personal values
- ▶ Gender ??

Question No: 35 (Marks: 1) - Please choose one

Which of the following areas are preferred by women entrepreneurs?

- ▶ Administration
- ▶ Utilities
- ▶ Manufacturing
- ▶ None of the above

Question No: 36 (Marks: 1) - Please choose one

Female entrepreneurs differ from male entrepreneurs in terms of all of the following EXCEPT:

- ▶ Motivation
- ▶ Business skills
- ▶ Departure point
- ▶ Goal orientation

Question No: 37 (Marks: 1) - Please choose one

The former USSR received technology and syrup from Pepsi and provided it with Soviet vodka and rights to distribute it in the US. This is an example of:

- ▶ Economic development
- ▶ Barter system
- ▶ Balance of payment
- ▶ International trade

Question No: 38 (Marks: 1) - Please choose one

An entrepreneur doing business within the national border is called:

- ▶ International entrepreneurship
- ▶ Intrapreneurship
- ▶ Domestic entrepreneurship
- ▶ None of the given options

Question No: 39 (Marks: 1) - Please choose one

Which one of the following may need the business plan?

- ▶ Employees
- ▶ Investors
- ▶ Advisors
- ▶ All of the given options

Question No: 40 (Marks: 1) - Please choose one

Following are the types of foreign direct investment EXCEPT:

- ▶ Joint venture
- ▶ Management contracts ??
- ▶ Minority interest
- ▶ Merger

Question No: 41 (Marks: 5)

Discuss the role of childhood family environment, which differentiate the entrepreneur from general public.

Question No: 42 (Marks: 5)

While entering into the international market the companies usually have strategic planning process. What should be considered in the strategic planning?

MIDTERM EXAMINATION
Multiple Papers
MGT602- Entrepreneurship (Session - 3)

Question No: 1 (Marks: 1) - Please choose one

_____ The level at which an individual is viewed by society is called:

- ▶ Financial status
- ▶ Qualification
- ▶ **Social status**
- ▶ Achievement

Question No: 2 (Marks: 1) - Please choose one

_____ Individuals who help the entrepreneur in business activities are called:

- ▶ Role models
- ▶ Moral support networks
- ▶ **Professional support networks**
- ▶ Business support networks

Question No: 3 (Marks: 1) - Please choose one

_____ Following are the problems in developing the economies EXCEPT:

- ▶ Gap of knowledge
- ▶ Variable rate of return
- ▶ **Same communication style**
- ▶ Different accounting system

Question No: 4 (Marks: 1) - Please choose one

_____ Which one of the following is a business arrangement in which someone else is allowed to use something of the company?

- ▶ Patent
- ▶ Trade mark
- ▶ Copy right
- ▶ **Licensing**

Question No: 5 (Marks: 1) - Please choose one

_____ Which of the following method entrepreneur can use to do international business with least risk?

- ▶ **Turnkey projects**

- ▶ Joint venture
- ▶ Merger
- ▶ Synergy

Question No: 6 (Marks: 1) - Please choose one

Combination of at least two firms at different market levels is called:

- ▶ Joint venture
- ▶ Synergy
- ▶ Horizontal merger
- ▶ **Vertical merger**

Question No: 7 (Marks: 1) - Please choose one

patent is granted for a specified amount of time because of the assumption:

- ▶ That during this time firm will cover its development costs
- ▶ **That firm will earn a sufficient profit during this period**
- ▶ To limit the monopoly of the firm
- ▶ That it will stimulate idea and development of a better product

Question No: 8 (Marks: 1) - Please choose one

A/an _____ is an online connection between the company and its customers.

- ▶ Internet advertising
- ▶ **Website**
- ▶ E-Commerce
- ▶ World Wide Web

Question No: 9 (Marks: 1) - Please choose one

Which one of the following is the next stage to the Concept Stage of Product Planning and Development Process?

- ▶ Idea Stage
- ▶ Product Planning Stage
- ▶ **Product Development Stage**
- ▶ Test Marketing Stage

Question No: 10 (Marks: 1) - Please choose one

Which of the followings give the owners a negative right, preventing anyone from making, using, or selling the invention?

- ▶ **Patent**
- ▶ Copyright
- ▶ Trade mark
- ▶ Trade secret

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is a longest lasting trade agreement with the objective of liberalizing trade by eliminating or reducing tariffs, subsidies and quotas?

- ▶ Free trade area – FTA
- ▶ European community – EC
- ▶ **General agreement on tariffs and trade – GATT**
- ▶ The North American free trade agreement – NAFTA

Question No: 12 (Marks: 1) - Please choose one

Which of the following grants protection to owner from anyone else making, using and selling the identified innovation?

- ▶ Utility patent
- ▶ **Design patent**
- ▶ Plant patent
- ▶ International patent

Question No: 13 (Marks: 1) - Please choose one

Which one of the following statements is NOT true about trademarks?

- ▶ The entrepreneur can not file after the mark already been in use
- ▶ A trademark could be a slogan or a particular sound
- ▶ Some trademarks have no relationship with the product
- ▶ **The filing date for the trademark becomes the first date use of the mark**

Question No: 14 (Marks: 1) - Please choose one

According to the governing bodies of common laws, the life of trade secret is:

- ▶ 12 years
- ▶ 17 years
- ▶ 20 years
- ▶ **As long as it remains confidential**

Question No: 15 (Marks: 1) - Please choose one

Which one of the following is the main problem for the entrepreneur in the beginning stages of creating a new venture?

- ▶ **Lack of experience**
- ▶ Limited resources
- ▶ Lack of education
- ▶ None of the given options

Question No: 16 (Marks: 1) - Please choose one

Which one of the following protects continuity of the business(specially in partnership)?

- ▶ Property insurance
- ▶ Casualty insurance
- ▶ **Life insurance**
- ▶ Bonding

Question No: 17 (Marks: 1) - Please choose one

legally binding agreement between two parties is called:

- ▶ **A contract**
- ▶ Licensing
- ▶ Insurance
- ▶ A copyright

Question No: 18 (Marks: 1) - Please choose one

Information regarding all of the following is related to operations, EXCEPT:

- ▶ Location
- ▶ **Promotion**
- ▶ Raw materials
- ▶ Labor skills

Question No: 19 (Marks: 1) - Please choose one

Which of the following is NOT studied in industry analysis?

- ▶ Economic conditions
- ▶ Technology advancements
- ▶ Organizational culture
- ▶ **Legal concerns**

Question No: 20 (Marks: 1) - Please choose one

Which one of the factors should be considered while assessing the location for business?

- ▶ Parking
- ▶ Access from roadways to facility
- ▶ Delivery rates
- ▶ **All of the given options**

Question No: 21 (Marks: 1) - Please choose one

Which one of the following is NOT included in four C's evaluation by lender?

- ▶ Character
- ▶ Cost
- ▶ **Continuity**
- ▶ Contribution

Question No: 22 (Marks: 1) - Please choose one

Which of the following is a characteristic of a good partner?

- ▶ Help to achieve goals
- ▶ Share entrepreneur's vision
- ▶ Do not exploit the partnership
- ▶ **All of the given options**

Question No: 23 (Marks: 1) - Please choose one

Having more than 50% ownership position that provides the entrepreneur with managerial control is called:

- ▶ Joint venture
- ▶ **Majority interest**
- ▶ Horizontal merger
- ▶ Diversified activity merger

Question No: 24 (Marks: 1) - Please choose one

Which one of the following is a sound strategic option for an entrepreneur when synergy is present?

- ▶ **Merger**
- ▶ Joint venture
- ▶ Minority interest
- ▶ Majority interest

Question No: 25 (Marks: 1) - Please choose one

Which of the following is a method of selling goods to another country by taking care of transactions?

- ▶ Indirect exporting
- ▶ **Direct exporting**
- ▶ Importing
- ▶ Management contract

Question No: 26 (Marks: 1) - Please choose one

Following are the types of non-equity arrangements EXCEPT:

- ▶ Licensing
- ▶ Management contracts
- ▶ **Direct export**
- ▶ Turnkey projects

Question No: 27 (Marks: 1) - Please choose one

Andrew Carnegie is an example of entrepreneur of which century:

- ▶ Earliest period
- ▶ **19th and 20th century**
- ▶ Middle ages
- ▶ 17th century

Question No: 28 (Marks: 1) - Please choose one

person who managed large project was termed as the entrepreneur in the _____.

A

- ▶ Earliest period
- ▶ **Middle ages**
- ▶ 17th century
- ▶ 19th and 20th century

Question No: 29 (Marks: 1) - Please choose one

_____ In some countries, point of purchase displays are not allowed in retail stores. Such differences are studied by international entrepreneurs under _____.

- ▶ Economic Environment
- ▶ Political Environment
- ▶ Cultural Environment
- ▶ **Technological Environment**

Question No: 30 (Marks: 1) - Please choose one

Which of the following factor is most important in forming a new business?

- ▶ Finance
- ▶ Marketing
- ▶ Government support
- ▶ **Family support**

Question No: 31 (Marks: 1) - Please choose one

Most of the finance for the new firm comes from following resources **EXCEPT**:

- ▶ Friends
- ▶ **Foreign aid**
- ▶ Relatives
- ▶ Personal savings

Question No: 32 (Marks: 1) - Please choose one

Which one of the following is the process of entrepreneurs developing new products that over time make current products obsolete?

- ▶ New business model
- ▶ Anatomization
- ▶ Creative destruction
- ▶ None of the given options

Question No: 33 (Marks: 1) - Please choose one

The intersection of knowledge and a recognized social need to start a product development process is called which of the following?

- ▶ **Iterative synthesis**
- ▶ Product-evolution process
- ▶ Ordinary innovation
- ▶ Situation analysis

Question No: 34 (Marks: 1) - Please choose one

A foundation company is formed through which of the following?

- ▶ Fashion
- ▶ Most popular business
- ▶ A winding up company
- ▶ **Research and development**

Question No: 35 (Marks: 1) - Please choose one

Which of the following factors is the most important in forcing U.S companies to focus on new product development and increased productivity?

- ▶ Entrepreneurship
- ▶ **Hyper competition**
- ▶ Governmental laws
- ▶ Organizational culture

Question No: 36 (Marks: 1) - Please choose one

Which of the following is required for a company that wants to be more flexible in adopting changes?

- ▶ Management commitment
- ▶ Contact with customers
- ▶ **Technology**
- ▶ More productivity

Question No: 37 (Marks: 1) - Please choose one

Which of the following areas are preferred by women entrepreneurs?

- ▶ **Administration**
- ▶ Utilities
- ▶ Manufacturing
- ▶ None of the above

Question No: 38 (Marks: 1) - Please choose one

Individuals influencing an entrepreneur's career choice and style are known as which of the following?

- ▶ **Role model**
- ▶ Moral-support network
- ▶ Professional support network
- ▶ Support system

Question No: 39 (Marks: 1) - Please choose one

entrepreneur is also successful in international business as well if he understands:

- ▶ **Difference of domestic and international business**

- ▶ Domestic business
- ▶ International business
- ▶ None of the given options

Question No: 40 (Marks: 1) - Please choose one

Which of the following is **NOT** an important aspect of international success?

- ▶ Planning
- ▶ Diversification
- ▶ **Reporting**
- ▶ Control

Question No: 41 (Marks: 5)

What is meant by role models? What role do they perform?

Question No: 42 (Marks: 5)

Briefly discuss the product planning and development process.

MID TERM EXAMINATION
Spring 2009
MGT602- Entrepreneurship (Session - 4)

Time: 60 min
Marks: 50

Question No: 1 (Marks: 1) - Please choose one

Which of the following has not yet been empirically established as a distinguishing characteristic of entrepreneurs?

- ▶ Locus of control
- ▶ Feeling about independence
- ▶ Need for achievement
- ▶ **Risk taking**

Question No: 2 (Marks: 1) - Please choose one

The level at which an individual is viewed by society is called:

- ▶ Financial status
- ▶ Qualification
- ▶ **Social status**
- ▶ Achievement

Question No: 3 (Marks: 1) - Please choose one

Which one of the following is a business arrangement in which someone else is allowed to use something of the company?

- ▶ Patent
- ▶ Trade mark
- ▶ Copy right
- ▶ **Licensing**

Question No: 4 (Marks: 1) - Please choose one

Which of the following method entrepreneur can use to do international business with least risk?

- ▶ **Turnkey projects**
- ▶ Joint venture
- ▶ Merger
- ▶ Synergy

Question No: 5 (Marks: 1) - Please choose one

A company dealing in beer has a merger with cigarettes manufacturing firm. This merger is called:

- ▶ Horizontal merger
- ▶ **Product extension merger**
- ▶ Market extension merger
- ▶ Vertical merger

Question No: 6 (Marks: 1) - Please choose one

Which one of the following is an important source of idea generation due to their familiarity with the needs of market?

- ▶ **Existing products and services**
- ▶ Distribution channels
- ▶ Federal government
- ▶ Consumers

Question No: 7 (Marks: 1) - Please choose one

Members of distribution channels are excellent sources for new ideas because:

- ▶ **They are familiar with the needs of the market**
- ▶ They earn a handsome profit from new business
- ▶ They do not bother if entrepreneur bears a loss

- ▶ They have well-developed sales force

Question No: 8 (Marks: 1) - Please choose one

Which one of the following is the most important characteristic of a successful business website?

- ▶ **Speed**
- ▶ Innovation
- ▶ Graphics
- ▶ Products

Question No: 9 (Marks: 1) - Please choose one

Which one of the following is the next stage to the Concept Stage of Product Planning and Development Process?

- ▶ Idea Stage
- ▶ Product Planning Stage
- ▶ **Product Development Stage**
- ▶ Test Marketing Stage

Question No: 10 (Marks: 1) - Please choose one

According to the governing bodies of common laws, the life of trade secret is:

- ▶ 12 years
- ▶ 17 years
- ▶ 20 years
- ▶ **As long as it remains confidential**

Question No: 11 (Marks: 1) - Please choose one

SBA stands for:

- ▶ Small business accountants
- ▶ **Small business administration**
- ▶ Small business adequacy
- ▶ Small business advisors

Question No: 12 (Marks: 1) - Please choose one

Why should an entrepreneur do a feasibility study for starting a new venture?

- ▶ **To see if there are possible barriers to success**
- ▶ To identify possible sources of funds
- ▶ To estimate the expected sales
- ▶ To explore potential customers

Question No: 13 (Marks: 1) - Please choose one

Information regarding all of the following is related to operations, EXCEPT:

- ▶ Location
- ▶ **Promotion**
- ▶ Raw materials
- ▶ Labor skills

Question No: 14 (Marks: 1) - Please choose one

Which one of the following guide the firm through the long term decision making?

- ▶ **Mission statement**
- ▶ Product forecast
- ▶ Industry analysis
- ▶ None of the given options

Question No: 15 (Marks: 1) - Please choose one

Which of the following is included in the description of the business?

- ▶ Location
- ▶ Products offered
- ▶ History
- ▶ **All of the given options**

Question No: 16 (Marks: 1) - Please choose one

For which of the following copy right acquisition is desirable?

- ▶ Songs
- ▶ Poems
- ▶ Models
- ▶ **All of the given options**

Question No: 17 (Marks: 1) - Please choose one

Which of the following is TRUE for Disclosure Document?

- ▶ **It gives recognition that he was the inventor of the idea in past**
- ▶ It gives recognition that he is the first the inventor of the idea
- ▶ It gives recognition that he will be the invent an idea in future
- ▶ It gives recognition that he wants to copy the idea

Question No: 18 (Marks: 1) - Please choose one

Which of the following is idea generation method that focuses on parameters?

- ▶ Brainstorming
- ▶ Reverse brainstorming
- ▶ **Creative problem solving**
- ▶ Synoptic

Question No: 19 (Marks: 1) - Please choose one

The transitional disturbance and lack of reform has led to a booming black market in:

- ▶ China
- ▶ Hungary
- ▶ Singapore
- ▶ **Poland**

Question No: 20 (Marks: 1) - Please choose one

Which of the following geographical area is of least interest to U.S entrepreneurs?

- ▶ Europe
- ▶ The Far East
- ▶ Central Asia
- ▶ **Transition economies**

Question No: 21 (Marks: 1) - Please choose one

Which one of the following gives suggestions for new product and also help to market new products?

- ▶ Existing products and services
- ▶ **Distribution channels**
- ▶ Federal government
- ▶ Consumers

Question No: 22 (Marks: 1) - Please choose one

Which of the following is used by entrepreneurs to acquire experience in an international market before making a major commitment?

- ▶ Merger
- ▶ Joint venture
- ▶ **Minority interest (Doubted)**
- ▶ Majority interest

Question No: 23 (Marks: 1) - Please choose one

GATT is established in 1947, under:

- ▶ German leadership
- ▶ French leadership
- ▶ **U.S. leadership**
- ▶ U.K. leadership

Question No: 24 (Marks: 1) - Please choose one

The entrepreneur was distinguished from capital provider in:

- ▶ Middle ages

- ▶ **18th century**
- ▶ 17th century
- ▶ 19th and 20th century

Question No: 25 (Marks: 1) - Please choose one

A person who managed large project was termed as the entrepreneur in the _____.

- ▶ Earliest period
- ▶ **Middle ages**
- ▶ 17th century
- ▶ 19th and 20th century

Question No: 26 (Marks: 1) - Please choose one

Which of the following factor is most important in forming a new business?

- ▶ **Finance**
- ▶ Marketing
- ▶ Government support
- ▶ Family support

Question No: 27 (Marks: 1) - Please choose one

What is the process by which individuals pursue opportunities without regard to resources they currently control?

- ▶ Startup management
- ▶ **Entrepreneurship**
- ▶ Financial analysis
- ▶ Feasibility planning

Question No: 28 (Marks: 1) - Please choose one

Which one of the following is the process of entrepreneurs developing new products that over time make current products obsolete?

- ▶ New business model
- ▶ Anatomization
- ▶ **Creative destruction**
- ▶ None of the given options

Question No: 29 (Marks: 1) - Please choose one

Which of the following shows the process of creating something new?

- ▶ Business model
- ▶ Modeling
- ▶ **Innovation**
- ▶ Creative flexibility

Question No: 30 (Marks: 1) - Please choose one

Which of the following factors is the most important in forcing U.S companies to focus on new product development and increased productivity?

- ▶ Entrepreneurship
- ▶ **Hyper competition**
- ▶ Governmental laws
- ▶ Organizational culture

Question No: 31 (Marks: 1) - Please choose one

In the administrative domain, the commitment of resources is for which of the following?

- ▶ Periodic intervals
- ▶ **Total amount needed**
- ▶ For certain tasks
- ▶ For long time

Question No: 32 (Marks: 1) - Please choose one

Which of the following is alternatively called corporate venturing?

- ▶ Entrepreneurship
- ▶ **Entrepreneurship**
- ▶ Act of stating a new venture
- ▶ Offering new products by an existing company

Question No: 33 (Marks: 1) - Please choose one

Which is the most common cause of business failure?

- ▶ Insufficient capital
- ▶ Unstable market
- ▶ Insufficient experience
- ▶ **Poor entrepreneurship**

Answer Requested**Question No: 34 (Marks: 1) - Please choose one**

Which of the following areas are preferred by women entrepreneurs?

- ▶ **Administration**
- ▶ Utilities
- ▶ Manufacturing
- ▶ None of the above

Question No: 35 (Marks: 1) - Please choose one

Degree of influence and control on other people is called:

- ▶ **Locus of control**
- ▶ Locomotion of control
- ▶ Locust of control
- ▶ Loss of control

Question No: 36 (Marks: 1) - Please choose one

Individuals influencing an entrepreneur's career choice and style are known as which of the following?

- ▶ **Role model**
- ▶ Moral-support network
- ▶ Professional support network
- ▶ Support system

Question No: 37 (Marks: 1) - Please choose one

The activity which occurs when the new venture is started is called:

- ▶ Motivation
- ▶ Business skills
- ▶ **Departure point**
- ▶ Goal orientation

Question No: 38 (Marks: 1) - Please choose one

Marks 10

Choose the correct option (simply highlight the correct option)

1. An entrepreneur's primary motivation for starting a business is
 - a. To make money
 - b. To be independent**
 - c. To be famous
 - d. To be powerful
2. To be successful in an entrepreneurial venture, you need
 - a. Money
 - b. Luck**
 - c. Hard work
 - d. A good idea
3. Entrepreneurs are best as
 - a. Managers
 - b. Venture capitalists

- c. Planners
 - d. Doers
4. A successful entrepreneur relies on which of the following for critical management advice
- a. Internal management team
 - b. External management professionals
 - c. Financial sources
 - d. No one
5. Entrepreneurs are:
- a. High risk takers
 - b. Moderate risk takers
 - c. Small risk takers
 - d. Doesn't matter
6. Entrepreneurs typically form
- a. Service businesses
 - b. Manufacturing companies
 - c. Constructive companies
 - d. A variety of ventures
7. Entrepreneurs:
- a. Are the life of the party
 - b. Are bores at a cocktail party
 - c. Will never go to parties
 - d. Just fit into the crowd at a party
8. Entrepreneurs and venture capitalists:
- a. Get along well
 - b. Are the best friends
 - c. Are cordial friends
 - d. Are in conflict
9. An entrepreneur's primary motivation for high ego and need for achievement is based upon a relationship with:
- a. Spouse
 - b. Mother
 - c. Father
 - d. Children
10. An individual usually begins his or her first significant entrepreneurial business enterprise at what age
- a. Teens
 - b. Twenties
 - c. Forties

d. Fifties

Choose the correct option (simply highlight the correct option)

1. Personal characteristics to be a successful entrepreneur includes

☐ e. Understanding environment

☐ f. Creating management options

☐ g. Encourage open discussion

☒ h. **All of the above**

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2. Without top management commitment, the organization will

☐ e. Be able to make changes

☒ f. **Not be able to make any changes**

☐ g. Not be able to make effective changes

☐ h. None of the above

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3. Entrepreneurial experience becomes increasingly important as

☐ e. Work load increases

☒ f. **Complexity of venture increases**

☐ g. Complexity of work increases

☐ h. None of the above

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4. Entrepreneurs are concerned about basic issues of:

Sales, costs and benefits

Customers, sales and costs

Risk, costs and benefits

None of the above

5. Licensing arrangements have

☐ e. Low risk process involved

☐ f. Easy way to generate incremental income

☐ g. Several pitfalls

☒ h. **All of the above**

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6. Joint ventures have been used by entrepreneur:

☐ e. When the entrepreneur wants to purchase local knowledge

☐ f. When rapid entry in to the market is needed

☒ g. **Both of the options given**

☐ h. None of the above

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7. A horizontal merger is

☐ e. Is the combination of firms in successive stages of production

☒ f. **Is the combination of firms that produce closely related projects in same area**

☐ g. Is the combination of firms that produce same products and sell in different areas

☐ h. None of the above

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8. Main reason(s) for merger is (are)

- ~~a.e.~~ When synergy is present
- ~~a.f.~~ When complementary resources can be combined
- ~~a.g.~~ Economies of scale can be achieved
- a.h. All of the above**

9. First stage of production planning and development processes is

- ~~a.e.~~ Idea stage
- ~~a.f.~~ Concept stage
- a.g. Establishing and evaluating criteria stage**
- ~~a.h.~~ None of the above

1. NAFTA stands for:

- a) North American Free Trade Agreements**
- b) North Asian Free Trade Agreements
- c) National Asian Free Trade Agreements
- d) National American Free Trade Agreements

2. The factor _____ is probably the most prevalent reason for mergers.

- a) Taxation
- b) Economies of scale**
- c) Inflation
- d) Mergers

3. A _____ merger is a combination of two firms producing the same products but selling them in different geographic markets.

- a) Diversified Activity Merger
- b) Product Extension Merger
- c) Vertical Merger
- d) Market Extension Merger**

4. One of the most frequent reasons an entrepreneur forms a joint venture is to share the _____.

- a) Resources
- b) Cost
- c) Cost and risk of a**

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project

d) Profit

5. _____ involves having a foreign purchaser in the local market or using an export management firm.

a) Direct Exporting

b) Indirect Exporting

c) Management Contracts

d) Turn-Key Projects

6. The _____ measures the payments that flow between any individual country and all other countries.

a) International Business

b) Economies of Scales

c) Balance of Payment

d) None of the given options

7. _____ is an entrepreneurial type who quickly identifies new promising business opportunities but rarely, if ever, follows through on the opportunity to create a successful new venture.

a) Simplicity Sue

b) Shotgun Sam

c) Hidden Agenda Harry

d) Inventor Irving

8. One study found that the typical minority business owner was the

a) Oldest child in a blue-collar family and married.

b) Oldest child in a white-collar family and married.

c) Youngest child in a blue-collar family and married.

d) Youngest child in a white-collar family and married.

9. Traditional managers are:

- a) Deals with mistakes and failures
- b) Tries to avoid mistakes and surprises**
- c) Attempts to hide risky projects from view until ready
- d) None of the given Options

11. Risk decisions are often postponed until

- a) Hard facts can be gathered or a consultant hired to illuminate the unknown.**
- b) Hard facts can be gathered or an auditor hired to illuminate the unknown.
- c) There is no need to gather facts and hired a consultant/auditor
- d) None of the given options

12. _____ is one method of stimulating, and then capitalizing on, individuals in an organization who think that something can be done differently and better.

- a) Strategic Orientation
- b) Capitalization
- c) Intrapreneurship**
- d) Management

13. The typical _____ has a climate and reward system that favor conservative decision making.

- a) Entrepreneurship culture
- b) Corporate culture**
- c) Intrapreneurial culture
- d) None of the given options

14. Female entrepreneurs normally start their venture at the age of _____ years.

- a) 35-45**
- b) 25-30
- c) 20-25
- d) 40-45

15. Male entrepreneurs normally start their venture at the age of _____ years.

- a) 20-25
- b) 25-35**
- c) 40-50
- d) After the age of

retirement.

16. The _____ is the process through which innovation develops and commercializes through entrepreneurial activity, which in turn stimulates economic growth.

a) Product-evolution process

b) Technological innovations

c) Breakthrough innovations

d) None of the given options

17. A _____ is a type of company formed from research and development that usually does not go public.

a) Foundation

b) Life-Style Firm

c) High-Potential Venture

d) Both b and c

18. _____ involve such things as writing, listening, oral presentations, coaching and technical know-how.

a) Business Management skills

b) Personal entrepreneurial skills

c) Technical skills

d) None of the given options

19. The _____ means to do things in his or her own way and time.

a) Need per independence

b) Need for achievement

c) Personal values

d) Ethics

20. _____ is a reason or set of reasons for engaging in a particular behavior, especially human behavior.

a) Moral value

b) Act

c) Motivation

1. Any patents, trademarks, copyright or trade secrets held by the entrepreneur is known as
 - a. Disclosure document
 - b. Patent
 - c. Intellectual property
 - d. None of the mentioned
2. The organization will never be able to make the necessary changes without _____
 - a. Top management commitment
 - b. Employees
 - c. Workers
 - d. None of the mentioned
3. The ways entrepreneurs make decisions.
 - a. Entrepreneurial domain.
 - b. Reverse brain storming
 - c. Heuristics
 - d. Reverse brain storming
4. A trademark is
5. A word, symbol, name or device that a business uses to identify its goods.
 - a. A legal protection for information on foreign products.
 - b. Legal protection for intellectual works.
 - c. Legal protection for a U.S. product exported to another country.
6. locus of control is
 - ~~a.e.~~ A feeling
 - ~~a.f.~~ Attitude
 - ~~a.g.~~ Attribute
 - ~~a.h.~~ None of the above
7. Licensing arrangements have
 - ~~a.i.~~ Low risk process involved
 - ~~a.j.~~ Easy way to generate incremental income
 - ~~a.k.~~ Several pitfalls
 - ~~a.l.~~ All of the above
8. Personal characteristics to be a successful entrepreneur includes
 - ~~a.i.~~ Understanding environment
 - ~~a.j.~~ Creating management options
 - ~~a.k.~~ Encourage open discussion
 - ~~a.l.~~ All of the above

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9. International entrepreneurship is

- a. Licensing
- b. Exporting
- c. Both of the mentioned options
- d. None of the two mentioned

Which of the following is *not* a characteristic that is helpful for an entrepreneur to have?

- a. Self-esteem
- b. Caution
- c. Drive

10. Hindrance for going in the international business is known as

- a. Synergy
- b. Turn key point
- c. Trade barrier
- d. Minority interest

1. An entrepreneur's primary motivation for starting a business is

- m. To make money
- n. To be independent
- o. To be famous
- p. To be powerful

2. To be successful in an entrepreneurial venture, you need

- i. Money
- j. Luck
- k. Hard work
- l. A good idea

4. A successful entrepreneur relies on which of the following for critical management advice

- i. Internal management team
- j. External management professionals
- k. Financial sources
- l. No one

6. Entrepreneurs typically form

- m. Service businesses
- n. Manufacturing companies
- o. Constructive companies
- p. A variety of ventures

7. Entrepreneurs:

- i. Are the life of the party
- j. Are bores at a cocktail party
- k. Will never go to parties

- l. Just fit into the crowd at a party**
8. Entrepreneurs and ventures capitalists:
- i. Get along well
 - j. Are the best friends
 - k. Are cordial friends
 - l. Are in conflict**
9. An entrepreneur's primary motivation for high ego and need for achievement is based upon a relationship with:
- i. Spouse
 - j. Mother
 - k. Father**
 - l. Children
10. An individual usually begins his or her first significant entrepreneurial business enterprise at what age
- i. Teens
 - j. Twenties
 - k. Forties**
 - l. Fifties
10. Personal characteristics to be a successful entrepreneur includes:
- ~~a. d.~~ **Understanding environment**
 - ~~a. r.~~ **Creating management options**
 - ~~a. s.~~ **Encourage open discussion**
 - ~~a. t.~~ **All of the above**
11. Entrepreneurial experience becomes increasingly important as
- ~~a. m.~~ **Work load increases**
 - ~~a. n.~~ **Complexity of venture increases**
 - ~~e. o.~~ **Complexity of work increases**
 - ~~d. p.~~ **None of the above**
12. Entrepreneurs are concerned about basic issues of:
- ~~a. e.~~ **Sales, costs and benefits**
 - ~~a. f.~~ **Customers, sales and costs**
 - ~~a. g.~~ **Risk, costs and benefits**
 - ~~a. h.~~ **None of the above**
13. Licensing arrangements have
- ~~a. d.~~ **Low risk process involved**
 - ~~a. r.~~ **Easy way to generate incremental income**
 - ~~a. s.~~ **Several pitfalls**
 - ~~a. t.~~ **All of the above**
14. Joint ventures have been used by entrepreneur:
- ~~a. m.~~ **When the entrepreneur wants to purchase local knowledge**

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☒ n. When rapid entry in to the market is needed

☒ o. **Both of the options given**

☒ p. None of the above

15. A horizontal merger is

☒ m. Is the combination of firms in successive stages of production

☒ n. **Is the combination of firms that produce closely related projects in same area**

☒ o. Is the combination of firms that produce same products and sell in different areas

☒ p. None of the above

16. Main reason(s) for merger is (are)

☒ m. When synergy is present

☒ n. When complementary resources can be combined

☒ o. Economies of scale can be achieved

☒ p. **All of the above**

17. First stage of production planning and development processes is

☒ m. Idea stage

☒ n. Concept stage

☒ o. **Establishing and evaluating criteria stage**

☒ p. None of the above

1. **What causes people to do something?**

Need for achievement

Need for independence

Motivation

None of the mentioned options

2. **Individuals who help the entrepreneur in business activities**

Role models

Professional-support network

Parents

None of the mentioned options

3. **The managers in an organization strongly supporting intrapreneurship is called -----**

Top management commitment

Upper management commitment

Lower management intrapreneur

Upper management intrapreneur

4. ----- **involves a manufacturer giving a foreign manufacturer the right to use a patent, trademark or technology in return for a royalty**

Licensing

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Turn-key projects

Management contracts

1. A set of reasons for engaging in a particular behavior, especially human behavior is

known as _____.

- a. Values
- b. Vision
- c. Entrepreneurship

d. Motivation

2. Which of the following techniques is an excellent method for initially screening ideas and concepts in addition to generating new ideas?

a. Focus group

- b. Brain storming
- c. Problem inventory analysis
- d. Reverse brainstorming

3. The creative process for problem solving that involves making the strange familiar in first step and then making the familiar strange through personal direct or symbolic analogy is called _____.

- a. Synoptic
- b. Gordon method

c. Checklist method

- d. Scientific method

4. When the multiplicity of environments become too complex to handle, the international entrepreneurs often _____.

a. Go for mergers

- b. Diversify
- c. Decentralize operations
- d. Sale out the foreign business

5. An entrepreneur into the hosiery business found out the reason his hosiery was not selling was due to its color. What could be the best source of this information?

- a. Supplier
- b. Retailer

c. Competition

- d. Government bureau

6. In some countries, point of purchase displays are not allowed in retail stores. Such differences are studied by international entrepreneurs under

_____ environment.

- a. Economic

b. Political

c. Cultural

d. Technological

7. Entrepreneurial success has been significant because of the culture and the political and economic systems in _____.

a. European countries

b. Asian countries

c. Transition economies

d. Middle east

8. Having more than 50% ownership position that provides the entrepreneur with

managerial control is called _____.

a. Joint venture

b. Majority interest

c. Horizontal merger

d. Diversified activity merger

9. The under-developed or lesser developed countries need manufacturing technology

and infrastructure and yet do not want to turn over substantial portion of their

economy to foreign ownership. Which of the following is a solution to this dilemma?

a. Management contract

b. Indirect exporting

c. Licensing

d. Turn-key project

10. The development of a new venture based on an inventor's work often requires

_____.

a. Expertise of an entrepreneur

b. Heavy investment from financiers

c. Skilled human resources

d. Highly educated staff

Solution No. 1

Question # 1 Total Marks: 1

Gazelles are the firms with:

Select correct option:

High growth rate

Moderate growth rate

Zero% growth rate

Low growth rate

Question # 2 Total Marks: 1

The resources acquired from others(creditors, banks etc) are usually

Select correct option:

Easily available

Difficult to obtain

Very useful

Very cheap

Question # 3 Total Marks: 1

Which of the following firm achieves modest growth:

Select correct option:

High potential growth firm

Foundation firm

Life style

Public company

Question # 4 Total Marks: 1

Which of the following statements about the entrepreneurial climate is (are) true?

Select correct option:

Trial and error are discouraged.

Resources of the firm need to be available and easily accessible

A multidisciplinary approach is discouraged.

Failures are not allowed

Question # 5 Total Marks: 1

The difference in the entrepreneurial and managerial domains has contributed towards an increase interest in:

Select correct option:

Forming new firms

Partnership

Intrapreneurship

Private firms

Question # 6 Total Marks: 1

The commitment of administrative domain to the resources is for:

Select correct option:

Periodic intervals

Total amount needed

For certain tasks

For long time

Question # 7 Total Marks: 1

Which one of the following is NOT an intrapreneurial leadership characteristic?

Select correct option:

Understands environment

Encourage the team work

Not flexible

Persistent

Question # 8 Total Marks: 1

Which one of the following is the first step in the entrepreneurial process?

Select correct option:

Developing successful business ideas

Deciding to become an entrepreneur ?????

Growing the entrepreneurial firm

Moving from an idea to an entrepreneurial firm

Question # 9 Total Marks: 1

Factors contribute to the creation of new venture EXCEPT:

Select correct option:

Government

Finance

High interest rates

Role models

Question # 10 Total Marks: 1

The activities which occur when the new venture is started are called:

Select correct option:

Motivation

Goal orientation

Departure point

Business skills

Question # 11 Total Marks: 1

The entrepreneur must possess the abilities:
Select correct option:

Creative

Conceptualization

Understanding environment

All of the given options

Question # 12 Total Marks: 1

In terms of chronological age, most entrepreneurs initiate their entrepreneurial carrier between ages of:

Select correct option:

15 and 22

22 and 45 22 55

45 and 57

57 and 63

Question # 13 Total Marks: 1

Which one of the following is the first step in the entrepreneurial process?

Select correct option:

Developing successful business ideas

Deciding to become an entrepreneur ???

Growing the entrepreneurial firm

Moving from an idea to an entrepreneurial firm

Question # 14 Total Marks: 1

Which of the following factors does not affect a person for being an entrepreneur?

Select correct option:

Family background

Education

Personal values

Gender

Question # 15 Total Marks: 1

The chief motivational factor for _____ entrepreneurs to leave jobs is the frustration of not being allowed to perform at the level of which they are capable.

Select correct option:

Male

Female

Young

All of the given options

Question # 16 Total Marks: 1

The activities which occur when the new venture is started are called:
Select correct option:

Motivation

Goal orientation

Departure point

Business skills

Question # 17 Total Marks: 1

Which one of the following is NOT an intrapreneurial leadership characteristic?
Select correct option:

Understands environment

Encourage the team work

Not flexible

Persistent

Question # 18 Total Marks: 1

Which of the following firm achieves modest growth:
Select correct option:

High potential growth firm

Foundation firm

Life style

Public company

Question # 19 Total Marks: 1

The startups which rarely go public are called:

Select correct option:

Life style

Foundation Company

Small company

High potential venture

Question # 20 Total Marks: 1

It is proved that most businesses failed because of improper planning of an/a:

Select correct option:

Investor

Marketer

Entrepreneur

Consultant

Question # 21 Total Marks: 1

Which one of the following culture that has a climate and reward system that favor conservative decision making?

Select correct option:

Entrepreneurial

Intrapreneurial

Corporate

None of the given options

Question # 22 Total Marks: 1

Which of the following firm achieves modest growth:

Select correct option:

High potential growth firm

Foundation firm

Life style

Public company

Question # 23 Total Marks: 1

In terms of chronological age, most entrepreneurs initiate their entrepreneurial carrier between ages of:

Select correct option:

15 and 22

22 and 45

45 and 57

57 and 63

Question # 24 Total Marks: 1

Which of the following has a contradictory relationship with an individual for being an entrepreneur?

Select correct option:

His birth order

Parents' social status

Parents' occupation

Relationship with parents

Question # 25 Total Marks: 1

Which one of the following is the fourth step in the entrepreneurial process?

Select correct option:

Developing successful business ideas

Deciding to become an entrepreneur

Growing the entrepreneurial firm

Moving from an idea to an entrepreneurial firm

Question # 26 Total Marks: 1

The chief motivational factor for _____ entrepreneurs to leave jobs is the

frustration of not being allowed to perform at the level of which they are capable.
Select correct option:

Male

Female

Young

All of the given options

Question # 27 Total Marks: 1

All of the following are the broad categories of External forces EXCEPT:

Select correct option:

Economic forces

Socioeconomic forces

Technological forces

Competitive forces

Question # 28 Total Marks: 1 External forces directly affect all of the following EXCEPT:

Select correct option:

Market segmentation strategies

Types of products/services offered

Management structure of organization

Choice of businesses to acquire or sell

Question # 29 Total Marks: 1

There is evidence that an entrepreneur usually has _____ parents.

Select correct option:

Self employed

Discouraged

Non supportive

Strict

Question # 30 Total Marks: 1

Government can help in forming new venture by providing:

Select correct option:

Finance

Technology

Infrastructure

Subsidiaries

Question # 2 of 10 Total Marks: 1

The decision to start a new business is taken when one perceives that forming a new business is:

Select correct option:

Possible

Desirable

Accurate

Both a and b

entrepreneurs differ from male entrepreneurs in terms of following EXCEPT:
Select correct option:

Motivation

Business skills

Departure point ???

Goal orientation

An entrepreneur into the hosiery business found out the reason his hosiery was not selling was due to its color. What could be the best source of this information?

Select correct option:

Supplier

Retailer

Competition

Government bureau

of the following factors has allowed small companies to act like they are big ones?

Select correct option:

Competition

Economic development

Technology

Customers

Government can help in forming new venture by providing:

Select correct option:

Finance

Technology

Infrastructure

Subsidiaries

Question # 7 of 10 Total Marks: 1

Which two work environments should be good for spawning the new enterprises?

Select correct option:

Finance and marketing

Finance and R&D

Marketing and R&D

Marketing and IT

The entrepreneur must possess the abilities:
Select correct option:

Creative

Conceptualization

Understanding environment

All of the given options

Question # 9 of 10 Total Marks: 1

It is proved that most businesses failed because of improper planning of an/a:
Select correct option:

Investor

Marketer

Entrepreneur

Consultant

Question # 10 of 10 Total Marks: 1

Which of the following receives highest investment?
Select correct option:

High potential venture

Foundation firm

Life style

Public company

of the following has a contradictory relationship with an individual for being an entrepreneur?
Select correct option:

His birth order

Parents' social status

Parents' occupation

Relationship with parents

Question # 2 of 10 Total Marks: 1

Which one of the following is required to develop a good team for creating something new?
Select correct option:

Relationship with team members

Open discussion

Non flexible behavior

Discouragement of team member's ideas

Question # 3 of 10 Total Marks: 1

The startups which rarely go public are called:
Select correct option:

Life style

Foundation Company

Small company

High potential venture

Question # 4 of 10 Total Marks: 1

Good entrepreneurs are usually from families which are:

Select correct option:

Landlords

Capitalists

Can be from any family with supportive parents ??????

Conservative parents

Question # 5 of 10 Total Marks: 1

_____ is required if a company wants to be more flexible in adopting changes.

Select correct option:

Management commitment

Contact with customers

Technology

More productivity

Question # 6 of 10 Total Marks: 1

Which two work environments should be good for spawning the new enterprises?

Select correct option:

Finance and marketing

Finance and R&D

Marketing and R&D

Marketing and IT

Question # 7 of 10 Total Marks: 1

It is proved that most businesses failed because of improper planning of an/a:

Select correct option:

Investor

Marketer

Entrepreneur

Consultant

Question # 8 of 10 Total Marks: 1

Which one of the following is the first step in the entrepreneurial process?

Select correct option:

Developing successful business ideas

Deciding to become an entrepreneur ???

Growing the entrepreneurial firm

Moving from an idea to an entrepreneurial firm

Question # 9 of 10 Total Marks: 1

Female entrepreneurs differ from male entrepreneurs in terms of following EXCEPT:

Select correct option:

Motivation

Business skills

Departure point

Goal orientation

Question # 10 of 10 Total Marks: 1

The decision to start a new business is taken when one perceives that forming a new business is:
Select correct option:

Possible

Desirable

Accurate

Both a and b

Q #1: The entrepreneur was distinguished from capital provider in:

- A. Middle ages
- B. 18th century**
- C. 17th century
- D. 19th and 20th century

Q #2: _____ Process of creating incremental wealth is called Entrepreneurship.

- A. Dynamic**
- B. Static
- C. Continues
- D. Systematic

Q #3: Most important factor in forming a new business is:

A. Finance

- B. Marketing
- C. Govt Support
- D. Family Support

Q #4: Which one of the following is the process of entrepreneurs developing new products that over time make current products obsolete?

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- B. New business model
- C. Anatomization
- D. None of the given options

Q #5: The intersection of knowledge and a recognized social need to start a product development process is called:

A. Iterative synthesis

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- C. Ordinary innovation
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Q #6: Which one of the following is the primary cause of failure in small businesses?

- A. Poor financial control
- B. Poor location
- C. Management mistakes**
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Q #7: Which one of the following is the first step in the entrepreneurial process?

- A. Developing successful business ideas
- B. Deciding to become an entrepreneur**
- C. Growing the entrepreneurial firm
- D. Moving from an idea to an entrepreneurial firm

Q #8: Which of the following is NOT included in the opportunity evaluation process?

- A. Length of the opportunity
- B. Real and perceived value of opportunity
- C. Goals and objectives of customers**
- D. Risks and rewards of opportunity

Q #9: The resistance of employees in an organization against flexibility, growth, and diversification can be overcome by developing:

- A. Entrepreneurship**
- B. Intrapreneurship
- C. Managerial domain
- D. Administrative domain

Q #10: The entrepreneur's _____ depends on his perception of the opportunity.

- A. Commitment to opportunity
- B. Commitment of resources
- C. Control of resources
- D. Strategic orientation**

Q #11: Which of the following statements about the entrepreneurial climate is (are) true?

- A. Trial and error are discouraged
- B. Resources of the firm need to be available and easily accessible**
- C. A multidisciplinary approach is discouraged
- D. Failures are not allowed

Q #12: Which of the following makes the formation of new venture difficult within a corporate culture?

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- B. Lack of freedom to make autonomous decisions
- C. Lack of market opportunity
- D. All of the given options**

Q #13: Which of the following factors has allowed small companies to act like they are big ones?

- A. Competition
- B. Economic development
- C. Technology**
- D. Customers

Q #14: Which of the following is alternatively called corporate venturing?

A. Entrepreneurship

- B. Intrapreneurship
- C. Act of starting a new venture
- D. Offering new products by an existing company

Q #15: Being one's own boss is a need of:

A. Independence

- B. Achievement
- C. Affiliation
- D. Authority

Q #16: An individual's need to be recognized is called:

- A. Need for independence
- B. Need for affiliation
- C. Need of fame

D. Need for achievement

Q #17: Which one of the following factors does not affect a person for being an entrepreneur?

- A. Family background
- B. Education
- C. Personal Values

D. Gender

Q #18: Female entrepreneurs differ from male entrepreneurs in terms of all of the following EXCEPT:

- A. Motivation
- B. Business skills
- C. Departure point**
- D. Goal orientation

Q #19: Which of the following areas are preferred by women entrepreneurs?

- A. Administration
- B. Utilities**

- C. Manufacturing
- D. None of the above

Q #20: Which one of the following is NOT TRUE about male entrepreneurs?

- A. Males often have investors, bank loans, or personal loans in addition to personal funds
- B. Males often have more experience in manufacturing, finance, or technical areas
- C. Men are often more confident and less flexible and tolerant
- D. Men usually list outside advisors as the least important supporters**

Mgt 602 complete project

Plan Outline:

1.0 Executive Summary

- a. Mission
- b. Objectives
- c. Keys to Success

2.0 Company Summary

- d. Company Ownership
- e. Company History
- f. Company Locations and Facilities

3.0 Services

- g. Service Description
- h. Competitive Comparison
- i. Sales Literature
- j. Fulfillment
- k. Technology
- l. Future Services

4.0 Market Analysis Summary

- m. Market Segmentation

- n. Service Business Analysis
 - i. Main Competitors
 - ii. Competition and Buying Patterns
 - iii. Business Participants
 - iv. Distributing a Service

5.0 Strategy and Implementation Summary

- o. Marketing Strategy
 - i. Promotion Strategy
 - ii. Distribution Strategy
 - iii. Positioning Statement
 - iv. Pricing Strategy
- p. Sales Strategy
 - i. Sales Programs
 - ii. Sales Forecast

6.0 Management Summary

- 2. Organizational Structure
- 3. Appendix

MGT602 Entrepreneurship Q1 Questioning

Question # 1 of 10 Total Marks: 1

_____ is required if a company wants to be more flexible in adopting changes.

Select correct option:

Management commitment

Contact with customers

Technology

More productivity

Question # 2 of 10 Total Marks: 1

External forces directly affect all of the following EXCEPT:

Select correct option:

Market segmentation strategies

Types of products/services offered

Management structure of organization

Choice of businesses to acquire or sell

Question # 3 of 10 Total Marks: 1

Good entrepreneurs are usually from families which are:

Select correct option:

Landlords

Capitalists

Can be from any family with supportive parents

Conservative parents

Question # 4 of 10 Total Marks: 1

There is an evidence that an entrepreneur usually has _____ parents.

Select correct option:

Self employed

Discouraged

Non supportive

Strict

Question # 7 of 10 Total Marks: 1

Which one of the following makes formation of new ventures within a corporate structure difficult?

Select correct option:

Lack of intrapreneurial talent ??

Lack of freedom to make autonomous decisions

Lack of market opportunity

Lack of knowledge

Question # 8 of 10 Total Marks: 1

Professional support network includes following EXCEPT:

Select correct option:

Personal affiliations

Mentor

Trade associations

Friends

Question # 9 of 10 (Total Marks: 1

An individual's need to be recognized is called:

Select correct option:

Need for independence

Need for affiliation

Need of fame

Need for achievement

Question # 10 of 10 Total Marks: 1

Which of the following is NOT a characteristic of an entrepreneur?

Select correct option:

Need for independence

Need for affiliation

Need for achievement

Risk taking

Q #1: The entrepreneur was distinguished from capital provider in:

A. Middle ages

B. 18th century

C. 17th century

D. 19th and 20th century

Q #2: _____ Process of creating incremental wealth is called Entrepreneurship.

A. Dynamic B. Static

C. Continues

D. Systematic

Q #3: Most important factor in forming a new business is:

A. Finance

B. Marketing

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C. Men are often more confident and less flexible and tolerant

D. Men usually list outside advisors as the least important supporters

Question No: 1 (Marks: 1) - Please choose one

Which of the following has not yet been empirically established as a distinguishing characteristic of entrepreneurs?

► **Locus of control**

► Feeling about independence

► Need for achievement

► Risk taking

Question No: 2 (Marks: 1) - Please choose one

There is an evidence that an entrepreneur usually has _____ parents.

► **Self employed**

► Discouraged

► Non supportive

► Strict

Question No: 3 (Marks: 1) - Please choose one

The level at which an individual is viewed by society is called:

► Financial status

► Qualification

► **Social status**

► Achievement

Question No: 4 (Marks: 1) - Please choose one

An individual's need to be recognized is called:

► Need for independence

► Need for affiliation

► Need of fame

► Need for achievement

Question No: 5 (Marks: 1) - Please choose one

With a commercial history of only 300 years, which country was a new comer to the international arena?

► Japan

► U.S

► China

► U.K

Question No: 6 (Marks: 1) - Please choose one

International entrepreneur's decisions are more complex because of:

► Business expansion

► Analysis of Huge information is difficult

► Complex transactions

► Uncontrollable factors

Question No: 7 (Marks: 1) - Please choose one

A company dealing in beer has a merger with cigarettes manufacturing firm. This merger is called:

► Horizontal merger

► Product extension merger

► Market extension merger

► Vertical merger

Question No: 8 (Marks: 1) - Please choose one

Which one of the following is an important source of idea generation due to their familiarity with the needs of market?

► Existing products and services

► Distribution channels

► Federal government

- Consumers

Question No: 9 (Marks: 1) - Please choose one

Which of the following techniques is an excellent method for initial screening of ideas and concepts?

- Focus group
- Problem inventory analysis
- **Brain storming**
- Reverse brainstorming

Question No: 10 (Marks: 1) - Please choose one

Which one of the following is the next stage to the Concept Stage of Product Planning and Development Process?

- Idea Stage
- Product Planning Stage
- **Product Development Stage**
- Test Marketing Stage

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is a method for obtaining new ideas and solutions by focusing on problems?

- **Product inventory analysis**
- Gordon method
- Checklist method
- Scientific method

Question No: 12 (Marks: 1) - Please choose one

Which one of the following is the main problem for the entrepreneur in the beginning stages of creating a new venture?

- Lack of experience
- **Limited resources**
- Lack of education

- ▶ None of the given options

Question No: 13 (Marks: 1) - Please choose one

A legally binding agreement between two parties is called:

- ▶ A contract
- ▶ Licensing
- ▶ Insurance
- ▶ A copyright

Question No: 14 (Marks: 1) - Please choose one

Which of the following is included in the description of the business?

- ▶ Location
- ▶ Products offered
- ▶ History
- ▶ All of the given options

Question No: 15 (Marks: 1) - Please choose one

The marketing perspective of business plan considers the venture through the eyes of:

- ▶ Investor
- ▶ Customer
- ▶ Entrepreneur
- ▶ Marketing manager

Question No: 16 (Marks: 1) - Please choose one

Which one of the following is NOT a condition of a contract?

- ▶ An offer is made
- ▶ An acceptance of offer
- ▶ Counter offer
- ▶ Consideration is given

Question No: 17 (Marks: 1) - Please choose one

For which of the following copy right acquisition is desirable?

- ▶ Songs
- ▶ Poems
- ▶ Models
- ▶ All of the given options

Question No: 18 (Marks: 1) - Please choose one

Which of the following is TRUE for Disclosure Document?

- ▶ It gives recognition that he was the inventor of the idea in past
- ▶ It gives recognition that he is the first the inventor of the idea
- ▶ It gives recognition that he will be the invent an idea in future
- ▶ It gives recognition that he wants to copy the idea

Question No: 19 (Marks: 1) - Please choose one

Trade barriers cause:

- ▶ Increase in cost
- ▶ Decrease in cost
- ▶ Increase in profit
- ▶ None of the given options

Question No: 20 (Marks: 1) - Please choose one

Having more than 50% ownership position that provides the entrepreneur with managerial control is called:

- ▶ Joint venture
- ▶ Majority interest
- ▶ Horizontal merger
- ▶ Diversified activity merger

Question No: 21 (Marks: 1) - Please choose one

GATT is established in 1947, under:

- ▶ German leadership
- ▶ French leadership
- ▶ U.S. leadership ???
- ▶ U.K. leadership

Question No: 22 (Marks: 1) - Please choose one

Which of the following is a method of selling goods to another country through a person in the entrepreneur's home country?

- ▶ Trading
- ▶ Direct export
- ▶ Indirect export
- ▶ Domestic sales

Question No: 23 (Marks: 1) - Please choose one

In some countries, point of purchase displays are not allowed in retail stores. Such differences are studied by international entrepreneurs under _____.

- ▶ Economic Environment
- ▶ Political Environment
- ▶ Cultural Environment ???
- ▶ Technological Environment

Question No: 24 (Marks: 1) - Please choose one

Most of the finance for the new firm comes from following resources EXCEPT:

- ▶ Friends
- ▶ Foreign aid
- ▶ Relatives
- ▶ Personal savings

Question No: 25 (Marks: 1) - Please choose one

Gazelles are the firms with:

- ▶ High growth rate
- ▶ Moderate growth rate

- ▶ Zero growth rate
- ▶ Low growth rate

Question No: 26 (Marks: 1) - Please choose one

The intersection of knowledge and a recognized social need to start a product development process is called which of the following?

▶ Iterative synthesis

- ▶ Product-evolution process
- ▶ Ordinary innovation
- ▶ Situation analysis

Question No: 27 (Marks: 1) - Please choose one

Which of the following factors is the most important in forcing U.S. companies to focus on new product development and increased productivity?

- ▶ Entrepreneurship
- ▶ Hyper competition
- ▶ Governmental laws
- ▶ Organizational culture

Question No: 28 (Marks: 1) - Please choose one

Which of the following is required for a company that wants to be more flexible in adopting changes?

▶ Management commitment

- ▶ Contact with customers
- ▶ Technology
- ▶ More productivity

Question No: 29 (Marks: 1) - Please choose one

Which of the following typical culture has a climate and reward system that favors conservative decision making?

- ▶ Entrepreneurial
- ▶ Intrapreneurial

► Corporate

- None of the given options

Question No: 30 (Marks: 1) - Please choose one

Which of the following statement about the intrapreneurial climate is true?

- Trial and error are discouraged

► Resources of the firm need to be available and easily accessible

- A multidisciplinary approach is discouraged
- Failures are not allowed

Question No: 31 (Marks: 1) - Please choose one

Which of the following are known as barriers to new product creation and development?

- Trial and error

► Opportunity parameters

- Opportunity cost
- Intrapreneurship culture

Question No: 32 (Marks: 1) - Please choose one

All of the following are true regarding male entrepreneurs EXCEPT:

► Typically most male entrepreneurs are first-borns ??

- Dissatisfaction with present job is a departure point for a male entrepreneur
- Male entrepreneurs mostly have a occupational background of middle-management or administrative-experience in the field
- Male entrepreneurs tend to be opinionated and persuasive in their approach

Question No: 33 (Marks: 1) - Please choose one

Entrepreneurial endeavors consist of all of the following key elements Except:

- New business venturing

► Increasing productivity

- Innovativeness
- Proactiveness

Question No: 34 (Marks: 1) - Please choose one

Which of the following factor does not affect a person for being an entrepreneur?

- ▶ Family background
- ▶ Education
- ▶ Personal values
- ▶ Gender ??

Question No: 35 (Marks: 1) - Please choose one

Which of the following areas are preferred by women entrepreneurs?

- ▶ Administration
- ▶ Utilities
- ▶ Manufacturing
- ▶ None of the above

Question No: 36 (Marks: 1) - Please choose one

Female entrepreneurs differ from male entrepreneurs in terms of all of the following EXCEPT:

- ▶ Motivation
- ▶ Business skills
- ▶ Departure point
- ▶ Goal orientation

Question No: 37 (Marks: 1) - Please choose one

The former USSR received technology and syrup from Pepsi and provided it with Soviet vodka and rights to distribute it in the US. This is an example of:

- ▶ Economic development
- ▶ Barter system
- ▶ Balance of payment
- ▶ International trade

Question No: 38 (Marks: 1) - Please choose one

An entrepreneur doing business within the national border is called:

- ▶ International entrepreneurship
- ▶ Intrapreneurship
- ▶ Domestic entrepreneurship
- ▶ None of the given options

Question No: 39 (Marks: 1) - Please choose one

Which one of the following may need the business plan?

- ▶ Employees
- ▶ Investors
- ▶ Advisors
- ▶ All of the given options

Question No: 40 (Marks: 1) - Please choose one

Following are the types of foreign direct investment EXCEPT:

- ▶ Joint venture
- ▶ Management contracts ??
- ▶ Minority interest
- ▶ Merger

Question No: 41 (Marks: 5)

Discuss the role of childhood family environment, which differentiate the entrepreneur from general public.

Question No: 42 (Marks: 5)

While entering into the international market the companies usually have strategic planning process. What should be considered in the strategic planning?